

ECOPERSPECTIVES

July 2026

Emerging Economies:
So far weathering the energy shock well

By Emerging Economies Team

ECONOMIC RESEARCH
by  **BNP PARIBAS**



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Emerging economies have so far shown resilience in the face of the energy crisis

- Emerging economies have so far withstood the energy shock caused by the conflict in the Middle East better than expected.
- The surge in oil, gas and energy-related input prices was rapid, but less inflationary than in 2022.
- While monetary policy easing cycles have been interrupted in many countries, most central banks have been able to keep their policy rates unchanged since last February.
- Emerging financial markets have not faced a widespread loss of confidence, while macroeconomic buffers are stronger than in the summer of 2022, helping to absorb the rise in energy costs.
- In Asia, the region most dependent on hydrocarbons from Gulf countries, the authorities have acted swiftly to limit the risks of shortages by diversifying supply sources, mobilizing reserves and adjusting demand.
- Most importantly, Asian countries that export tech goods have benefited significantly from the rise in artificial intelligence. Investment in AI infrastructure and global demand for chips and other electronic goods have bolstered economic growth and the external accounts of several emerging economies, sometimes offsetting the negative impact of the energy shock.
- In the short term, the average growth rate of emerging economies is expected to slow only moderately. In our baseline scenario, we project an average real GDP growth of just under 4% in 2026, after 4.5% in 2025.
- However, risks remain high, including persistent inflation, expected hikes in US Fed rates, geopolitical tensions, volatility in commodity prices and the risk of a correction in the tech cycle.

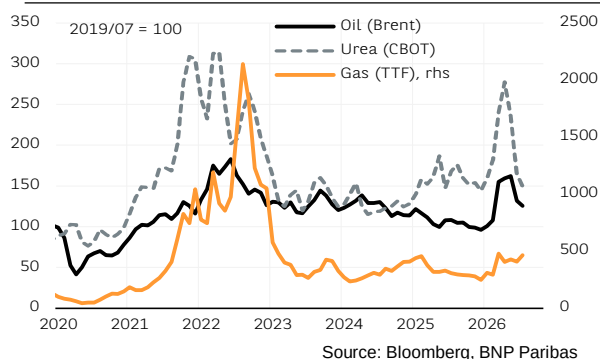
For more information, please refer to our publication:

[EcoPerspectives - Emerging Economies | 3rd quarter of 2026, as of July 13, 2026– Economic Research – BNP Paribas](#)

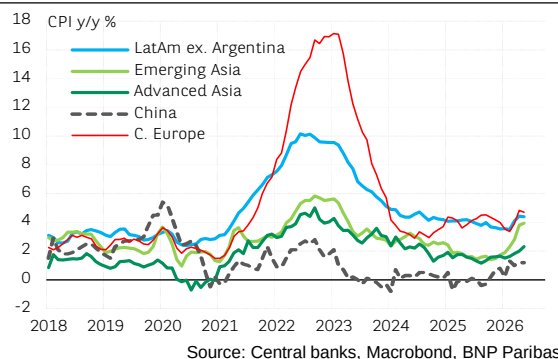


Emerging economies: Manageable consequences of the energy shock

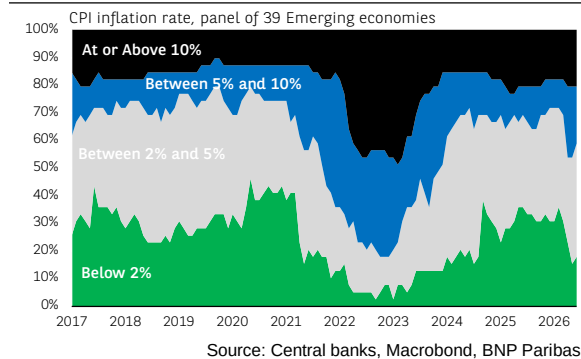
Energy prices eased in June, but the oil shock is not over



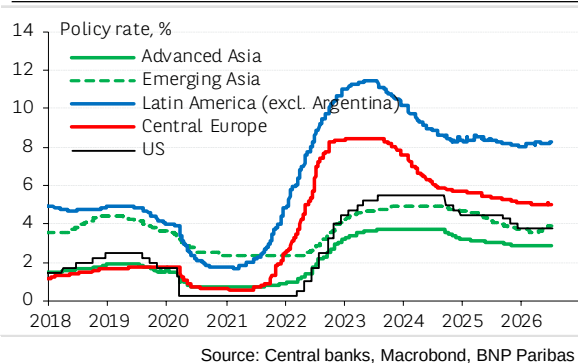
Inflation pressures have increased ...



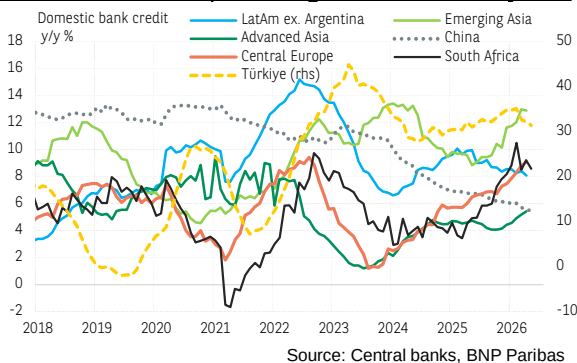
... but are still moderate



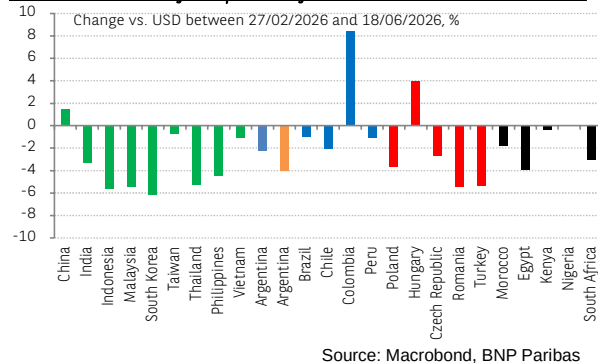
Monetary tightening is not widespread so far



Bank credit growth still accelerating in Asia (excl. China) and Central Europe, slowing in Latam and Türkiye



EM currency depreciations remained manageable during the first phase of the war in Iran



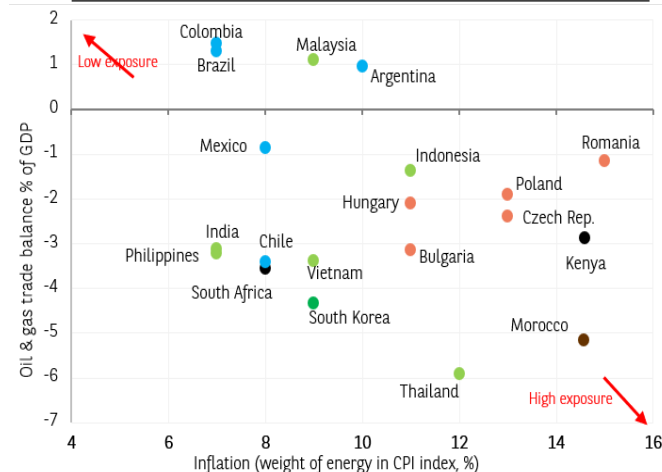
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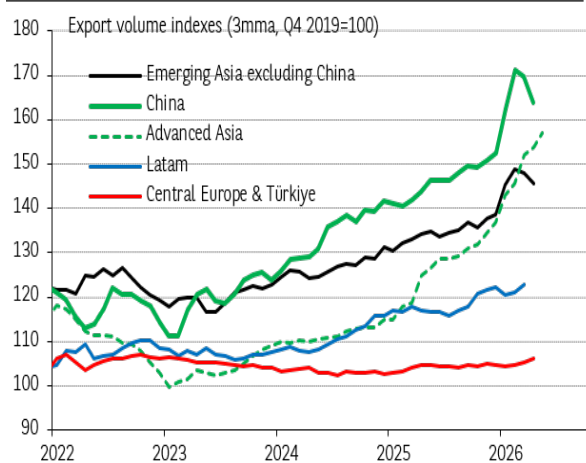
Emerging economies: Manageable consequences of the energy shock

The Asian region is highly exposed to the energy shock



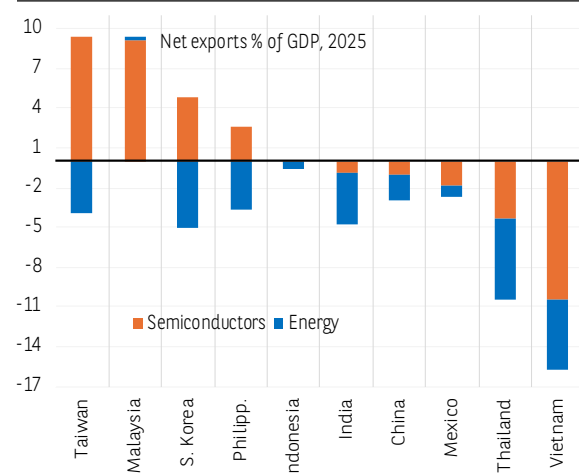
Source: ITC, national stat. offices., BNP Paribas

Producers of tech goods enjoy strong export growth



Source: CBP, Macrobond, BNP Paribas

The impact on trade and current account balances depends on the country's position in the value chain



Source: ITC, IMF, BNP Paribas

- Emerging Asia: light green (India, Indonesia, Malaysia, Philippines, Thailand, Vietnam)
- Advanced Asia: dark green (HK, Singapore, South Korea, Taiwan)
- Central Europe (orange): Bulgaria, Czech Rep., Hungary, Poland, Romania, Slovakia
- Latin America (blue): Argentina, Brazil, Chile, Colombia, Mexico, Peru
- Middle East & Africa (black)



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Asia – China & South Korea: Activity supported by the rise in global demand for AI goods

China: Economic growth projected to slow moderately in 2026-2027, inflation to recover slightly

	2022	2023	2024	2025	2026e	2027e
Real GDP growth, %	3.1	5.4	5.0	5.0	4.6	4.5
Inflation, CPI, year average, %	2.0	0.2	0.2	0.0	1.3	1.6
Official budget balance / GDP, %	-2.7	-3.8	-3.0	-4.0	-4.0	-4.0
Official general government debt / GDP, %	49.4	54.7	60.9	68.5	74.6	77.5
Current account balance / GDP, %	2.2	1.4	2.5	3.8	3.5	3.4
External debt / GDP, %	13.4	13.4	12.5	11.9	11.7	11.4
Forex reserves, USD bn	3 307	3 450	3 456	3 744	3 844	3 924
Forex reserves, in months of imports	12.5	13.0	12.5	13.6	13.4	13.2

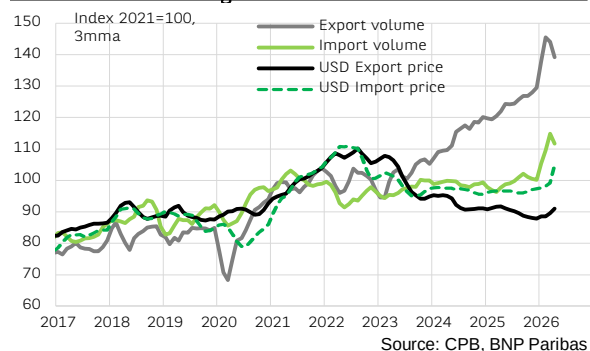
Source: BNP Paribas

South Korea: Solid economic growth thanks to semiconductors

	2022	2023	2024	2025	2026e	2027e
Real GDP growth, %	2.6	1.4	2.0	1.0	3.1	2.2
Inflation, CPI, year average, %	5.1	3.6	2.3	2.0	2.6	2.3
Central gov. balance / GDP, %	-5.0	-3.6	-4.1	-4.5	-4.8	-4.5
Gen. Gov. debt / GDP, % (EU standards)	46.2	48.8	50.6	52.5	54.2	56.1
Current account balance / GDP, %	1.4	1.8	5.3	6.6	8.2	7.4
External debt / GDP, %	38.6	39.5	37.5	40.5	37.4	34.0
Forex reserves, USD bn	418.3	415.3	410.8	423.0	412.7	418.0
Forex reserves, in months of imports	7.8	6.2	6.6	6.5	6.7	6.2

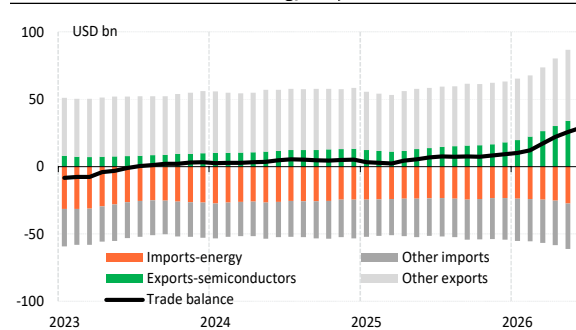
Source: BNP Paribas

China: External trade impacted by energy shock and global surge in AI investment



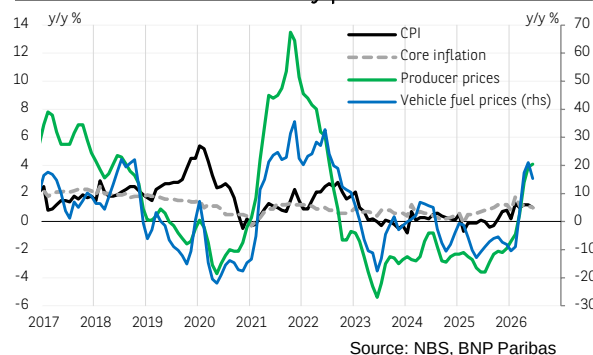
Source: CPB, BNP Paribas

South Korea: The rise in tech exports has offset the rise in energy imports



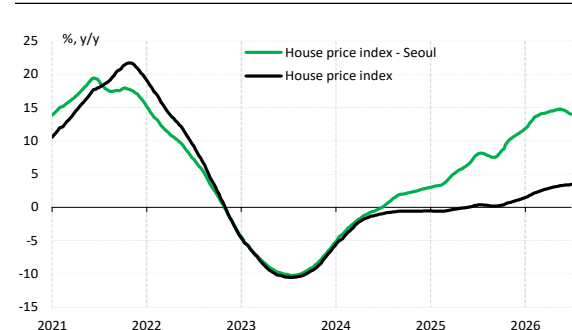
Source: Korea customs Service, BNP Paribas

China: Higher CPI inflation mostly due to increase in commodity prices



Source: NBS, BNP Paribas

South Korea: Real estate market remains tight in Seoul



Source: BOK, BNP Paribas



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Asia – India & Indonesia: Inflation still limited but deteriorating external accounts

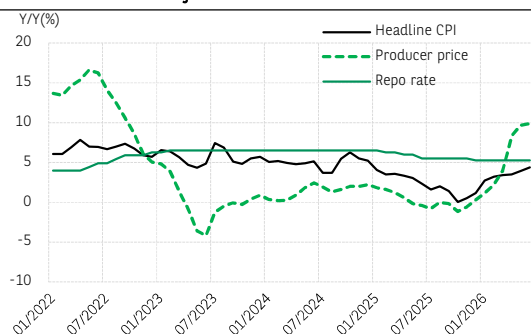
India: Economic growth projected to decelerate while inflationary risks have increased

	2022	2023	2024	2025	2026e	2027e
Real GDP growth, % (1)	7.6	7.2	7.1	7.7	6.7	6.8
Inflation, CPI, year average, % (1)	6.7	5.4	4.6	2.1	5.1	4.3
General gov. balance / GDP, % (1)	-9.1	-8.3	-8.1	-7.4	-7.6	-7.5
General gov. debt / GDP, % (1)	85.3	85.4	84.3	84.4	83.3	82.6
Current account balance / GDP, % (1)	-2.0	-0.7	-0.6	-0.7	-1.9	-1.6
External debt / GDP, % (1)	18.6	16.8	19.8	20.1	20.0	19.8
Forex reserves (excl. gold), USD bn	498	552	552	560	536	545
Forex reserves, in months of imports	6.7	7.5	6.8	6.7	6.2	6.3

(1) Fiscal year from April 1st of year N to March 31st of year N+1

Source: BNP Paribas

India: Inflation still below 2022 level



Source: RBI, BNP Paribas

India: FX reserves still comfortable



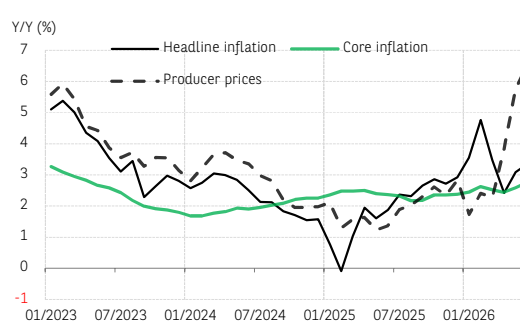
Source: RBI, BNP Paribas

Indonesia: Solid economic growth but rising risk of fiscal deficit slippage

	2022	2023	2024	2025	2026e	2027e
Real GDP growth (%)	5.3	5.0	5.0	5.1	5.0	5.2
Inflation (CPI, year average, %)	4.1	3.7	2.3	1.9	3.5	3.2
Gen. Gov. balance / GDP (%)	-2.4	-1.7	-2.3	-2.9	-3.0	-3.0
Gen. Gov. debt / GDP (%)	39.7	39.2	39.4	40.5	40.6	40.9
Current account balance / GDP (%)	1.1	-0.2	-0.6	-0.1	-1.2	-0.7
External debt / GDP (%)	30.1	29.8	29.6	29.9	30.0	30.1
Forex reserves (USD bn)	124	133	140	135	123	130
Forex reserves, in months of imports	5.5	6.0	6.1	5.6	5.0	5.3

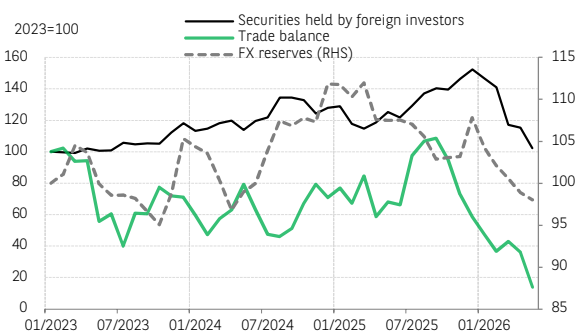
Source: BNP Paribas

Indonesia: Inflationary pressures are limited so far



Source: BI, BNP Paribas

Indonesia: External accounts have deteriorated



Source: BI, BNP Paribas



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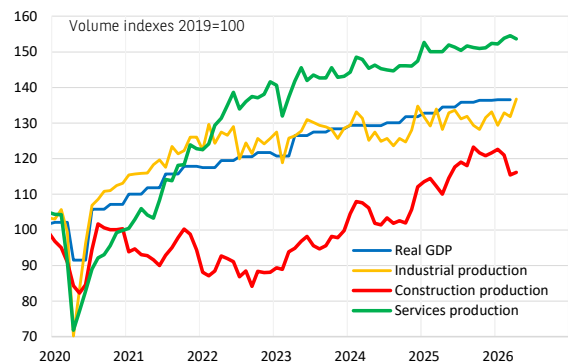
Emerging Europe – Türkiye: Coping with headwinds once again

Türkiye: The growth slowdown will help limit inflation and external account imbalances

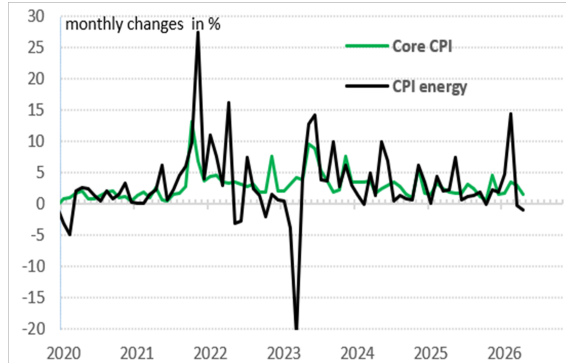
	2022	2023	2024	2025	2026e	2027e
Real GDP growth, %	5.4	5.0	3.3	3.6	3.1	3.5
Inflation, CPI, year average, %	72.3	53.9	58.5	34.9	30.7	23.8
Central gov. balance / GDP, %	-0.9	-5.1	-4.7	-2.9	-3.8	-3.5
Gen. Gov. debt / GDP, % (EU standards)	26.3	24.9	20.8	21.7	22.4	23.3
Current account balance / GDP, %	-5.0	-3.7	-1.0	-1.9	-2.2	-2.2
External debt / GDP, %	41.9	37.9	33.9	35.7	35.2	35.6
Forex reserves, USD bn	82.9	92.7	90.9	77.0	89.8	98.3
Forex reserves, in months of imports	2.6	2.9	3.0	2.3	2.5	2.6

Source: BNP Paribas

Türkiye: Activity has decelerated



Türkiye: Inflation pressures remain moderate



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Emerging Europe – Poland & Romania: Uneven growth, fiscal consolidation is a priority

Poland: Robust growth, contained inflation but elevated fiscal deficit

	2022	2023	2024	2025e	2026e	2027e
Real GDP growth, %	5.6	0.2	3.1	3.6	3.7	3.2
Inflation, CPI, year average, %	14.4	11.4	3.8	3.8	3.0	2.7
Gen. Gov. balance / GDP, %	-3.4	-5.2	-6.4	-7.3	-6.6	-5.8
Gen. Gov. debt / GDP, %	48.8	49.5	54.8	59.7	61.6	63.9
Current account balance / GDP, %	-2.3	1.5	0.3	-0.9	-1.6	-1.5
External debt / GDP, %	53.3	49.8	51.6	50.2	47.1	44.2
Forex reserves, EUR bn	156.5	175.4	214.2	231.0	262.0	275.0
Forex reserves, in months of imports	5.2	6.1	7.3	7.4	8.1	8.1

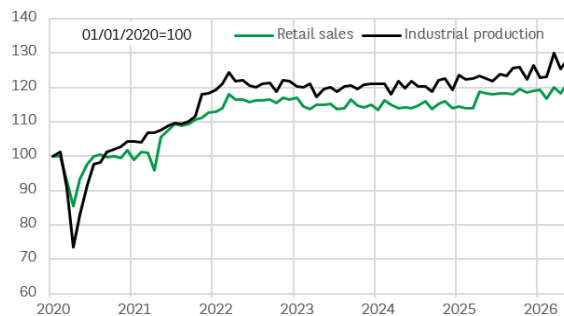
Source: BNP Paribas

Romania: Soft patch with persistent twin deficits

	2022	2023	2024	2025	2026e	2027e
Real GDP growth, %	4.2	2.3	0.9	0.7	0.1	2.6
Inflation, CPI, year average, %	13.7	10.5	5.6	7.3	7.9	4.6
General gov. balance / GDP (%)	-6.5	-6.6	-9.3	-7.9	-6.5	-5.7
General gov. debt / GDP (%)	48.1	49.3	54.8	59.3	61.5	63.0
Current account balance / GDP, %	-9.6	-6.7	-8.2	-7.9	-8.0	-7.5
External debt / GDP, %	54.7	56.9	57.5	60.2	62.1	64.9
Forex reserves, EUR bn	52.3	66.0	70.5	77.0	85.0	92.0
Forex reserves, in months of imports	5.3	6.9	7.1	7.5	8.0	8.2

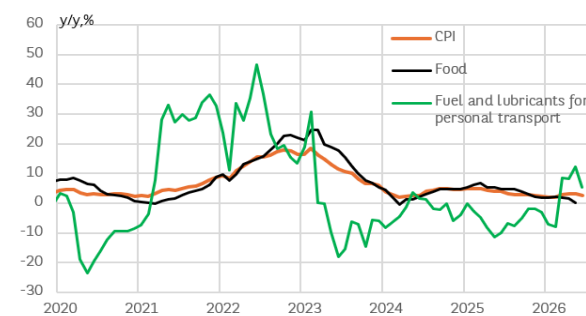
Source: BNP Paribas

Poland: Economic activity is holding up well



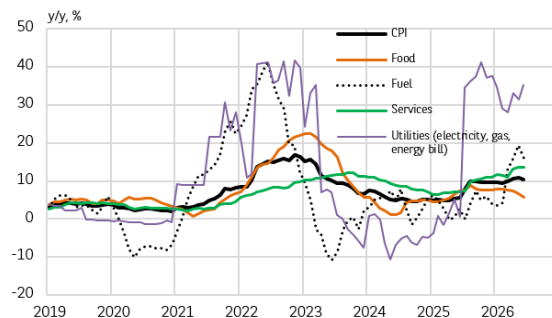
Source: Eurostat, BNP Paribas

Poland: Inflation is contained



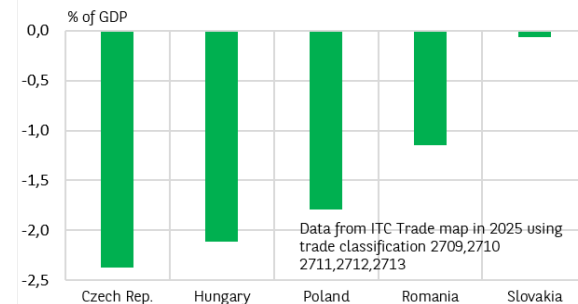
Source: Statistics Poland, BNP Paribas

Romania: Inflation is driven by energy and services



Source: National Institute of Statistics, BNPParibas

Romania: A moderate energy trade deficit



Data from ITC Trade map in 2025 using trade classification 2709,2710 2711,2712,2713

Source: ITC, BNP Paribas



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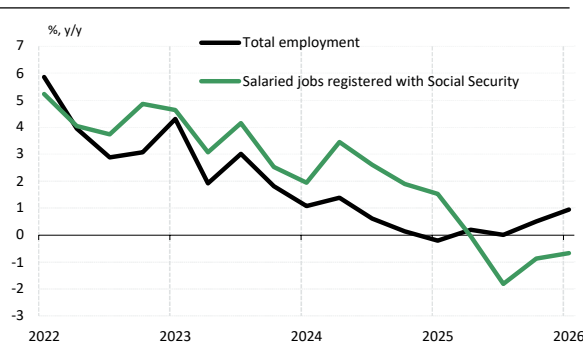
Latin America – Mexico: USMCA uncertainty impacts investment prospects

Mexico: Economic growth still sluggish

	2022	2023	2024	2025	2026e	2027e
Real GDP growth, %	3.9	3.2	1.5	0.5	1.1	2.0
Inflation, CPI, year average, %	7.9	5.6	4.2	3.8	4.0	3.7
Budget balance / GDP, %	-4.3	-3.3	-5.1	-3.9	-3.8	-3.8
Public debt / GDP, %	46.9	46.5	49.1	51.5	53.1	54.0
Current account balance / GDP, %	-1.2	-0.3	-0.9	-0.4	-0.6	-0.5
External debt / GDP, %	41.9	33.3	31.0	32.0	33.0	33.1
Forex reserves, USD bn	194.0	207.0	221.0	239.0	245.0	258.0
Forex reserves, in months of imports	4.8	4.1	4.3	4.5	4.2	4.1

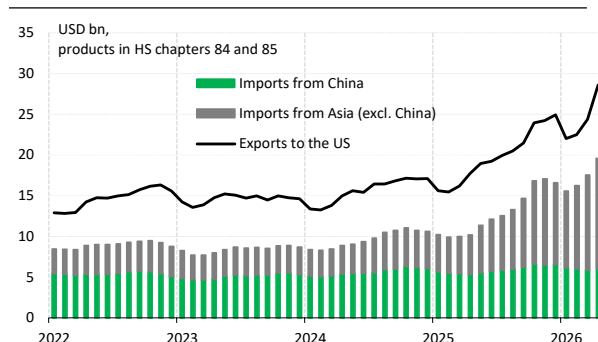
Source: BNP Paribas

Mexico: Informal employment impacts consumption



Source: INEGI, ENOE, BNP Paribas

Mexico: Regionalisation of trade but not of supplies



Source: Comtrade, BNP Paribas



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Latin America – Brazil & Colombia: Oil bonanza fails to prevent fiscal deterioration

Brazil: Resilient growth meets sticky inflation and fiscal strain

	2022	2023	2024	2025e	2026e	2027e
Real GDP growth, %	3.1	3.2	3.6	2.3	2.3	1.4
Inflation, CPI, year average, %	9.3	4.6	4.4	5.0	4.7	5.1
Public sector fiscal balance / GDP, %	-4.6	-8.8	-8.5	-8.3	-8.8	-8.6
Gross public debt / GDP, %	72	74	77	79	82	86
Current account balance / GDP, %	-2.9	-1.2	-3.0	-2.9	-2.3	-2.5
External debt / GDP, %	35	33	33	35	36	33
Forex reserves, USD bn	324	355	329	358	365	362
Forex reserves, in months of imports	11	13	10	11	11	12

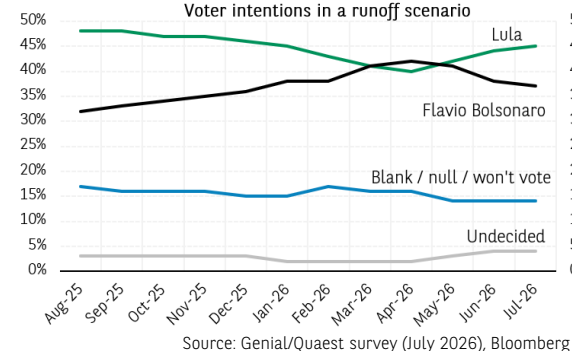
Source: BNP Paribas

Colombia: Growth to decelerate in 2026 before picking up in 2027, inflation to stay above BanRep's target

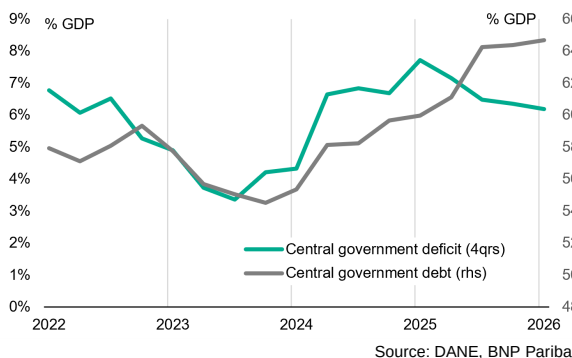
	2022	2023	2024	2025e	2026e	2027e
Real GDP growth, %	7.3	0.8	1.5	2.6	2.0	2.7
Inflation, CPI, year average, %	10.2	11.8	6.6	5.1	6.2	5.5
Central government balance / GDP (%)	-5.3	-4.2	-6.7	-6.4	-6.5	-5.4
Central government debt / GDP (%)	59.3	54.5	59.7	64.4	66.8	68.4
Current account balance / GDP (%)	-6.0	-2.3	-1.7	-2.4	-2.1	-2.3
External debt / GDP (%)	59.2	59.6	52.6	53.1	54.3	55.6
Forex reserves, USD bn	57.3	59.6	62.5	64.4	66.8	67.2
Forex reserves, in months of imports	7.7	9.3	9.5	9.2	9.3	9.3

Source: BNP Paribas

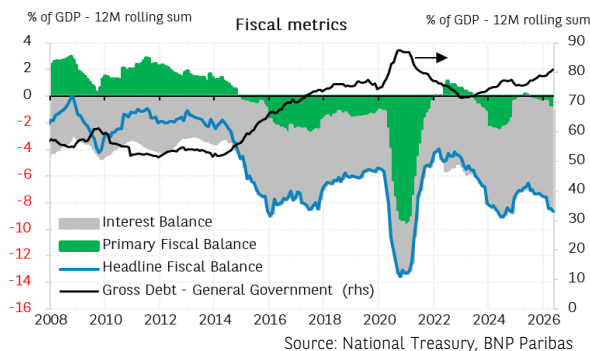
Brazil: Lula widens lead over Flavio Bolsonaro



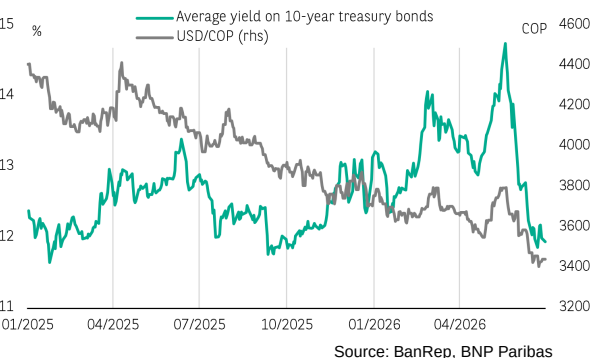
Colombia: Central government deficit remains substantial



Brazil's public debt ratio: an upward trend difficult to curb



Colombia: Markets have reacted positively to the election of Abelardo de la Espiella



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Middle East – Egypt slightly affected by the oil shock vs. Saudi Arabia hit hard by the conflict

Egypt: Macroeconomic improvement is not derailed

	2022	2023	2024	2025e	2026e	2027e
Real GDP growth (%)	6.7	3.8	2.4	4.4	4.7	4.7
Inflation, CPI, year average, %	8.5	24.0	33.6	21.0	13.2	12.3
Gen. Gov. balance / GDP (%)	-5.8	-5.7	-3.3	-6.5	-9.3	-6.1
Gen. Gov. debt / GDP (%)	89	96	91	87	81	72
Current account balance / GDP (%)	-3.5	-1.2	-5.4	-4.2	-3.6	-2.9
External debt / GDP (%)	33	42	40	44	42	40
Forex reserves (USD bn)	31,5	32,8	44,3	45,3	47,3	49,5
Forex reserves, in months of imports	3.7	4.7	6.0	5.1	5.0	5.3

Fiscal year from July 1st of year n-1 to June 30 of year n

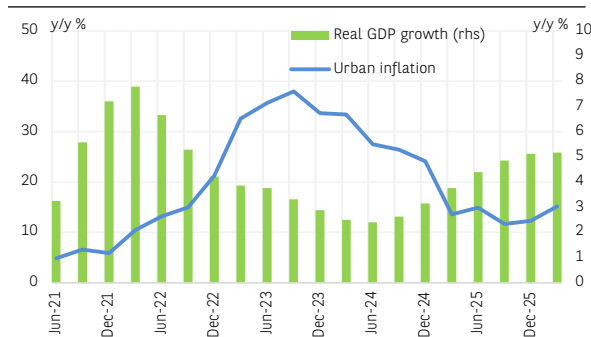
Source: BNP Paribas

Saudi Arabia: Hit by a severe growth shock

	2022	2023	2024	2025e	2026e	2027e
Real GDP growth (%)	12.0	0.5	2.6	4.5	0.8	4.4
Inflation, CPI, year average, %	2.5	2.3	1.7	2.0	2.2	2.1
Gen. Gov. balance / GDP (%)	2.2	-1.8	-2.5	-5.8	-5.1	-4.3
Gen. Gov. debt / GDP (%)	21	23,0	25,9	31,8	34,9	38,0
Current account balance / GDP (%)	12.1	2.1	-1.3	-2.6	-0.8	-1.1
External debt / GDP (%)	21	24,6	29,5	37,5	38,1	40,4
Forex reserves (USD bn)	460	437	437	460	487	493
Forex reserves, in months of imports	21.4	17.2	15.5	15.4	15.5	14.9

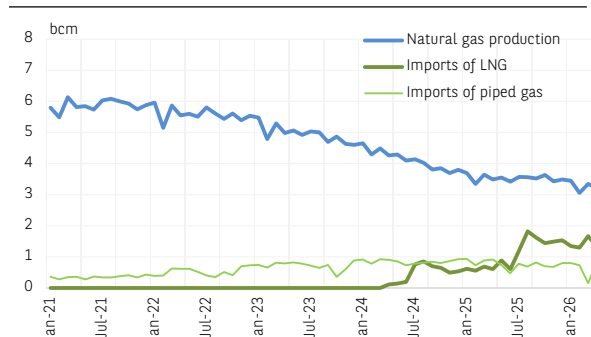
Source: BNP Paribas

Egypt: Economic recovery still on track



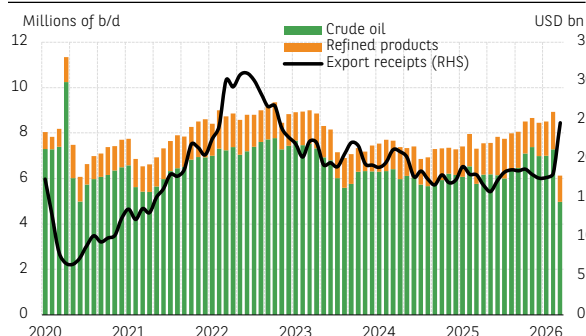
Source: IMF, BNP Paribas

Egypt: Growing dependence on LNG imports



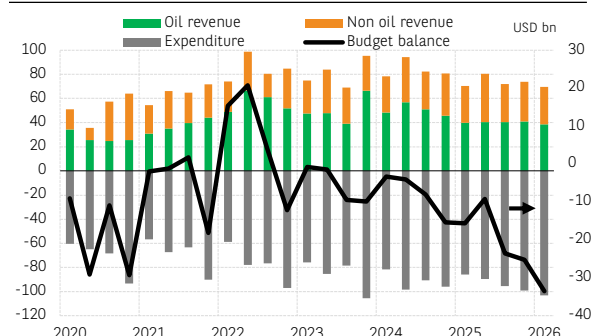
Source: BNP Paribas

Saudi Arabia's oil exports: falling in volume, surging in value



Source: GASTAT, Jodi, BNP Paribas

Saudi Arabia: Fiscal deficit reaching a record high



Source: MOF, BNP Paribas



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Economic Research

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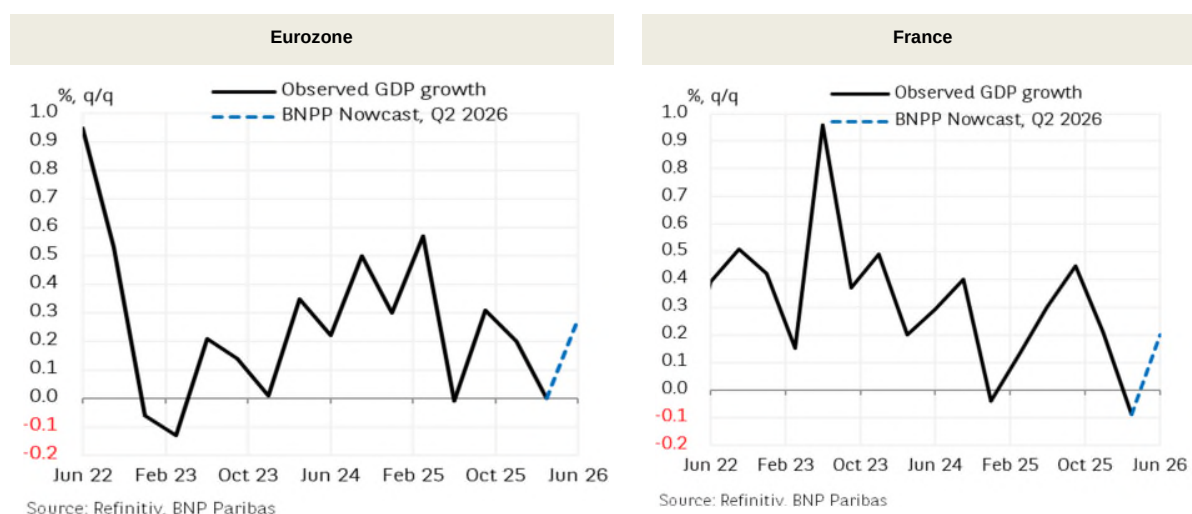


EcoFlash

Q2 growth in advanced economies: resilient despite multiple shocks

Shocks are mounting, but growth is holding up. Although GDP figures for the Eurozone, France, Germany and the United States are due to be published on 30 July, our nowcasts indicate that growth returned to its trend rate in the second quarter. This rate is approximately 1% per annum in the Eurozone, France and Germany, and 2% per annum in the United States. In Q2, the Eurozone is expected to benefit from sustained growth in Germany, with investment plans gaining momentum, while France is expected to see a rebound in exports and residential construction after a poor start in Q1. In the United States, growth is expected to remain driven by non-residential investment and household consumption but will be held back by strong imports.

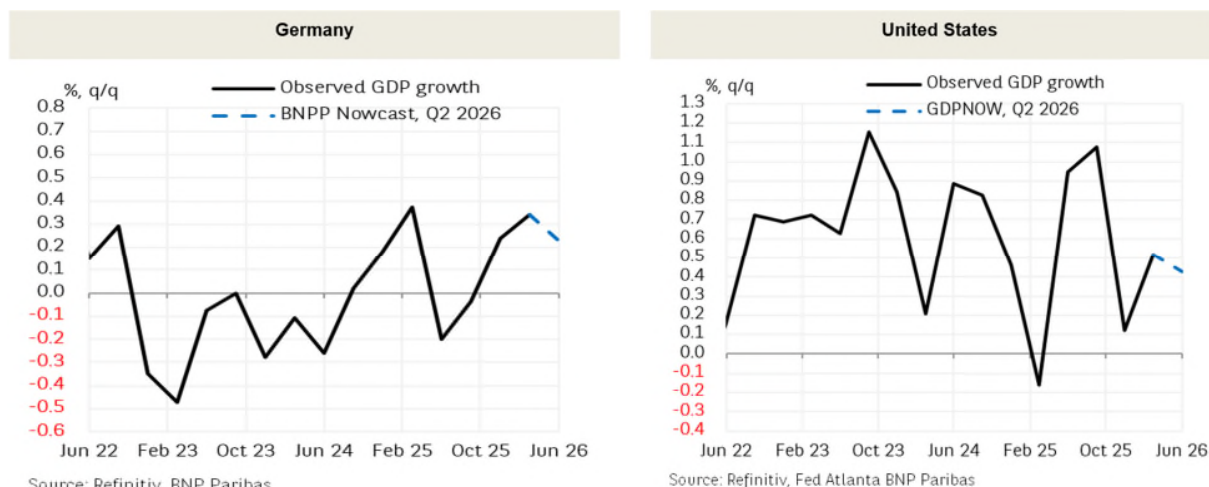
Eurozone: a (fragile) resurgence in momentum. Following a first quarter marred by significant volatility in Irish statistics – assuming this does not disrupt Q2 GDP figures again – **our nowcast points to a rebound in growth of +0.3% q/q in Q2 2026**, in line with our forecast. This nowcast has been recently revised upwards due to improvements in the June PMI surveys and the (unfortunately temporary) fall in the price of Brent crude. Growth in the Eurozone is expected to be driven by Germany and the rebound in economic activity in France (see below). The resilience of the Eurozone labour market is likely to continue providing support for consumption, although household purchasing power is expected to fall by 0.9% q/q in Q2. This decline underscores the two headwinds facing households: geopolitical uncertainty and the temporary rise in inflation, both of which are expected to continue to dampen consumption and keep the savings rate at a high level.



France: a (partial) return to growth. France appears to have returned to growth in the second quarter, with an increase of **+0.2% q/q according to our nowcast**. Three factors contributed to the 0.1% q/q decline in Q1: i/ exports: however, Airbus deliveries have since rebounded sharply (+40% y/y in Q2 after -16% y/y in Q1), and exports have also risen in the steel, IT/electronics and pharmaceutical sectors; ii/ construction: after a sharp decline across all its sub-sectors in Q1, output is expected to stabilise in Q2 (with a rebound in new housing offsetting ongoing weakness in public works and renovation); 3/ household consumption: this is expected to remain under pressure in Q2 (following a 0.2% q/q decline in Q1) due to rising inflation, which has prompted households to revise their purchasing intentions downwards (a decrease of 9 points in June compared with February in the household confidence survey, 22 points below their historical average).

Germany: the return to growth is being confirmed. Germany is implementing its investment plans ([see our analysis](#)) and this is being reflected in its GDP growth. **Our Germany nowcast (which we are publishing for the first time) indicates that growth reached 0.2% q/q in the second quarter**, marking a third consecutive quarter of growth (+0.2% q/q in Q4, +0.3% in Q1) – a performance not seen since 2022. Public spending is the main driver of this growth, with social spending leading the way (particularly those associated with an ageing population). Defence spending is also gaining momentum: in Q1 2026, government expenditures accounted for a quarter of public consumption growth (compared with a tenth a year earlier). This rise in public spending is

supporting public works, with output reaching an all-time high in the first two months of Q2 (+6% q/q). German industry is also reaping the benefits of this, alongside the resurgence in European demand: domestic industrial orders have risen by 2.6% y/y since the start of 2026, with an even more significant rise for orders to the Eurozone (+6.2% y/y).



United States: growth held back by inflationary pressures. Survey data are looking strong. The non-manufacturing ISM index remains high (54 in June, following a peak of 56.1 in February), while the manufacturing ISM index has risen significantly since the start of the year (averaging 52.9, compared with 47.5 in the second half of 2025). However, GDP growth is unlikely to benefit much from this uptick in activity, as the rise in imports (particularly of inputs for AI) has also accelerated. **This limits the Atlanta Fed's nowcast to 1.7% q/q for the second quarter (annualised), while our forecast is slightly more optimistic, at 2.2% annualised (0.55% q/q, non-annualised).** This figure, which is relatively moderate given the high ISM reading, can also be attributed to the inflationary pressures facing the US economy. These pressures are linked to supply constraints on intermediate goods and the strength of the labour market and have been exacerbated since March by the rise in oil prices. Consequently, while it is conceivable that consumption will continue to be driven in Q2 by the wealth effect among affluent households, the confidence and spending of other Americans are likely to be adversely affected by ongoing inflation.

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FRENCH CORPORATES: PEAKS IN CREATIONS PUT PEAKS IN BANKRUPTCIES INTO PERSPECTIVE

Thomas Humblot

In June 2026, corporate creations cumulated over one year remained dynamic, reaching a historic peak according to INSEE, with 1,233,123 corporates set up, representing a 11.1% year-on-year increase. This momentum is not a recent phenomenon, as corporate creations have doubled over the last decade. During this same period, the rise in bankruptcies has been ten times lower, which serves to put current levels (approximately 70,000 bankruptcies cumulated over one year in March 2026) into perspective. Historically, the peaks and troughs in corporate bankruptcies are following those of corporate creations, with an average lag of 24 to 36 months. Therefore, the absolute number of bankruptcies provides an incomplete reflection of the financial health of the French production base, and must be supplemented by other indicators.

Corporate creations have doubled in ten years, but bankruptcies have not. Over the past decade, the number of corporates created annually has doubled, as creations were plateauing at around 570,000 per year between 2012 and 2015, while they reached 1,166,000 in 2025 (+104%). During these same two periods, bankruptcies cumulated over one year increased by only 11%. The introduction of the 'auto-entrepreneur' status on 1st January 2009¹, followed by the doubling of the turnover ceiling (and the explosion of delivery platforms) in 2018, largely fuelled the rise in corporate creations during this period.

Historically, bankruptcies follow creations after 24 to 36 months. As a result, the peaks seen since March 2026 (around 70,000 bankruptcies cumulated over one year) reflect the increase in the number of young corporates, rather than solely the impact of successive macroeconomic shocks. Given that the average survival rate for all corporates is 75% at 3 years, compared to 65% at 5 years (and 50% at 9 years)², the cycles of rising and falling bankruptcies are generally following cycles of rising and falling corporate creations after a period of 24 to 36 months³.

The financial health of corporates must be assessed beyond mere creation and bankruptcy figures. First, bankruptcy statistics underestimate the difficulties faced by micro-enterprises. Indeed, Banque de France statistics only record companies undergoing receivership ('redressement judiciaire') or liquidation ('liquidation judiciaire'). However, micro-enterprises are more likely to cease operations when facing difficulties without entering formal bankruptcy proceedings. Therefore, bankruptcy data must be supplemented by other indicators, such as corporate deregistrations ('radiations')⁴, which are rising, according to Infogreffe⁵. Second, as micro-enterprises are over-represented among bankruptcies — accounting for 92% of the total in May 2026 — the absolute number of bankruptcies should be contextualised by other metrics. These include the economic weight of bankrupt corporates, which allows for weighting by a proxy for corporate size, or the ratio of non-performing loans (NPLs) in the banking sector⁶. These data confirm that there is no particularly alarming trend in recent bankruptcy figures.

We will shortly publish a dashboard providing a synoptic overview of these aspects.

1 With this status merged into the 'micro-enterprises' status since 2016, which is the only one remaining.

2 See [Economically active enterprises in 2023 - Insee Première - 2097](#)

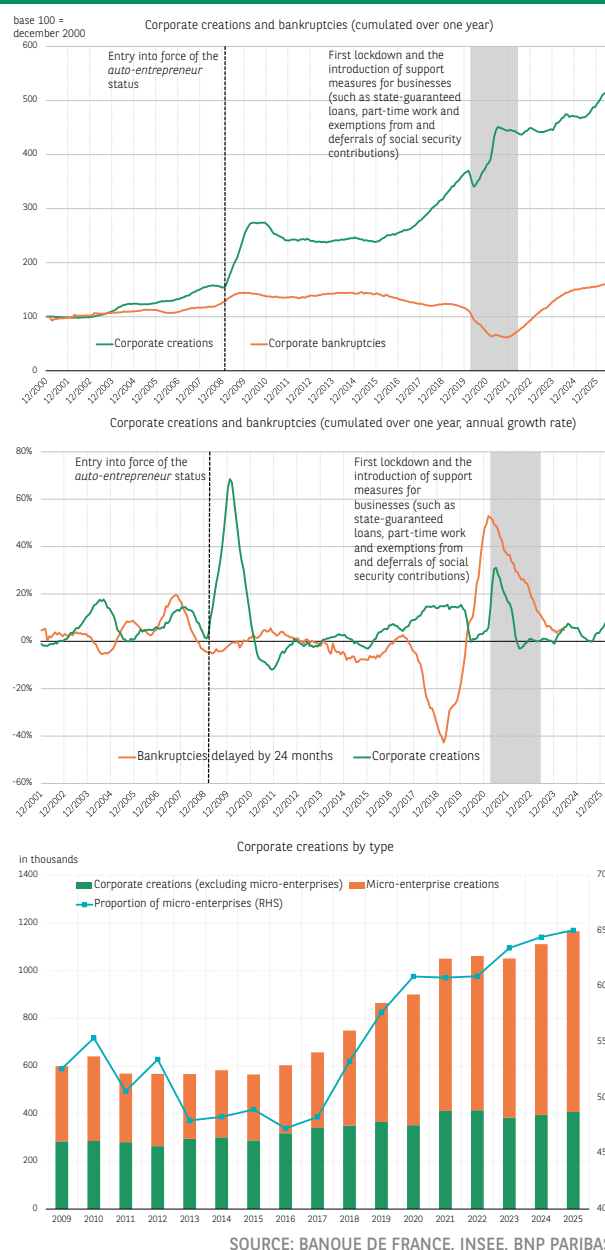
3 See [Défaillances d'entreprises : les dynamiques à l'œuvre au terme de six années atypiques | Banque de France](#) [Available in French only].

4 Which includes a substantial number of takeovers, company mergers and legal restructuring of business groups without interruption to business activity.

5 [Panorama de l'entrepreneuriat - Mai 2026 : des créations stables, des radiations toujours élevées et des fragilités persistantes - Infogreffe](#) [Available in French only].

6 See [Poids économique des défaillances d'entreprises, des niveaux élevés à relativiser](#)

Peaks in corporate creations, driven notably by the rise of auto-entrepreneurs since 2009, are followed by peaks in bankruptcies after 24 to 36 months



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EDITORIAL

3

EMERGING ECONOMIES: WHY IS THE ENERGY SHOCK NOT DERAILING GROWTH DRIVEN BY THE AI BOOM?

Despite the war in Iran, the closure of the Strait of Hormuz and the temporary surge in energy prices, emerging economies have so far avoided a crisis scenario. Their growth is slowing marginally, inflation remains contained in most countries and financial markets have not collapsed. The most powerful growth engine is coming from Asia: global demand for chips, data centers and electronic goods linked to artificial intelligence is offsetting part of the oil shock and reshaping the external balances of several emerging countries.

Emerging economies have so far withstood the energy shock caused by the conflict in the Middle East better than expected. The surge in oil, gas and energy-related input prices was rapid, but less inflationary than in 2022. If monetary easing cycles have been interrupted in many countries, most central banks have been able to keep their rates unchanged over the past four months. Emerging financial markets did not experience a generalized loss of confidence, while macroeconomic buffers stronger than in summer 2022 helped absorb the rise in energy costs. In Asia, the region most dependent on Middle Eastern hydrocarbons, authorities have limited the risks of shortages by diversifying supply sources, mobilizing reserves and adjusting demand. Most importantly, countries exporting technological goods have been benefiting strongly from the boom in artificial intelligence. Investments in AI physical infrastructure and global demand for chips and other electronic goods have been supporting growth and external accounts of several emerging economies, sometimes more than the energy shock penalizes them. In the short term, the average growth of emerging markets should therefore slow down only moderately. Risks remain high, however, including more persistent inflation, possible increases in US Fed rates, geopolitical tensions, volatility in commodity prices and the risk of a tech cycle correction.

GROWTH IN EMERGING ECONOMIES: THE ENERGY SHOCK SLOWS ACTIVITY AND ACCELERATES INFLATION, WITHOUT CAUSING A CRISIS

Emerging market economies have overall withstood the energy shock caused by the war in Iran. Their average growth, solid in the first quarter of 2026 (estimated at +1.0% q/q), is expected to slow only very moderately in the second quarter. Neither business surveys nor activity indicators experienced significant deterioration during the spring. The aggregate manufacturing PMI for emerging countries fell in March before rebounding in April and remaining almost stable thereafter; in June, it was in expansion territory (at 51.4) and slightly above its January-February average level. By the end of June, only four of the eighteen major emerging economies (Chile, Indonesia, Türkiye, Egypt) had a manufacturing PMI below 50 and lower than in February. In industrialized Asian countries that are also net hydrocarbon importers, PMIs remained well-oriented despite the energy shock. In Vietnam, real GDP growth accelerated to +8.4% y/y in Q2, up from +7.9% in Q1, driven by strong industrial production and export performance. In China, economic growth slowed in Q2 (+4.3% y/y after +5% in Q1), notably curbed by rising energy prices, lower public spending and weak demand of the domestic private sector (see the note on China, page 10).

On the inflation front, the shock proved less severe than expected: inflationary pressures have emerged quickly but remained moderate. The closure of the Strait of Hormuz had an immediate and significant impact on global energy prices (Brent price: +57% between late February and late April – see table A & chart B, page 6), as well as on fertilizer and petrochemical product prices. The shock quickly affected fuel prices and transport costs around the world.

Exposure to the energy shock

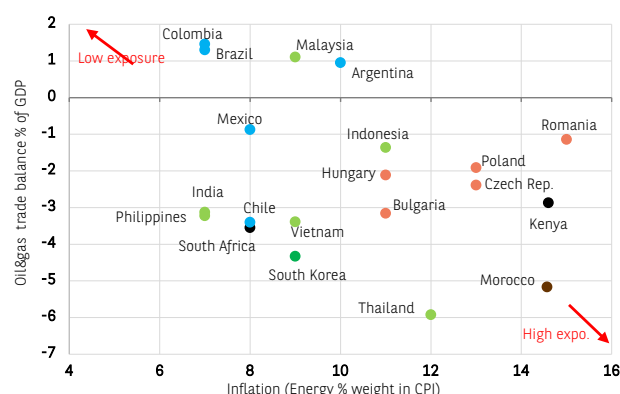


CHART 1

SOURCE: ITC, NATIONAL STATISTICS, BNP PARIBAS

However, on the one hand, the increases have so far spread little to agricultural and food prices. This has significantly limited the impact of the energy shock on CPI inflation (energy typically accounts for less than 15% of the CPI basket in emerging countries, while the average weight of food is 30%), particularly when compared to the 2022 shock resulting from the war in Ukraine. On the other hand, oil prices fell from late April (Brent price: -19% in May and -21% in June), helped by the faster reduction in OECD countries' stocks and lower Chinese oil imports, and then by prospects of the reopening of the Strait of Hormuz¹.

The median CPI inflation rate in emerging markets has risen moderately, from 3.2% y/y in February to 4.3% in June. Inflation thus remains contained in a majority of countries (see chart C, page 6). In the countries most severely affected (notably the Philippines and Thailand, followed by Kenya, South Africa and Bulgaria), the inflationary shock is explained by a greater direct exposure to the energy price shock (Chart 1, above) and, in some cases, by the depreciation of their currency. Conversely, inflationary pressures have been the lowest in countries using subsidies or fuel price controls (for example India, Indonesia, Malaysia or the Gulf countries). In China, rising energy prices have helped reduce deflationary pressures (though not addressing the underlying structural causes): producer prices have been increasing since March after more than three years of decline, and CPI inflation has accelerated slightly to +1.1% y/y in Q2 2026 vs. 0.8% in Q1.

Monetary easing cycles, which were underway in many countries at the beginning of the year, have generally been interrupted. But interest rate hikes have been few and limited in scope (see chart D, page 6). Since the beginning of the war in Iran, only a few central banks have significantly raised their policy rates, but not necessarily in response to the energy shock. It is, in particular, the case of Indonesia and Colombia:

¹ BNP Paribas, 16 June 2026: [Reopening of the Strait of Hormuz: the oil market between short-term relief and persisting uncertainties](#)



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while their direct exposure to the energy price shock is limited (Chart 1, page 3), monetary authorities reacted, in the first case, to the nervousness of foreign investors and the depreciation of the rupee and, in the second, to the expansionary drift of fiscal policy and its effects on inflation (*cf.* Indonesia & Colombia, pages 16 and 26). Monetary policy was also tightened in the Philippines and, to a lesser extent, in South Africa and the Czech Republic, as central banks acted quickly when inflation moved away from target ($3\% \pm 1$ for the Philippines and South Africa, $2\% \pm 1$ for the Czech Republic). Korea's central bank is the latest to have raised its policy rate on 16 July (+25bp) due to inflationary pressures in a context of solid economic growth (*cf.* South Korea, page 12).

A large number of central banks have kept their key interest rates unchanged, including in Asia. The monetary status quo could be maintained in Thailand (which is emerging from a year of deflation), Vietnam (whose central bank has objectives to stabilize prices but also to support demand) and China (which is seeking to stimulate credit and combat deflationary pressures). Brazil and Hungary are two exceptions as they have, as planned before the war, started their monetary easing cycle (since February, policy rates have been cut by 75bp in Brazil and 50bp in Hungary).

WHY ARE EMERGING COUNTRIES COPING BETTER THAN IN 2022 WITH THE ENERGY SHOCK?

Macroeconomic resilience. Emerging countries' macroeconomic fundamentals and their cyclical position have helped cushion the impact of the external shock. At the beginning of the year, emerging economies as a whole, experienced dynamics of strong growth, disinflation, and lowering public and external account imbalances. In India, for example, the authorities have more leeway to support the economy thanks to a smaller budget imbalance, lower current account deficit and more moderate inflation than in 2022 (*cf.* India, page 14). In Egypt, the adjustment of economic policies over the last few quarters (fiscal reforms, increased exchange rate flexibility) and support from international creditors have been helping to limit the destabilizing effect of rising energy prices (*cf.* Egypt, page 32). In Poland and more generally in Central Europe, inflation is much more moderate than in 2022, and inflation expectations are better anchored (*cf.* Poland, page 18).

Energy resilience. The supply shock was less severe than feared at the time of the first military attacks in late February. Hydrocarbon shortages and their direct effects on activity have been more limited. Asian countries – despite being the most exposed to supply disruption risks due to their reliance on hydrocarbon imports from the Middle East – have demonstrated strong adaptive capacity. They rapidly implemented solutions to reduce the risk of shortages, with measures to contain demand, search of alternative supply sources (for instance from Russia, floating stocks, etc.). Central European² and Latin American countries³ are less or little dependent on hydrocarbons from the Middle East.

The absence of a financial shock. Emerging financial markets have not experienced widespread stress since the beginning of the war in Iran. Investment flows have been highly volatile in an international context marked by rising geopolitical risks and upheavals linked to the AI boom. However, overall, emerging markets have not experienced any major loss of foreign investor confidence. Financial conditions have tightened only slightly for emerging sovereign and private borrowers.

CDS spreads and domestic bond yields tensions have remained contained and lower than in 2022, and currencies have generally held up well (Chart E, page 6). Between 27 February and 18 June 2026 (memorandum of understanding between the United States and Iran), the most significant depreciations affected either the countries most directly exposed to the energy shock, such as Thailand (-5.3% vs. USD), South Korea (-6.2%) or the Philippines (-4.5%), or those with specific macroeconomic vulnerabilities, such as Indonesia (-5.7% vs. USD), Romania (-5.4%) and Türkiye (-5.4%). Emerging currencies appreciated between the signing of the MOU and the resumption of military attacks in mid-July.

Another factor contributing to the broad resilience of the emerging economies is the boom in AI and global demand for AI-related goods.

THE EXPANSION OF AI INFRASTRUCTURE SUPPORTS ACTIVITY IN ASIA

For emerging countries as a whole, the rise of AI represents a positive growth shock that offsets the negative impact of the energy shock.

So far, the impact of AI expansion on emerging economies has been mainly through the spillover effects of investments in the physical infrastructure of AI⁴, via supply chains and global trade⁵. The countries that produce the goods necessary for the construction of data centers and other AI infrastructures (critical metals and, above all, chips and other electronic goods) have indeed a strategic advantage in their international relations, a solid export base and a growth driver. **In some of these countries, the surge in global demand for AI-related goods is also reshaping external account dynamics.**

Countries that produce critical minerals hold a particularly strategic position, but economic growth gains directly linked to the AI boom are modest in the short term. They export these minerals largely in their raw state, without great added value, and the quantities used are limited. While all AI-related goods account for about 15% of the total value of global exports (Oxford Economics data), raw materials represent less than 3%. However, the rise in critical metal prices has supported the terms of trade for exporting countries (for example, the price of copper has increased by 42% over the past year and by 8% since the beginning of 2026). This has enabled, particularly in certain Latin American countries, to offset the impact of rising prices of imported hydrocarbons since the beginning of the conflict in the Middle East.

Countries that produce chips and other electronic goods have, on the contrary, benefited from strong support for activity and exports over the last few quarters. It essentially concerns Asian countries, which provide 65% of global exports of AI-related goods and 85% of semiconductor exports (2025 data). Taiwan, as well as South Korea, China, Vietnam, Malaysia and Thailand are the main beneficiaries of the rise in global demand for AI-related goods in terms of impact on activity⁶. **On the other hand, the impact on current account balances varies widely and depends on the producing country's position in the value chains.**

Upstream in the chain, Taiwan and South Korea produce the most sophisticated and indispensable chips for AI, and the rise of AI supports activity and current account surpluses. Their merchandise exports have shown very high growth rates (+47% y/y in value in both Korea and Taiwan in H1 2026), driven by a strong increase in both volume (estimated at over 20% y/y in H1) and prices (see chart F, page 6). Export prices are supported by the rapid increase in demand and the rise in the value chain (in South Korea, the average price of exported

² BNP Paribas, 27 April 2026: [Energy shock: The four keys to Central Europe's resilience](#)

³ BNP Paribas, 15 April 2026: [Latin America: more exposed to inflationary pressures than to disruptions in hydrocarbon supplies](#)

⁴ BNP Paribas, 6 March 2026: [The rise of artificial intelligence: strategic opportunities for emerging countries](#)

⁵ Growth in the volume of world merchandise exports accelerated from 2.8% in 2024 (1.8% in value) to 4.4% in 2025 (6.8% in value) and 6.7% y/y in the first four months of 2026 (CPB data), largely driven by demand for AI-related goods.

⁶ According to Oxford Economics estimates, Taiwan benefits from the most significant positive impact on its GDP and net exports from a USD100 increase in US imports of AI-related goods. Vietnam, Malaysia, South Korea, Thailand and China follow. *Cf.* Oxford Economics, 21 May 2026: [How AI is shaping regional supply chains – and fuelling a new savings glut](#).



semiconductors has more than doubled in a year). The growth in volumes has recently slowed down, with the manufacturing sector activity being constrained, on the one hand, by rising energy and commodity costs and, on the other hand, by high production capacity utilisation rates.

Boosted by production and exports of AI-related goods, Taiwan's economic growth reached 14.5% y/y in Q1 2026 (with a contribution from net exports of 10.3pp) and South Korean growth accelerated to 3.8% (with a contribution from net exports of 1.5pp). On the external account side, strong growth in chip exports and the improvement of terms of trade have had a direct and significant positive impact on the trade and current account balances (cf. chart 2). External surpluses are reaching record highs despite the rise in the energy bill. In Q1 2026, Taiwan's current account surplus is estimated at nearly 25% of GDP (vs. an average of 15% over the past five years), and South Korea's at nearly 15% of GDP, compared to 4% over the past five years (South Korea).

China exports a wider range of AI-related goods, but their production requires importing microprocessors and other high-value-added components, notably from South Korea and Taiwan. The boom in AI-related global demand is boosting export activity, and China's AI sector is becoming an essential driver of growth in both the industrial and services sectors. However, the balance of trade in AI-related goods is close to equilibrium, as imports are increasing in line with exports. Therefore, the boom in trade of AI-related goods does not increase China's trade surplus (cf. China, page 10).

Other exporters of tech goods are more specialized in the assembly, testing and packaging of chips to form electronic components at various stages of the value chain. They are all benefiting from solid support for economic growth and export revenues. However, not all have a position that allows them to increase their trade surpluses thanks to the rise in global demand for AI-related goods (cf. chart 2). Malaysia currently benefits from its status as a net exporter of hydrocarbons and semiconductors.

At the other end of the spectrum, Thailand, Vietnam and, to a much lesser extent, Mexico produce lower value-added goods. They are currently facing both the rise in energy costs and the rise in the price of electronic inputs that they have to import to run their factories (cf. Mexico, page 28). In Thailand and Vietnam, the trade balance moved from a surplus in H1 2025 to a deficit in the same period in 2026. The boom in AI therefore tends to exacerbate their external vulnerability. While Thailand has sufficient foreign exchange reserves to absorb shocks to its balance of payments, Vietnam has low forex reserves and could face some pressure on its currency in the coming months.

FORECASTS FOR 2026: ECONOMIC GROWTH CLOSE TO 4%, BUT THREE MAJOR SOURCES OF RISK FOR TURBULENCE

Average growth in emerging economies is therefore expected to slow only moderately in the short term. In our central scenario, we expect average growth slightly below 4% for the whole of 2026, after 4.5% in 2025. The slowdown is, unsurprisingly, most pronounced in the Gulf⁷ and the Middle East. It is widespread but relatively moderate in Asian countries, with the effects of the AI boom helping to offset the consequences of the energy shock in the most industrialized economies. Asia's average economic growth will remain the strongest among emerging regions. The slowdown is much less pronounced in Latin America, particularly thanks to the expected rebound in Mexico and the strong performance of Brazilian growth (cf. Mexico and Brazil, see pages 28 and 24), and in Central Europe, where activity is notably supported by public investment (see Regional Overviews, page 8).

⁷ BNP Paribas, 15 July 2026: [The conflict in the Middle East: a massive blow to growth in the Gulf](#)

External accounts: countries have varied positions in face of the energy shock and the AI boom

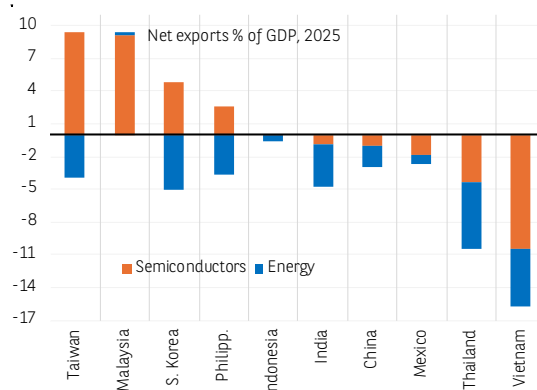


CHART 2

SOURCE: ITC, IMF, BNP PARIBAS

The first downside risk to this central scenario is the inflationary risk. Inflationary pressures are expected to persist, driven by durably higher commodity prices. They could lead to a broader tightening of monetary policies. After the signing, in late June, of the MOU between the United States and Iran, global oil prices had returned to their pre-war levels, but they have been increasing again since the resumption of military attacks. They should remain volatile and high in the short term. Global prices of critical minerals are expected to remain high, particularly due to the wave of AI investments and electrification. Agricultural commodity prices could also rise faster than expected due to a combination of higher fertilizer prices and weather phenomena (El Niño, heatwaves, unfavorable monsoon in India, etc.). The IMF expects an 18.6% increase in the average price of non-fuel commodities in 2026, after +10% in 2025.

The second risk to our forecasts is the risk of tighter global financing conditions for emerging borrowers, which will partly result from the expected increase in US Fed rates and could further intensify if foreign investor sentiment deteriorates. Large depreciations of emerging currencies would then also increase inflationary pressures. In a global context marked by geopolitical tensions and upheavals driven by the AI boom, the risks of financial turbulence are significant.

The third risk is the potential correction of the technology cycle. A sudden slowdown in investments in data centers and digital infrastructures would directly weigh on economies most exposed to semiconductor value chains. Given the current narrow base of global growth and its concentration around tech, such a correction would not be limited to financial markets: it would also affect the real economy, particularly in the industrialized countries of Asia and countries dependent on US demand.

Article completed on 16 July 2026

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CONSEQUENCES OF THE ENERGY SHOCK

6

Oil and gas prices (annual averages)

	2025	2026p	2027p
Brent (USD/b)	68.1	81-96	79-110
TTF (€/MWh)	36.3	40-51	35-86

Forecasts: **lower bound** = temporary hike in tensions but negotiations continue;
upper bound = reescalation with indefinite Hormuz outage

TABLE A

SOURCE: BNP PARIBAS

Prices of oil, gas and fertilisers

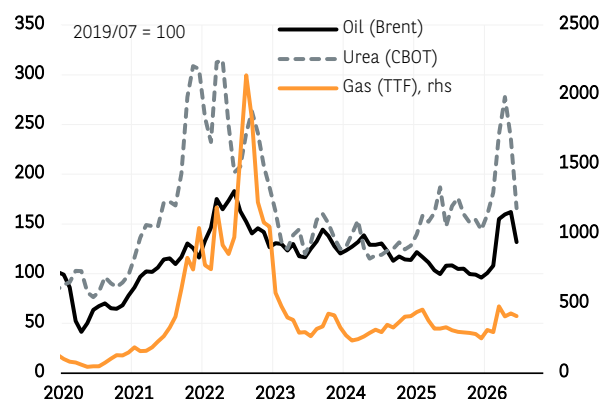


CHART B

SOURCE: BLOOMBERG

Moderate increase in inflation pressures

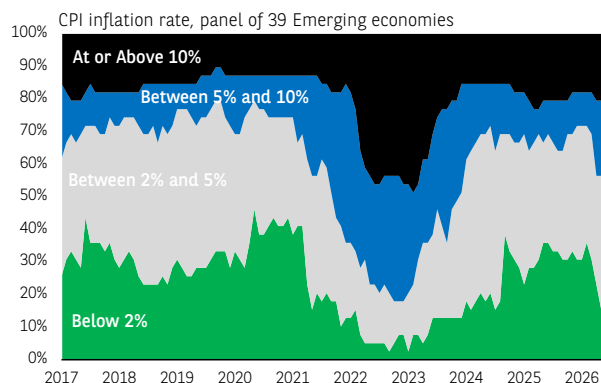


CHART C

SOURCE: CENTRAL BANKS, MACROBOND, BNP PARIBAS

Monetary tightening is not widespread so far

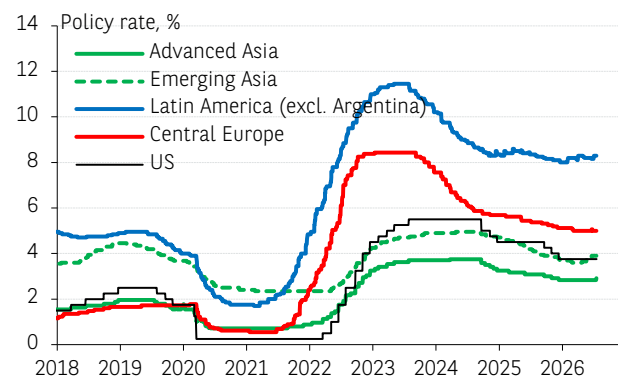


CHART D

SOURCE: CENTRAL BANKS, MACROBOND, BNP PARIBAS

Moderate currency depreciations

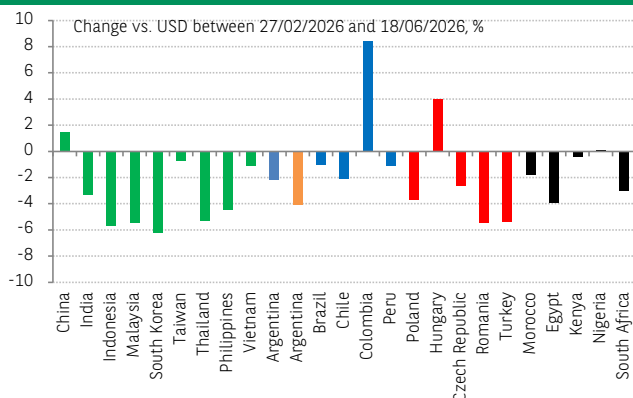


CHART E

SOURCE: MACROBOND, BNP PARIBAS

Chip producers enjoy the strongest export growth

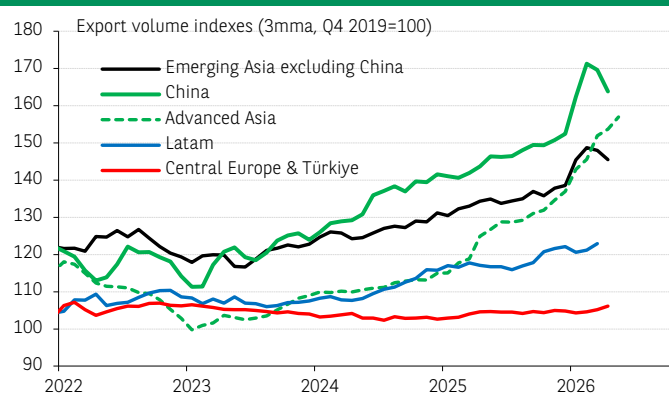


CHART F

SOURCE: CPB, MACROBOND, BNP PARIBAS


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KEY INDICATORS

7

Real GDP

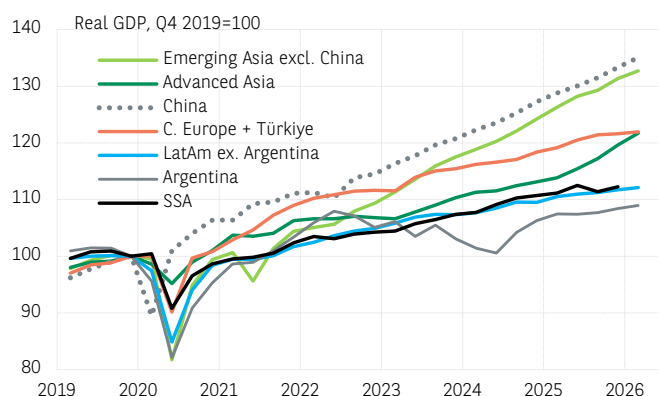


CHART 1

SOURCE: MACROBOND, BNP PARIBAS

Inflation

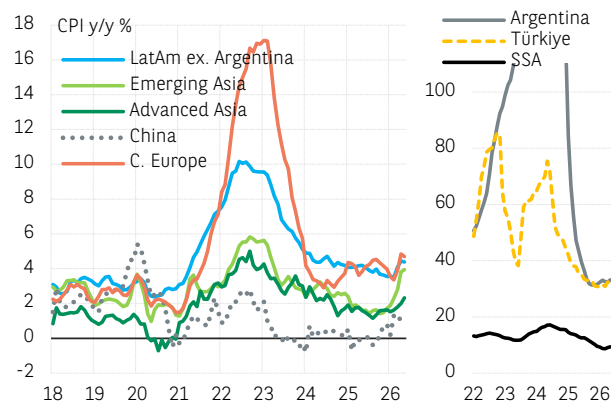


CHART 2

SOURCE: MACROBOND, BNP PARIBAS

Domestic bank credit

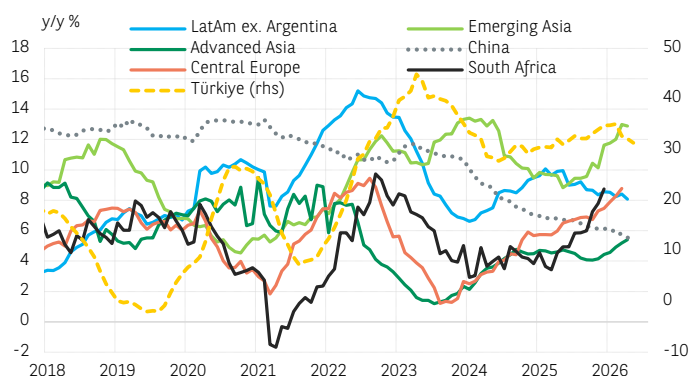


CHART 3

SOURCE: CENTRAL BANKS, BNP PARIBAS

Current account balance

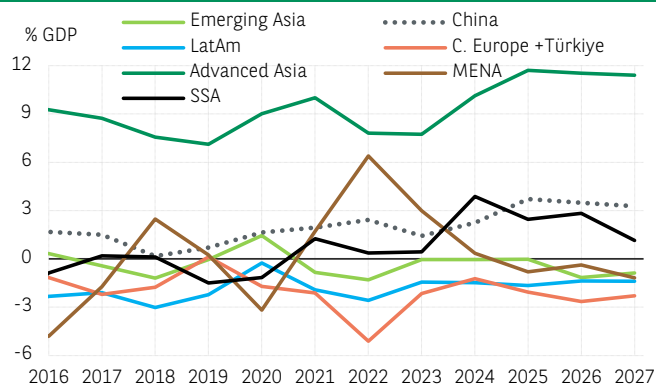


CHART 4

SOURCE: IMF (WEO), BNP PARIBAS

General government net balance

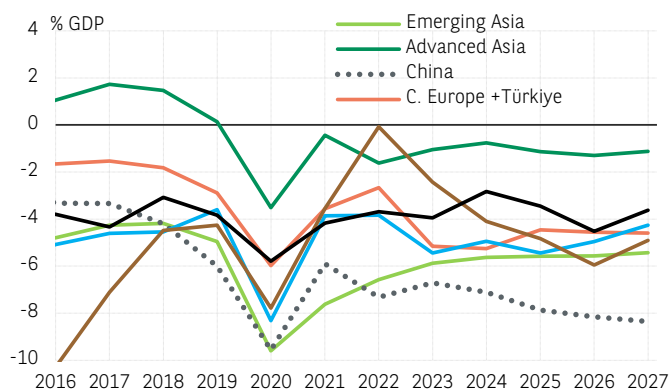


CHART 5

SOURCE: IMF (WEO), BNP PARIBAS

General government gross debt

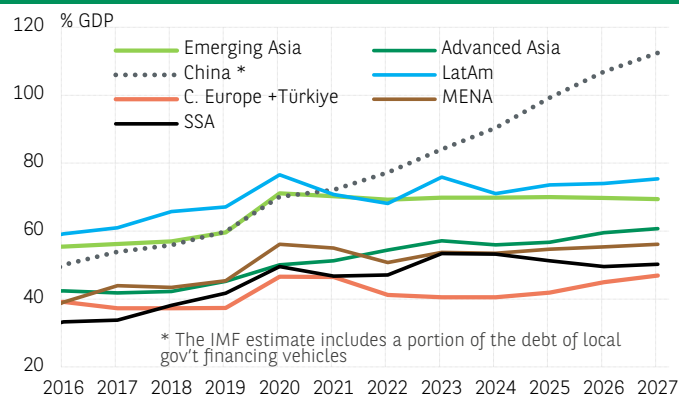


CHART 6

SOURCE: IMF (WEO), BNP PARIBAS

Emerging Asia: India, Indonesia, Malaysia, Philippines, Thailand, Vietnam
Advanced Asia: Hong Kong, Singapore, South Korea, Taiwan
Central Europe: Bulgaria, Czech Rep., Hungary, Poland, Romania, Slovakia
Latin America: Argentina, Brazil, Chile, Colombia, Mexico, Peru
MENA: Middle East-North Africa
SSA: Sub-Saharan Africa: Angola, Kenya, Nigeria, South Africa.


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REGIONAL OVERVIEWS

Article completed on 13 July 2026

8

NORTH AFRICA / MIDDLE EAST: A SEVERE SHOCK WITH DISPARATE EFFECTS

The consequences of the conflict in the region are significant. Average economic growth is expected to fall to 0.5% this year, compared to 4% in 2025. The Gulf Cooperation Council (GCC) countries are bearing the brunt of the correction, as, for the first time since 2020, a GDP contraction (of approximately 1%) is expected in 2026, due to the sharp decline in oil and gas production during the conflict. Non-hydrocarbon activity is also decelerating, although it is not contracting in Saudi Arabia or the United Arab Emirates. For Kuwait and Qatar – the least diversified GCC economies and with no alternative to the Strait of Hormuz – the growth shock is much more severe. For these two countries, real GDP contraction is expected to reach 7% to 8% in 2026.

Provided the situation stabilises, GCC growth is expected to rebound to 4.6% in 2027, driven by the recovery of oil and gas production and a rebound in the non-hydrocarbon sector. Uncertainties remain very high. Nevertheless, several factors are contributing to the resilience of these countries: relatively high global energy prices, vast financial resources and moderate debt levels. Financial market reactions have remained contained so far, including for Bahrain, despite its deteriorated macroeconomic fundamentals. Subsidies and the reorganisation of logistical flows around Saudi Arabia have helped to contain the inflationary risk induced by the closure of the Strait of Hormuz. Although rising, average inflation in the Gulf countries is not expected to exceed 2.5% this year.

The development models of the Gulf countries, while not entirely called into question, will need to be adjusted. Substantial investments will be required over the medium term, within an oil environment that could become unfavourable again. Saudi Arabia will have to continue managing a delicate balance between fiscal stability and the pursuit of the « Vision 2030 » programme.

In North Africa, the energy shock should remain manageable, particularly in Morocco, thanks to robust macroeconomic fundamentals. Greater exchange rate flexibility has enabled Egypt to absorb the impact on foreign currency liquidity resulting from higher energy bills and portfolio investment outflows. The upturn in activity and the disinflationary trajectory remain intact. In Algeria, the surge in energy prices will aid an economy which has seen its fiscal and external deficits deteriorate dangerously in recent years. However, without a clearly established fiscal consolidation strategy, this respite will be short-lived.

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SUB-SAHARAN AFRICA: EXACERBATED FRAGILITIES

In 2026, regional economic growth is expected to slow to 4.1% (-0.4 pp compared to 2025), hindered by rising energy and fertiliser prices. Countries in Southern and Eastern Africa, which have nearly 50% of their oil and gas imports originating from the Middle East, have been impacted by temporary fuel shortages. To some extent, however, these countries have been able to diversify their oil supply sources through Nigeria, which is better positioned than in 2022 to benefit from higher oil prices (rebounding production and additional refining capacity).

Most countries have seen a rebound in inflation since March-April, with the exception of those that chose to subsidise fuel (WAEMU zone and Angola), but few central banks have tightened their monetary policy. In South Africa, the central bank raised its policy rate by 25bps in May, whereas cuts had been expected prior to the energy shock.

The shock is weakening the external accounts and public finances of many countries. With the exception of Angola and Nigeria, most countries in the region are net energy importers, and their energy trade deficits are considerable (up to 8% of GDP in Zambia). The external accounts of countries with raw material exports supported by favourable prices (gold, copper and other low-carbon transition metals) should remain resilient. For others, concerns persist. In Kenya, the risk of a sudden devaluation of the shilling has increased with the widening of twin deficits. Since the start of the conflict in Iran, the government has halved the VAT rate on fuels, while the fiscal deficit had already reached 5.8% of GDP over the first six months of the fiscal year. In Senegal, energy subsidies are expected to cause a fiscal slippage of approximately 2 pp of GDP for 2026. In Mozambique, the energy shock could be the trigger for restructuring Eurobond debt in the coming months.

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LATIN AMERICA: LESS EXPOSED TO THE ENERGY SHOCK

Average growth in the main Latin American economies is expected to slow moderately in 2026 and remain close to 2% for the full year (compared to 2.3% in 2025).

During the Q4 2025–Q1 2026 period, growth performances were very uneven. Argentina and Brazil posted a significant acceleration in activity. Conversely, growth slowed in Peru and slumped in Q1 2026 in Chile and Mexico. With the exception of Argentina and Peru, the region's economies entered the turbulence created by the oil shock from a less comfortable position than the economies of Asia and Central Europe (the output gap remained negative in Q1 in Brazil, Colombia and Mexico).

South American economies should, in theory, be less affected by the oil shock than other emerging zones. Firstly, the risk of supply disruption is low. Secondly, these economies are, to varying degrees, net exporters of raw materials. Prices for hydrocarbons, as well as other raw materials, will be higher in 2026 than in 2025, particularly for certain raw or processed metals (copper and aluminium). To a lesser extent, agricultural commodity prices have recovered since the end of 2025 (wheat).

The status of net commodity exporter is not protecting countries against accelerating inflation. In May, compared to February, the year-on-year change in consumer prices was higher by +1.6 percentage points (pp) in Chile and Peru, +0.9 pp in Brazil, +0.5 pp in Colombia, only 0.1 pp in Argentina and even -0.1 pp in Mexico. Nevertheless, overall, the inflationary impact remained moderate through May.

Current account deficits should narrow due to improved terms of trade, especially in Brazil and Colombia. In contrast, rising energy prices will increase pressure on public finances via higher subsidies in Brazil, Mexico and Colombia. However, this risk is expected to be mitigated by the expected increase in fiscal revenues from oil. For Argentina, Chile and Peru, the inflationary impact could lead to monetary tightening, which would increase the interest burden on public debt. However, the moderate fiscal deficits of these countries should enable them to absorb this additional cost. Furthermore, governments in the region should overcome any potential tightening of international financial conditions without any undue difficulty.

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REGIONAL OVERVIEWS

Article completed on 13 July 2026

9

ASIA: THE REGION IS WELL-EQUIPPED TO FACE THE ENERGY CRISIS

In emerging Asia, a region highly exposed to the energy shock, economic growth is expected to average 5.0% in 2026, compared to 5.4% in 2025. The slowdown is expected to be fairly widespread, but moderate overall. Growth is expected to reach 4.6% in China (compared to 5% in 2025), 6.7% in India (for the 2026/2027 fiscal year, compared to 7.7% in 2025/2026) and 4.5% in the ASEAN-5 (compared to 5% in 2025).

Most countries have sufficiently solid fundamentals to cope with the consequences of the energy shock, although some currencies (notably in Indonesia and India) are under strong downward pressure. Furthermore, authorities have skilfully managed supply challenges, particularly in China. Most of all, activity in the most industrialised countries is largely supported by the booming global demand for AI-related goods, which is inflating the region's export revenues. Risks to our forecasts are skewed to the upside, despite accelerating inflation, rising interest rates and geopolitical uncertainty.

Except for Malaysia, Asian countries are large net importers of oil and gas. In 2025, their energy trade deficits reached between 1.4% of GDP in Indonesia and 5.9% of GDP in Thailand. However, governments have more headroom than in 2022 during the crisis linked to the war in Ukraine, as inflation is generally lower and fiscal deficits are better controlled. Furthermore, external accounts remain solid and current account deficits are modest. Even Vietnam, whose reserves represent less than three months of imports, has held up well against the shock.

The primary short-term risk is not the widening of the current account deficit, but the acceleration of capital outflows (already pronounced in India and Indonesia), especially if the Fed raises interest rates. Between the start of the war in Iran in late February and the end of June, Asian currencies overall experienced the most significant depreciations among emerging currencies, notably the Indonesian rupiah (-6.4% against the US dollar) and the Thai baht (-6.1%). These depreciations could accelerate in countries facing risks of fiscal slippage, particularly in India and Indonesia, where subsidies weigh on public finances. Conversely, the Chinese yuan continued to appreciate slightly (+1% against USD).

Energy price control policies have helped to limit inflation in India, Indonesia and, to a lesser extent, Malaysia, while prices rose more sharply in the Philippines and Vietnam. China has emerged from deflation thanks to higher prices at the pump and producer prices, but domestic demand is still sluggish, meaning that the resurgence of inflation could therefore prove temporary. In other Asian countries, inflationary risks will persist due to rising production costs and consistently high oil prices. While only the central banks of Indonesia and the Philippines have raised their rates so far, broader monetary tightening is possible by the end of 2026.

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CENTRAL EUROPE: THE REGION SHOWS RESILIENCE

Central European economies are expected to cope with the energy shock well once again. As they are less dependent on the Middle East for hydrocarbon imports, the region's countries – with the exception of Poland – are minimally exposed to supply disruption risks. Admittedly, rising fuel prices are affecting economic activity. However, at the same time, growth will be supported by European recovery and resilience funds, of which EUR 43.1 bn (2.1% of the 2025 regional GDP) remain to be paid. These funds notably finance public investment.

In 2026, regional GDP growth could reach 2.4% (after 2.5% in 2025), but it will remain uneven. Poland, Hungary and the Czech Republic should be among the top-performing economies in the region, while Slovakia and Romania are expected to lag behind. These two countries are engaged in a fiscal consolidation process. Additionally, Romania is currently facing a political crisis, which is weighing on economic activity.

Downward pressure on currencies and the rise in inflation have remained moderate and far less pronounced than in 2022. Furthermore, the recent slowdown in food prices, followed by a slowdown in pump prices, has contributed to falling inflation in almost all countries, except Romania. Inflation should remain close to central banks' target zones in 2026 (except in Romania and Slovakia). However, prolonged uncertainties related to the situation in the Strait of Hormuz could alter this scenario.

Monetary authorities have reacted differently (a policy rate cut of 25bps in Hungary, a policy rate hike of 25bps in the Czech Republic and the status quo in Poland and Romania). In the short term, central banks are expected to remain cautious and keep their rates unchanged.

The energy shock has had a limited impact on public finances. With less fiscal headroom than in 2022, support measures have been limited to capping prices at the pump and reducing excise duties and VAT on fuel. Furthermore, exceptional taxes temporarily imposed on oil companies (Romania and Poland) are mitigating the effect on public finances.

External accounts are solid and should absorb the shock without any major difficulties. Since the start of the war in Iran, Central European countries have accumulated foreign exchange reserves, which cover more than 7 months of imports on average. Moreover, the outlook for portfolio investments remains well-oriented with a positive yield differential relative to Germany, while FDI remains dynamic (EUR 41.7 bn in the first three months of the year, or +109% y/y).

With a current account surplus, Hungary and the Czech Republic are the least exposed to a balance-of-payments deterioration. Conversely, Romania appears most exposed, given the scale of its current account deficit. However, the situation remains manageable because its energy trade deficit is relatively low (lower than other countries in the region) and the shock's impact on the current account remains limited. Romania produces the bulk of its gas consumption, which reduces its energy dependency.

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EDITORIAL

3

IS THE ENERGY CRISIS ACCELERATING THE LOW-CARBON TRANSITION? PART ONE: IN EMERGING ECONOMIES, YES*

A few months after the onset of a new global energy crisis, one might wonder about its implications for the low-carbon transition in emerging countries. The answer is not straightforward, as geopolitical uncertainties and the low-carbon transition are progressing according to different timelines, at least in part. The energy shock triggered by the blockade of the Strait of Hormuz calls for immediate action to secure hydrocarbon supplies, such as using strategic reserves. Conversely, the transition to low-carbon energy is a long-term process. However, the current circumstances are unusual: the low-carbon transition was initiated several years ago, and the Hormuz crisis marks the second major energy crisis in four years.

For the time being, the energy crisis is expected to benefit fossil fuels only marginally, notably by providing a temporary incentive to increase the use of coal or, in the medium term, certain emerging gas production projects. More importantly, the situation in emerging Asia shows that the dynamics of decarbonation and electrification could build on existing trends to accelerate the transition. This momentum, which is driven primarily by individual decisions, is expected to reinforce China's dominance in the green technology market.

ASIA ON THE FRONT LINE

Emerging Asia is the region most affected by the current energy crisis. Its dependence on hydrocarbon imports from the Middle East is high. Moreover, the crisis has intensified inflation and led to a moderate decline in growth, along with the implementation of rationing measures in some countries. Emerging Europe has also been affected by the interconnection between European and Asian gas markets, and by its reliance on refined product imports from Asia. The impact on African countries is more difficult to gauge, as they are not particularly dependent on imports of oil and its derivatives from the Middle East, and their dependence on imports of gas from the Middle East is negligible. Finally, the direct impact on Latin America is limited, as the region relies overwhelmingly on imports from North America¹.

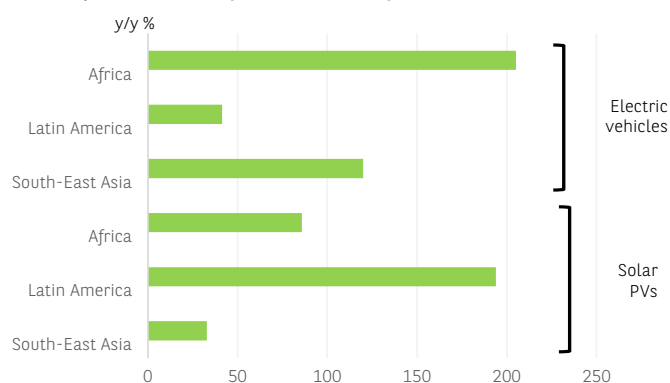
LACK OF NEW MOMENTUM FOR OIL

Historically, periods of acute energy crisis have prompted an increase in hydrocarbon production capacities wherever feasible. However, according to the IEA, the levels of investment in production forecast for 2026 are marginally lower than the pre-crisis estimate and virtually unchanged from 2025². This lack of reaction may be due to the inertia inherent in investment decisions within the sector. Excluding the Gulf countries, which are having to postpone their investment decisions regarding new production capacities or, on the contrary, intend to accelerate certain security-linked investments (e.g. the doubling of the Fujairah pipeline in the United Arab Emirates, and an increase in storage capacity outside the Gulf region), there are no clear signs of an increase in the number of projects aimed at developing hydrocarbon production in emerging economies. More fundamentally, compared to the energy shocks of the 1970s and 1980s, the current crisis is unfolding in a markedly different energy landscape, one that is far more diversified.

Therefore, the implementation of low-carbon transition policies over the past decade, along with the significant drop in equipment prices, provide alternatives to align transition and sovereignty by prioritising a decarbonised energy mix. In 2025, 75% of the increase in global electricity demand was met by solar energy³.

The energy crisis speeds up electrification in emerging markets

Chinese exports, March-May 2026/March-May 2025



SOURCE: EMBER

RENEWED INTEREST IN EASTERN EUROPE'S GAS RESOURCES

Some emerging European countries are expected to benefit from the European Union's initiative to diversify its gas supply sources, particularly as it faces its second energy crisis in four years. In 2022, the RePowerEU programme set, among other things, a target to diversify gas supply sources, a commitment that has been recently bolstered by the decision to completely cease Russian gas imports by 2027. This policy strengthens the EU's focus on European resources and ensures avenues for European production. This includes the coming on stream of offshore gas field in Romania, which is expected to become the second largest gas producer in the European Union by 2027. The surplus available for export could represent around 2% of the total European gas imports. In addition, Cyprus is also expected to benefit from Europe's commitment to diversifying its imports. By the end of the decade, Cypriot gas resources are expected to transit through Egyptian liquefaction terminals to supply the local market, and to export LNG to Europe.

TEMPORARY REBOUND IN COAL

In response to the rise in LNG prices, there has been an uptick in coal demand since the onset of the crisis. This surge has resulted in a significant increase in coal prices, estimated at around 15-20% compared to pre-crisis levels.

¹ To find out more, read our Regional overview of the consequences of the energy shock in our latest EcoPerspectives: [Regional overviews up to 13 July 2026](#).

² International Energy Agency, 2026, World Energy Investment.

³ Ember, 2026, Global Electricity Review.



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The growing share of coal in the electricity mix, at the expense of gas, is affecting many Asian countries, including China, India, Bangladesh, Pakistan and the Philippines. However, for the time being, this relates solely to the increase in the utilisation rates of coal-fired power plants. At this stage, the energy crisis explains the postponement of the decommissioning of certain power plants, such as those in Thailand, yet it has not triggered any investment decisions regarding new production capacities. The implications of this situation are significantly less severe than those of the 2022 crisis, which saw coal prices quadruple and result in an increase in coal extraction capacities.

In China, the world's leading producer of coal-based electricity, which constitutes over half of its electricity mix, both domestic demand for coal and imports declined in the first four months of the year, by 1% and 9% year-on-year, respectively. This decline occurred despite a 6% year-on-year increase in electricity consumption during the same period⁴. This is due to various factors, including several maintenance operations in the sector, greater efficiency of thermal coal plants, and a steady rise in the production of decarbonised electricity, with wind and solar power generation increasing by 1% and 29% year-on-year, respectively. In India, the rise in demand for coal during Q2 2026 is partly due to higher LNG prices and supply constraints, as LNG imports from the Middle East account for 29% of gas available in the domestic market, but is primarily driven by the onset of the seasonal peak in electricity consumption.

THE CRISIS IS ACCELERATING INDIVIDUAL INVESTMENTS IN DECARBONATION

In terms of the decarbonation of energy mixes, the crisis is either confirming or intensifying trends already underway in certain countries. Moreover, it does not appear to be triggering any new momentum in countries where there had not yet been a marked shift towards a low-carbon transition. In Asia, notable developments have been observed in Pakistan and the Philippines, which are among the countries most affected by the energy crisis. Since 2023, Pakistan has seen a remarkable surge in solar power generation, driven by household demand and facilitated by tax exemptions on solar panel imports. The 21% increase in electricity production since 2023 has been made possible by the growth in solar production capacities. Over the first four months of 2026, Pakistan emerged as the third-largest recipient of Chinese solar panel exports, with China accounting for around 80% of global solar equipment production capacities. Similarly, the Philippines, which are also experiencing a significant increase in solar equipment, ranked as the second-largest destination for Chinese solar panel exports during this same period. In addition, in response to the energy crisis, the Philippine Department of Energy has opted to accelerate the deployment of 1.5 GW of renewable capacities along with associated storage capacities. Across all ASEAN countries, solar panel imports from China more than doubled year-on-year in the first quarter following the onset of the crisis.

ACCELERATION OF ELECTRIC MOBILITY

Similar to the increase in solar panel equipment, households in emerging countries have responded to the energy crisis by stepping up their purchases of electric vehicles. This trend is particularly notable in Southeast Asia, where electric vehicle ownership rates have surged since 2023. Despite ongoing challenges related to the costs of vehicles and charging infrastructure, some countries (such as Singapore and Vietnam) have achieved penetration rates that surpass those of the EU, while others, like Thailand, are nearing those levels. Some governments, including Laos and Cambodia, have recently introduced measures to promote the electrification of transport. In 2025, Southeast Asian countries emerged as the most dynamic market for the sale of electric vehicles. Moreover, between March and May 2026, the value of Chinese exports of electric vehicles increased by 50% compared to the same period in 2025. Similarly, sales to Latin America recorded a strong rebound over the same period, increasing by 59% year-on-year in an already relatively dynamic market. In Africa, however, progress is more difficult to measure, as much of the advancement in electric mobility pertains to two-wheeled vehicles, with a significant portion of Chinese model production being produced locally.

ELECTRIFICATION — AND THEREFORE CHINA — ARE THE BIG WINNERS

From the initial trends primarily observed in emerging Asia, three key insights can be drawn: **1/** the dynamics of transition in response to the energy crisis are currently influenced by individual decisions (whether from households or businesses), which tend to be more reactive in the short term; **2/** this momentum also concerns the electrification of uses, a phase of the low-carbon transition that typically progresses at a slower pace (as demonstrated by recent developments in Europe); **3/** China is poised to be one of the main beneficiaries due to its dominant global position in the photovoltaic and electric mobility sectors (considering all technologies associated with the low-carbon transition, Chinese exports increased by 36% year-on-year between March and May 2026).

This situation illustrates the paradox of the relationship between low-carbon transition and energy security. Given China's dominance in many segments of the transition, the issue of sovereignty continues to arise, extending beyond merely reducing reliance on hydrocarbon imports. China's dominance over the entire battery value chain (both mobile and stationary), which is currently the most dynamic segment, is expected to keep this issue at the forefront of discussions in the years to come.

Pascal Devaux

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⁴ China Energy Monthly, Oxford Institute for Energy Studies, 22 June 2026.



[Find out more in our scenario and forecasts](#)

ADVANCED ECONOMIES

EUROPEAN UNION

Choosing growth, slowly: carbon and banking editions. The European Commission (EC) has proposed to give polluting industries more time and funding to decarbonize, while keeping the target of 90% emissions reduction by 2040. Steelmakers, chemical producers and power generators would be able to benefit from carbon-emission allowances until 2048 (instead of 2039). Governments are encouraged to raise the share of the carbon allowances proceeds used to help polluting industries decarbonize to 50%, from 5% currently. The EC simultaneously unveiled an Electrification Action Plan seeking to lift electricity's share of final energy consumption from 23% to 46% by 2040. Meanwhile, in its Report on bank competitiveness, the EC outlines a strategic direction to strengthen Europe's banking sector and support growth. Three main objectives: **1/** fostering market integration. Cross-border banking groups could be allowed to use capital and liquidity more efficiently across the EU, along with a replacement of the 2015 EDIS proposal with a simpler mechanism built on existing safety nets. **2/** implementing Basel III standards while better reflecting the specificities of the EU banking sector and preserving an international level playing field. **3/** simplifying the regulatory framework, notably with respect to the number of capital buffers. This report will be followed by a legislative package in Q1 2027.

EUROZONE

ECB expected to hold this week. All 41 respondents in a Bloomberg survey of economists predict no change at the July 23 ECB meeting. Most anticipate a final 25bp hike to 2.5% in September. [We agree.](#) Industrial production edged down 0.2% m/m in May but continued to rise on a three-month moving-average basis, with capital goods output still increasing strongly and intermediate goods showing signs of bottoming out. *Coming up: ECB meeting, new car registrations for June, flash July PMIs (Friday).*

- **France: OATs on election watch.** Over the past week, the combination of the resumption of hostilities in the Gulf and French political news has led OATs to underperform global bonds: the French 10-year rate has risen by 24 bps to 3.96%, a level not seen since 2009. The spread with Germany, at 80 bps, has returned to the upper end of the range observed since the 2024 National Assembly dissolution. The extra cost of debt service is expected to account for 60% of the very limited increase in nominal spending in the 2027 budget (near 2x more than the increase in defence spending).

- **Franco-German summit: seeking new common ground.** Following their meeting in Brühl on Friday, President Macron and Chancellor Merz announced they had tasked relevant ministers (finance, economy and foreign affairs) to come up with a common roadmap by September for dealing with overwhelming Chinese import pressure. *Coming up: INSEE business confidence (Thursday).*

- **Germany: Wholesale prices surprised to the downside in June,** falling 0.7% m/m against expectations of a marginal increase (+4.9% y/y, down from 5.9% the previous month). This was fueled by decreasing energy and agri-food costs, although prices for machinery, capital equipment, and consumer goods remained on an upward trend.

- **Italy: Record trade surplus** of +EUR 4.8 bn in May. Excluding energy, the surplus amounted to +EUR 10.5 bn. Exports grew by 4.1% y/y, more to non-EU countries (+6.8% y/y) than EU countries (+1.7% y/y).

UNITED KINGDOM

Growth returns as a new Cabinet takes office. GDP rose by 0.1% m/m in May, vs. stagnation expected, following a 0.1% decline in April. It was driven by the services sector (+0.3%), notably medical R&D and retail sales. By contrast, construction fell by 0.8% and industrial production by 0.5% — its first monthly drop since January. In the industrial sector, slight gains in manufacturing (+0.1%) were offset by a slump in crude petroleum and natural gas extraction (-4.8%), hitting its lowest level since records began in 1990. **Andy Burnham** has taken over from Keir Starmer as Prime Minister today. He has vowed to be "pro-business", decentralize decision-making, adhere to the fiscal rules set by the previous Chancellor, and deliver "distinctly Labour" policies. Bond markets are watchful, with 10-year yields on Gilts 100 bps above those on OATs despite a debt/GDP ratio lower by over 20 percentage points. *Coming up: May labour market statistics (Tuesday), June inflation (Wednesday), June retail sales, July BoE Decision Makers Panel inflation survey (Friday).*

UNITED STATES

Inflation relief but no "mission accomplished". US consumer prices fell 0.4% m/m in June — the first decline since 2020 — dragged down by the largest drop in gasoline prices since 2022. Core CPI was flat on the month. Producer prices undershot expectations as well: PPI fell -0.3% m/m in June, a sharp reversal from +0.6% in May, and slowed to +5.5% y/y, as well as core PPI (ex-food & energy): +0.2% m/m, +4.7% y/y. Nonetheless, Fed Chair Warsh explicitly told Congress during the regular twice-yearly testimony that there were no grounds to declare "mission accomplished", and multiple other FOMC members expressed either willingness or readiness to raise interest rates. Meanwhile, activity remains solid: Fed Beige book confirmed activity is rising moderately across nearly all sectors and Fed districts, as did the NY and Philadelphia manufacturing surveys. Small business optimism (NFIB) rose to a 4-month high. Publicly held US federal debt surpassed 100% of GDP for the first time since 1946.

Tariffs return. This week, the US imposed a 25% tariff on goods imports from Brazil under Section 301 of the 1974 Trade Act targeting unfair practices. A key one in scope for USTR is Brazil's instant payment system PIX, owned by the central bank, which is accused of taking business away from US credit card companies. This is likely the first in a new round of tariff announcements as the "Section 122" tariffs — a temporary 10% universal tariff introduced to replace those that had been declared unlawful by the Supreme Court — are set to expire on July 24.

JAPAN

High inflation expectations and policy support for the Yen. A [BoJ survey](#) showed households' average inflation expectations ("price level over the next five years") rising to 10.8%, the highest since 2006, even as the median measure stayed unchanged at 5.0%. Industrial production remained soft in May (+0.1% m/m but -2.1% y/y), though output of electronic parts and devices rose strongly again (+1.2% m/m, +14.2% y/y). Finance Minister Satsuki Katayama renewed her encouragements to the Government Pension Investment Fund to raise its holdings of domestic financial assets and hinted at including government bonds in the tax-free Nippon Individual Savings Account programme; both measures will be supportive of the yen. Upcoming: June inflation (Friday).



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EMERGING ECONOMIES

ASIA

China: Q2 GDP disappoints; exports surge. Real GDP growth slowed more than expected, reaching +4.3% y/y in Q2 2026 (+0.9% q/q) vs. +5% y/y in Q1 (+1.3% q/q). Industrial production growth slowed in Q2 but rebounded slightly in June (+5.3% y/y) after the trough in April-May (below 4.5% on average). Production in services posted the same trends (+4.7% in June after 4.4% in April-May). In Q2, retail sales value almost stagnated (+0.2% y/y on average) while fixed-asset investment value contracted (-5.7% y/y year-to-date). Investment in infrastructure fell, in line with the decline in local government spending. Meanwhile, exports rose by 20% y/y in Q2, largely driven by tech products. Total import value surged by 30% y/y in Q2. China's trade surplus reached USD 1.17 bn in the 12-month period to June 2026, only slightly lower than USD 1.18 bn in 2025.

South Korea: First interest rate hike by 25bp, at 2.75%. With inflation likely to remain above target for the rest of the year (3.2% y/y in June) and economic growth expected to remain strong, further tightening is likely. Fuel and transport price inflation is high, but the central bank is more concerned about the rise in core inflation. The economy is well placed to cope with higher interest rates.

LATIN AMERICA

Argentina: Inflation slowdown. In June, CPI inflation slowed for the third consecutive month to below 2% for the first time since August 2025. Core inflation decelerated to 1.6%. Year-on-year inflation rates were 33.5% for headline CPI and 31.8% for core CPI.

ENERGY

Prices jump higher again. Brent oil prices rose by 9% last week and by 22% since the resumption of hostilities between US and Iran. The pace of decline in US SPR oil inventories has been slowing (-3 mb in the week starting 10th July against -6.2 mb the week before), but withdrawal remains substantial. In June, OECD commercial oil inventories reached their lowest level since 2014 at 2,602 mb, equivalent to 57 days of OECD consumption. European gas prices (TTF) rose by 17% over the week to reach 60 €/MWh (Monday 20th at the opening) and by 35% since the resumption of hostilities between US and Iran, while Asian and European demand are sustained by seasonal factors and the need to refill inventories.



MARKETS OVERVIEW

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Bond Markets

	In %	In bps			
	17/07/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	2.78	+23.3	+19.3	+68.8	+94.0
Bund 5Y	2.86	+20.2	+19.9	+39.2	+68.1
Bund 10Y	3.09	+14.5	+16.6	+23.0	+45.5
OAT 10Y	3.82	+19.9	+25.3	+31.8	+43.7
BTP 10Y	3.90	+21.9	+27.0	+40.2	+35.3
BONO 10Y	3.54	+16.1	+19.4	+29.6	+31.3
Treasuries 2Y	4.18	+6.3	-2.9	+70.2	+25.0
Treasuries 5Y	4.28	+7.7	-0.3	+55.3	+28.5
Treasuries 10Y	4.55	-1.2	+5.1	+38.2	+3.2
Gilt 2Y	4.36	+21.3	+20.0	+60.4	+44.4
Treasuries 5Y	4.53	+20.6	+23.2	+67.8	+43.3
Gilt 10Y	5.03	-3.9	+27.5	+47.6	+17.2

Currencies & Commodities

	Level	Change, %			
	17/07/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.14	+0.2	-1.3	-2.6	-1.3
GBP/USD	1.34	+0.7	+0.4	-0.0	+0.3
USD/JPY	162.42	+0.0	+1.3	+3.6	+9.4
DX	100.77	-0.1	+0.7	+2.5	+0.5
EUR/GBP	0.85	-0.5	-1.7	-2.5	-1.5
EUR/CHF	0.92	+0.2	+0.4	-0.8	-1.1
EUR/JPY	185.80	+0.2	-0.0	+0.9	+8.0
Oil, Brent (\$/bbl)	88.06	+22.3	+10.5	+44.7	+26.6
Gold (\$/ounce)	4006	-3.2	-7.9	-7.4	+20.2

Equity Indices

	Level	Change, %			
	17/07/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World (\$)	4808	-1.2	+0.0	+8.5	+18.4
North America					
S&P500	7458	-1.1	+0.5	+8.9	+18.4
Dow Jones	52146	-1.7	+1.3	+8.5	+17.2
Nasdaq composite	25520	-2.3	-1.9	+9.8	+22.2
Europe					
CAC 40	8339	-1.7	-1.1	+2.3	+6.6
DAX 30	24831	-3.8	-0.4	+1.4	+1.9
EuroStoxx50	6231	-2.6	-1.1	+7.6	+15.9
FTSE100	10600	-0.5	+0.9	+6.7	+18.1
Asia					
MSCI, loc.	1893	-3.2	-2.4	+12.1	+27.9
Nikkei 225	64141	-8.0	-8.2	+27.4	+60.7
Emerging					
MSCI Emerging (\$)	1621	-5.9	-9.1	+15.3	+30.6
China	72	+1.1	-2.3	-12.8	-6.0
India	944	-1.4	-1.2	-10.8	-11.4
Brazil	1818	+1.3	+2.0	+10.5	+27.7

Performance by sector

Eurostoxx600

Year 2026 to 17-7, €

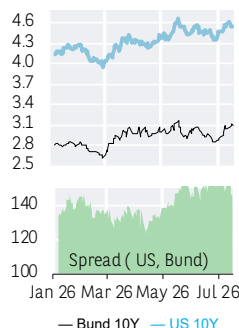
+26.4%	Oil & Gas
+16.0%	Technology
+15.6%	Utilities
+14.8%	Banks
+14.1%	Chemical
+13.5%	Commodities
+10.9%	Telecoms
+8.5%	Food industry
+8.3%	Eurostoxx600
+7.3%	Industry
+7.2%	Financial services
+6.4%	Insurance
+2.7%	Real Estate
+0.8%	Retail
+0.5%	Health
-0.2%	Travel & leisure
-1.8%	Construction
-5.4%	Media
-5.9%	Consumption Goods

S&P500

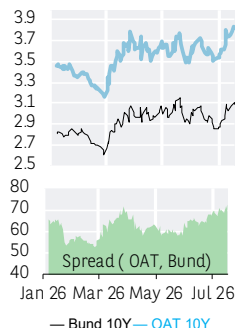
Year 2026 to 17-7, \$

+31.8%	Tech. Hardware & Equip.
+30.7%	Semiconductors
+28.2%	Energy
+18.3%	Capital Goods
+12.5%	Food, Beverage & Tobacco
+9.7%	Materials
+9.2%	Pharmaceuticals
+8.9%	S&P500
+7.7%	Bank
+7.0%	Retail
+5.7%	Utilities
+5.6%	Insurance
+4.2%	Consumer Discretionary
+2.8%	Media
-3.5%	Consumer Services
-4.4%	Healthcare
-5.3%	Commercial & Pro. Services
-5.7%	Telecoms
-13.9%	Automobiles
-28.7%	Real Estate

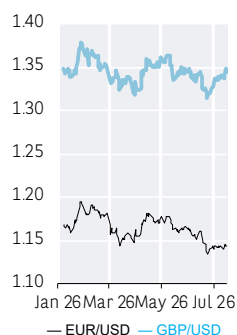
Bund 10Y & US Treas. 10Y



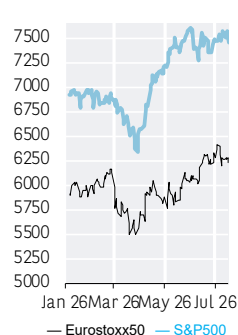
Bund 10Y & OAT 10Y



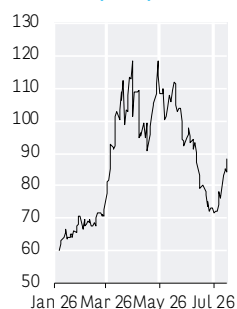
EUR/USD & GBP/USD



EUROSTOXX 50 & S&P500



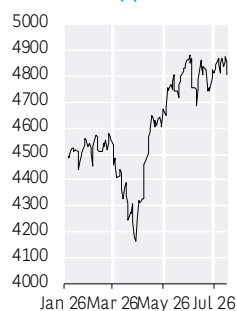
Oil, Brent (\$/bbl)



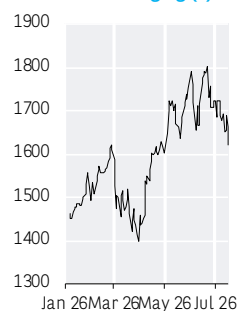
Gold (\$/ounce)



MSCI World (\$)



MSCI Emerging (\$)



SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB



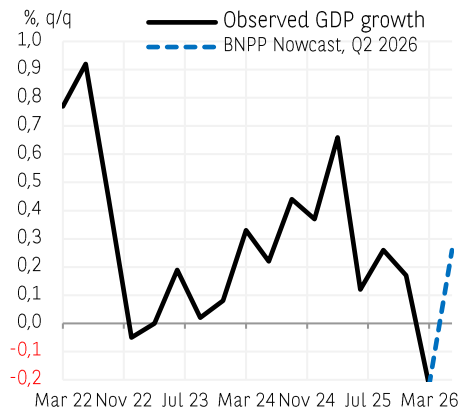
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The scenario, forecasts and nowcasts of the Economic Research – 20 July 2026

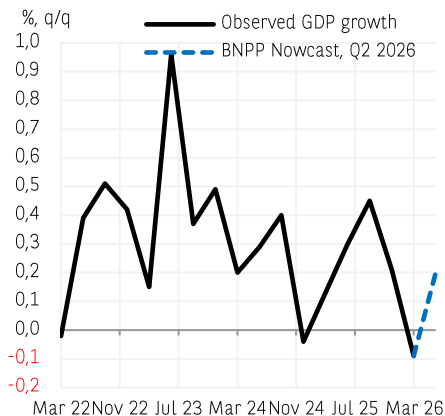
NOWCASTS OF THE ECONOMIC RESEARCH

Eurozone



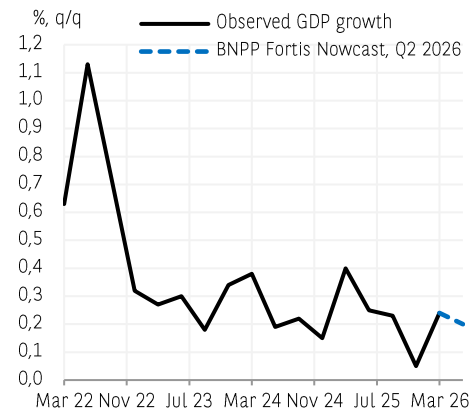
Source: Refinitiv, BNP Paribas

France



Source: Refinitiv, BNP Paribas

Belgium



Source: Refinitiv, BNP Paribas

Our *nowcast* for Eurozone growth has been revised higher on the back of the improvement in the PMI data in June and lower Brent prices. It is now pointing to a 0.3% q/q GDP growth in Q2.

Our *nowcast* for French GDP growth suggests a recovery in Q2 2026, at +0.2% q/q, driven by the one-off factors that weighed on Q1 GDP (aeronautics exports and construction output).

Our *nowcast* for Q2 Belgium GDP growth suggests a stable growth in Q2 (0.2% q/q, a performance already observed in Q1). The transactions data suggests again a quite favorable performance in Q2, while uncertainty on the pass-through of energy inflation to other sectors implies a downside risk to the *nowcast*.

Read the [Nowcast methodology](#)
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ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

%	GDP Growth				Inflation			
	2024	2025	2026 e	2027 e	2024	2025	2026 e	2027 e
United States	2.8	2.1	2.4	2.5	2.9	2.7	3.2	2.5
Japan	-0.2	1.1	0.8	1.1	2.7	3.1	2.1	2.1
United Kingdom	1.0	1.4	1.0	1.2	2.5	3.4	3.2	3.1
Euro Area	0.9	1.5	0.8	1.6	2.4	2.1	2.7	2.6
Germany	-0.5	0.3	0.8	1.1	2.5	2.3	2.3	2.4
France	1.1	0.9	0.8	1.1	2.3	0.9	2.2	1.6
Italy	0.6	0.7	0.8	0.8	1.1	1.7	2.4	1.7
Spain	3.5	2.8	2.3	2.2	2.8	2.7	3.5	3.2
China	5.0	5.0	4.6	4.5	0.2	0.0	1.3	1.6
India*	7.1	7.7	3.7	6.8	4.6	2.1	5.1	4.3
Brazil	3.4	2.3	2.3	1.4	4.4	5.0	4.7	5.1

Source : BNP Paribas (e: Estimates & forecasts)

Last update: 20/07/2026

* Fiscal year from April 1 of year N to March 31 of year N+1

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Interest and exchange rates

Interest rates, %		2026				2027
		Spot 20/07	Q2	Q3	Q4	Q4
US	Fed Funds (upper limit)	3.75	3.75	3.75	4.00	4.50
	T-Note 10y	4.37	4.55	4.65	4.75	4.85
	deposit rate	2.25	2.25	2.50	2.50	2.50
	Bund 10y	3.09	3.15	3.20	3.35	3.10
	OAT 10y	3.82	3.77	4.00	4.17	3.60
Eurozone	BTP 10y	3.90	3.85	3.95	4.10	3.60
	BONO 10y	3.54	3.57	3.64	3.79	3.42
	Base rate	3.75	3.75	4.00	4.00	3.50
UK	Gilts 10y	5.03	4.70	4.60	4.50	4.30
	BoJ Rate	0.75	1.00	1.00	1.25	2.00
Japan						
	JGB 10y	2.68	2.70	2.85	2.85	3.10
Exchange Rates		2026				2027
		Spot 20/07	Q2	Q3	Q4	Q4
USD	EUR / USD	1.14	-	1.15	1.16	1.20
	USD / JPY	162	-	163	165	165
	GBP / USD	1.34	-	1.32	1.32	1.36
EUR	EUR / GBP	0.85	-	0.87	0.88	0.88
	EUR / JPY	186	-	187	191	198
Brent		2026				2027
		Spot 20/07	Q2	Q3	Q4	Q4
Quarter Average						
Brent	USD/bbl	88	110	90	85	83

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy), Last update: 20/07/2026


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UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.4%, a yearly improvement (up from 2.1% in 2025). This apparent resilience to energy, uncertainty and tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.5% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these appears to be less significant than expected. The labour market is showing clear signs of improvement that should bring the unemployment rate down toward 4.0%. Given this shift in price and employment risks amid dynamic growth, we expect the FOMC to start a cycle of three rate hikes (+25pb each) before the end of 2026, bringing the Fed Funds target range at 4.25% - 4.50% in Q1 2027.

CHINA

Economic growth slowed to 4.3% y/y in Q2 2026 vs. 5.0% in Q1. It is projected to reach 4.6% in 2026 as a whole, down from 5% in 2025. Growth remains characterized by a K-shaped trajectory, and the gap between the strong performance of exports and the fragility of sectors that rely on domestic demand has even widened this year. Domestic demand rebounded in the first two months of 2026 but has weakened significantly since March. The crisis in the property sector continues and household confidence remains low. Fiscal and monetary policy measures aimed at supporting economic growth are expected to continue but remain modest. CPI inflation has rebounded slightly since March, mostly due to the rise in global energy prices, as well as due to the increase in electronic good prices and anti-involution measures implemented by the authorities. Deflationary pressures persist, however, given weakness in domestic demand.

EUROZONE

Eurozone growth would slow in 2026 due to spillovers from the Middle East conflict. In Q1 2026, GDP growth contracted 0.2% q/q mainly due to the volatility of Ireland's GDP data, but growth in the rest of the Eurozone remained resilient (+0.2% q/q). In 2026, consumption would be held back by falling real wages. GDP growth, which reached 1.5% in 2025, would slow down to 0.8% in 2026, before picking up at 1.6% in 2027. Activity would nevertheless withstand the energy shock, supported by investment in defence, AI, and electrification, which should continue to boost intra-EU trade. Inflation would rebound to 2.7% in 2026 (compared to 2.1% in 2025) on the back of the energy shock and plateaued at 2.6% in 2027. As inflation rebounds, we continue to expect one further 25-basis-point hikes in the ECB's policy rate in Q3 2026– pushing the deposit facility rate to 2.5%.

FRANCE

GDP growth deteriorated to -0.1% q/q in Q1 (after 0.2% q/q in Q4) as a result of one-off factors, including low aeronautics exports (-20% q/q despite an increase of the output) and construction output (-1.5% q/q). From Q2 2026, growth should be affected by the impact of higher oil prices on inflation (2.4% in 2026, after 1% in 2025) and household purchasing power (with a likely impact on their consumption). In 2026, GDP growth should reach 0.8% in 2026 (after 0.9% in 2025), driven by public spending and private investment in AI. Higher inflation (2.2% in 2026, after 1% in 2025) would weigh on GDP growth.

UNITED KINGDOM

Economic activity is expected to slow in 2026, with growth decelerating to 1% from 1.3% in 2025; following +0.4% q/q in Q1 and -0.1% m/m in April, growth increased by +0.1% m/m in May, bringing the average quarterly pace for the remainder of the year down to approximately +0.1%. This slowdown is set against a backdrop of renewed inflationary pressures triggered by the war in Iran: inflation is projected to reach 3.2% y/y, and to remain sticky and well above BoE's target at +3.1% in 2027. In this context, and contrary to the initially envisaged easing scenario, monetary policy would shift toward a 25bp rate hike in H2 2026. 10y gilt yields will remain elevated in 2026, before falling to 4.30% in 2027 on reduced net supply, a decline in political risk premia and a market starting to eye BoE rate cuts.

JAPAN

We expect annual GDP growth to stand at 0.8% in 2026, down from 1.1% in 2025. Higher inflation and production costs associated with the energy shock are expected to weigh on the economy's overall performance. On the other hand, the latter is supported by fiscal policy and AI-related investment. Inflation has generally overshoot the 2% y/y target since 2022. Accordingly, the Bank of Japan initiated a cautious process of "adjustment in the degree of monetary accommodation" in 2024, lifting the policy rate to 1.0% so far (previously negative) – the highest since 1995. We expect a 25pb hike about every four to five months until a 2.50% terminal rate in 2028. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

EXCHANGE RATES

In our base-case scenario (gradual normalisation of the Middle East situation with persistent price tensions), we expect the USD depreciation against the EUR to resume, albeit very gradually, amid broader diversification away from the dollar. We forecast EUR/USD to reach 1.16 by Q4 2026 and 1.20 by Q4 2027. We anticipate a depreciation of the yen and the GBP against the dollar in 2026 (USD/JPY 165 and GBP/USD 1.32 by Q4 2026) and 2027.



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The conflict in the Middle East: a massive blow to growth in the Gulf

Stéphane Alby

For the first time since 2009 (excluding COVID), the GDP of the Gulf Cooperation Council (GCC) is expected to contract this year (-0.8%), whereas pre-conflict forecasts had predicted growth of 4.7%. Far from benefiting from the sharp rise in energy prices triggered by the conflict, the scale of the downturn reflects the severity of a shock that is undermining many of the pillars of the Gulf economies. Nevertheless, the consequences are varying from one country to another, depending on the level of diversification and, above all, on the degree of vulnerability to disruptions in the Strait of Hormuz.

Gulf countries: severe growth impact, but uneven across economies

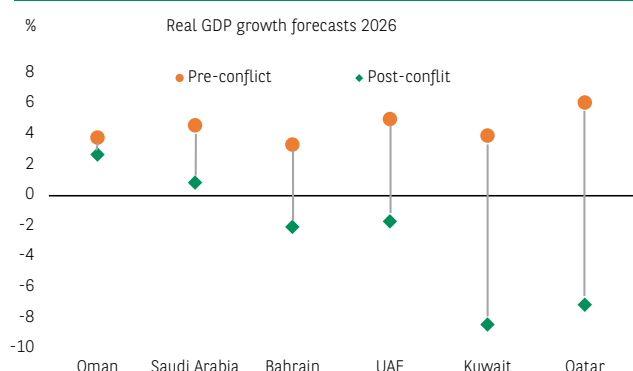


CHART 1

SOURCE: BNP PARIBAS

Hydrocarbon production declines drive most growth downgrades

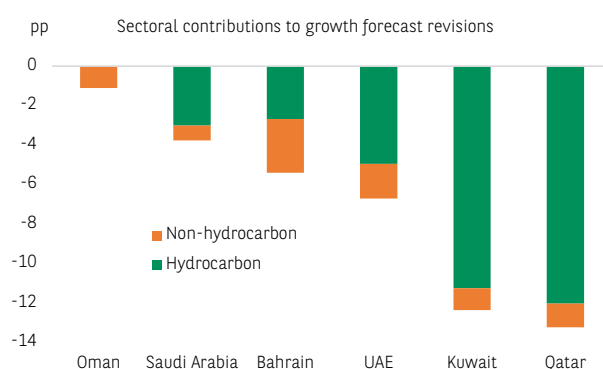


CHART 2

SOURCE: BNP PARIBAS

Saudi Arabia and Oman have been relatively unscathed, while the UAE, Kuwait and Qatar have been hit hard

Only two countries are not expected to experience a contraction in their GDP in 2026: Saudi Arabia and Oman. Having been largely spared from the attacks and possessing infrastructure outside the Strait of Hormuz, Oman is a special case. Its economy is expected to grow by around 3%, a rate close to the forecast at the start of the year. For Saudi Arabia, the downturn is larger. Initially forecast at 4.6%, growth is now projected at 0.8% in 2026 due to the fall in hydrocarbon-related GDP. Nevertheless, the impact is less severe than for other countries in the region thanks to the port of Yanbu on the Red Sea operating at full capacity. Excluding hydrocarbons, the strength of domestic demand is also helping the Saudi economy to hold up better, unlike the UAE, whose outward-oriented economic model is vulnerable to the deteriorating security situation. Despite the port of Fujairah, which is allowing trade to bypass the strait, a contraction in the UAE's real GDP of close to 2% is now anticipated, representing a shortfall of almost 7 percentage points compared with pre-conflict forecasts. For Kuwait and Qatar – the least diversified economies in the Gulf, with no alternative to the Strait of Hormuz – the impact on growth is even more severe, as their real GDP is expected to contract by 7 to 8%.

The macro-financial situation remains sound

Further revisions are possible, given the fragility of the negotiations between the United States and Iran. Nevertheless, the macro-financial situation of the Gulf states is not giving cause for major concern. In addition to the considerable foreign assets managed by the region's sovereign wealth funds (over USD 4 trillion, or 175% of the GCC's GDP), and government debt averaging just over 30% of GDP, relatively high global energy prices could help to absorb some of the losses incurred during a complete closure of the Strait. At an aggregate level, the GCC is therefore expected to record current account surpluses in 2026 (+2% of GDP, compared with +4.7% of GDP in 2025). Furthermore, the budget deficit is expected to remain below 2% of GDP. The reorganisation of logistics flows in the region and the control of fuel prices have also helped to contain the inflationary risk caused by the crisis. Although on the rise, average inflation in the Gulf countries is not expected to exceed 2.5% this year, compared with 1.7% in 2025.

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EDITORIAL

3

ADVANCED ECONOMIES, EMERGING ECONOMIES: DOES THIS DISTINCTION STILL HOLD ANY MEANING, AND FOR WHICH COUNTRIES?

The concept of 'emerging economies' as opposed to advanced economies is multifaceted and often poorly defined. The simplest and most commonly used indicator is GDP per capita, on which the classification used by international financial institutions (IFIs) is largely based. However, if we broaden the range of indicators by structuring them according to an analysis of economic potential or country risk: 1/ China still exhibits characteristics of an emerging economy, yet is no longer classified as such given its status as an economic superpower; 2/ the distinction between advanced countries and those that have become advanced but remain classified as emerging markets by economic research departments and, in some cases, by IFIs, is no longer justified; 3/ the distinction remains relevant for other emerging markets, particularly commodity-exporting countries, including the Gulf states.

In their flagship publications (World Economic Outlook, Global Economic Prospects), the IMF and the World Bank distinguish between advanced and emerging economies, primarily on the basis of GDP per capita. The concept of an 'emerging economy' first appeared in the early 1980s to refer to 'developing economies offering opportunities for investors'. It was revived in the early 2000s to refer to economies that still exhibited strong potential but appeared risky, as a consequence of the financial crises of the late 1990s^{1, 2}. Since then, this concept has referred alternately, or jointly, to one or other of these approaches.

The scope of emerging and developing countries has, of course, changed, and economies considered emerging in the early 1990s are no longer classified as such – in some cases for many years now – by the IMF and the World Bank. However, in most publications by the economic research departments of banks and large companies, these economies are still classified as emerging markets. These are mainly Asian countries that were once described as 'newly industrialised' (South Korea, Hong Kong, Singapore and Taiwan).

The aim of this editorial is to provide an objective analysis of the distinction between 1/ long-established advanced economies, 2/ formerly emerging economies that have become advanced (including the Newly Industrialised Countries of Asia and the economies of Central Europe, which, thanks to EU membership, have shown the greatest catch-up), which we shall refer to as 'newly advanced', and 3/ other emerging countries, based on indicators that complement per capita GDP alone³. This analysis focuses on two aspects: opportunities and risk^{4, 5}.

CHINA: A STEAMROLLER THAT SITS UNEASILY WITH THE CONCEPT OF AN EMERGING MARKET, DESPITE BEING CLASSIFIED AS SUCH

China remains an emerging market in terms of opportunities for businesses and investors, regardless of the indicator used: per capita GDP, but also – and above all – high growth potential despite the trend towards a slowdown since 2012; a major information and communication technology sector for the country's economy, which the development of AI can only accelerate⁶; and, finally, significant scope for further growth of the middle class compared with advanced countries (see Table 1, page 5). Added to this are well-developed infrastructure and a competitive workforce with a good level of education.

In terms of risk, the balance also favours classification as an emerging economy. Volatility indicators (see Table 3, page 5) are, admittedly, very similar to those of advanced economies, but the country is characterised by a structural budget deficit and public debt (whether or not adjusted for the government's tax base) that are higher than in advanced economies (see Table 3, page 5).

However, China must also be assessed in absolute terms, given its financial clout, the diversity and central role of its economy within Asian and global value chains, and the sheer scale of its 'steamroller' economy. A few figures: one percentage point of growth represents USD 200 billion, equivalent to half of South Africa's GDP. The assets of the Chinese banking system are 1.3 times those of all European banks combined. Finally, foreign exchange reserves of its central bank (USD 3416 bn at end-June 2026) make China a leading lender of last resort, particularly in its own currency.

1 The crises of 1997–1998 in Asia, followed by those in Argentina, Brazil, Russia and Türkiye between 1998 and 2000.

2 The acronym BRIC, coined in 2001 by Jim O'Neill, then chief economist at Goldman Sachs, is sometimes used to refer to the emerging world. In Jim O'Neill's view, it was simply intended to identify the economies that could rival that of the United States, not only as drivers of the global economy but also as mediators in debt restructuring. As these economies were the most populous (along with Indonesia) and set to remain so, it is hardly surprising that this acronym has endured, simply because the aggregate GDP of these four countries rose from 40 per cent of the GDP of all emerging and developing economies (in purchasing power parity terms) in 2000 to 55 per cent in 2025, and that it has accounted for 75 per cent of the growth rate of all emerging and developing economies over the past 25 years. However, the economic analysis did not go any further.

3 Our sample of advanced economies comprises Australia, Austria, Belgium, Denmark, France, Germany, Greece, Ireland, Japan, the Netherlands, Portugal, Spain, Sweden, Switzerland, the United Kingdom and the United States. The sample of advanced economies that were formerly emerging consists of the Asian NPI countries (Korea, Hong Kong, Singapore and Taiwan), Israel, Hungary, Poland, the Czech Republic and Slovakia. The other emerging economies in our sample are South Africa, Algeria, Angola, Saudi Arabia, Argentina, Brazil, Bulgaria, China, Colombia, Chile, Egypt, the United Arab Emirates, India, Indonesia, Malaysia, Morocco, Mexico, Oman, Nigeria, Pakistan, Peru, the Philippines, Thailand, Türkiye, Tunisia and Vietnam.

4 The distinction between 'emerging economies' and 'developing countries' will not be discussed here because, beyond a simple classification based on per capita income, it requires further analysis.

5 As data series are not available for a sufficiently large number of countries to form these groupings, the risk indicators are limited to sovereign risk. That said, since the Asian crisis of 1997–1998, episodes of major financial crises and/or stress have overwhelmingly been triggered by a deterioration in this risk, rather than by the risk of non-transfer ('pure' balance of payments crises are exceptional amongst emerging economies) or systemic credit risk. In all emerging economies, the banking sectors no longer exhibit balance sheet imbalances which played the role of transmission mechanism or amplifier of external financial shocks (such as a tightening of monetary policy in the US).

6 According to the IIF, the information and communication technology sector (including both hardware and software) already accounts for 10 per cent of GDP and, since 2022, has been offsetting the negative contribution of the residential construction sector to overall growth.



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WHILST THE DISTINCTION BETWEEN LONG-ESTABLISHED ADVANCED COUNTRIES AND NEWLY ADVANCED COUNTRIES IS NO LONGER JUSTIFIED, IT REMAINS RELEVANT WITH REGARD TO EMERGING ECONOMIES.

Newly advanced countries still have a very marginal catch up compared with long-established advanced countries, but volatility indicators are on a par, including the exchange rate (with Hungary being the exception), and sovereign risk indicators are only marginally worse. If some of these countries are nevertheless considered to be riskier, it is due to potential or actual geopolitical risk (South Korea, Israel, Taiwan). It should be noted that, according to our analysis, Poland should be classified as a newly advanced emerging market, whilst it remains an emerging market for IFIs and economic research services.

As regards the countries considered as still emerging by both international financial institutions and economic research departments, the customary distinction between commodity-exporting countries and others remains relevant. However, in both cases, these economies exhibit, to varying degrees, the characteristics of emerging economies: a substantial gap in growth potential, an underdeveloped middle class, greater volatility in growth and inflation⁷, and sovereign risk indicators that are all worse than those of advanced economies (with the exception of the structural budget balance).

Among commodity-exporting countries, a distinction should be made between the countries of the Gulf Cooperation Council (GCC) and the others. Indeed, i) the standard of living there is equivalent to that of advanced economies (if the population is limited to nationals only) and ii) the GCC countries can rely on their sovereign wealth funds to absorb shocks. Nevertheless, they share characteristics with emerging economies (low economic diversification, investment projects that may become 'white elephants', geopolitical risk). Finally, the 'original sin' (government debt denominated in foreign currencies, due to a lack of a sufficient domestic funding base in local currency) still characterises emerging commodity-exporting countries and still partly dollarised economies, such as Türkiye.

François Faure

⁷ Any assessment of exchange rate volatility must be based on a separate analysis of inflation volatility and real exchange rate volatility. To conclude that volatility is higher or lower, both components must move in the same direction. Consequently, only Argentina, Egypt, Türkiye and Africa's two main net oil-exporting countries (Angola and Nigeria) exhibit higher exchange rate volatility.



(A) Opportunity indicators	GDP per capital (PPP - US=100)	potential (%)	Middle class (% population)
Advanced countries (1)	80.2	1.7	64.5
o.w. newly advanced (2)	66.9	1.9	66.5
Emerging countries (3)	24.9	3.0	47
China	32.6	3.3	44
Commodity exporters (4)	23.2	2.8	40.5
Others (excluding China) (5)	10.6	3.7	19

TABLE 1

SOURCE: IMF, OECD

(B) Risk indicators	Growth volatility	Inflation volatility	Fx volatility
Advanced countries (1)	2.8	2.4	3.5
o.w. newly advanced (2)	2.9	2.6	3.8
Emerging countries (3)	3.6	3.2	5
China	1.9	2.3	3
Commodity exporters (4)	4.2	3.8	6
Others (excluding China) (5)	3.2	3.1	3.4

TABLE 2

SOURCE: FITCH

*Standard deviation of the annual percentage change in real GDP over the past 10 years ending in 2025

**Standard deviation of the annual percentage change in the Consumer Price Index over the 10-year period ending in 2025

***Standard deviation of the percentage change in the average annual index of the real effective exchange rate over the past 10 years ending in 2025

(C) Sovereign Risk Indicators	Cyclically-adjusted primary balance	Interest payments (% GDP)	Public debt (% GDP)	Fiscal base-adjusted public debt-to-GDP ratio*	Local currency- denominated public debt (% total debt)
Advanced countries (1)	-0.8	3.0	62.3	-0.3	100
o.w. newly advanced (2)	-2.6	2.0	55.5	-0.4	86.3
Emerging countries (3)	-0.9	15.3	59.6	0.2	65.7
China	-6.2	4.9	99.2	1.0	99.3
Commodity exporters (4)	-0.5	9.8	46.5	0.2	60.8
Others (excluding China) (5)	-1.3	10.6	65.9	0.5	79.2

TABLE 3

SOURCE: FITCH, BNP PARIBAS

* in standard deviation of the regression (calculations BNP Paribas)

(1) Australia, Austria, Belgium, Denmark, France, Germany, Greece, the Republic of Ireland, Japan, the Netherlands, Portugal, Spain, Sweden, Switzerland and the United Kingdom.

(2) The Republic of Korea, Hong Kong, Hungary, Israel, Poland, the Czech Republic, the Slovak Republic, Singapore and Taiwan

(3) South Africa, Algeria, Angola, Saudi Arabia, Argentina, Brazil, Bulgaria, China, Colombia, Chile, Egypt, the United Arab Emirates, India, Indonesia, Malaysia, Morocco, Mexico, Oman, Nigeria, Pakistan, Peru, the Philippines, Thailand, Türkiye, Tunisia and Vietnam.

(4) South Africa, Algeria, Angola, Saudi Arabia, Argentina, Brazil, Colombia, Chile, the United Arab Emirates, Indonesia, Oman, Nigeria and Peru.

(5) Bulgaria, China, Colombia, Chile, Egypt, India, Malaysia, Morocco, Mexico, Pakistan, the Philippines, Thailand, Türkiye, Tunisia and Vietnam.



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ADVANCED ECONOMIES

GLOBAL OUTLOOK

IMF Updated Global Outlook: Little has Changed. The IMF's [July 2026 WEO Update](#) forecasts global GDP growth 3.0% in 2026 and 3.4% in 2027, down from an average of 3.5% in 2024–25 and broadly unchanged from the April forecasts. US growth is projected at 2.3% in 2026 and 2.2 % in 2027, virtually unchanged from April. In the Eurozone, growth is projected at 0.9% in 2026 (-0.2 pp from April) and 1.2% in 2027. France is seen growing at 0.6% (-0.3pp) and 0.9% and Germany 0.7% (-0.1pp) and 1% (-0.2pp) in 2026 and 2027 respectively. Global headline inflation is expected to increase from 4.1% in 2025 to 4.7% in 2026 before declining to 3.9% in 2027. Risks to the outlook are more balanced than in April but still tilted to the downside. A possible correction in technology-driven expectations adds to downside risks, whereas eroded policy buffers can amplify them.

EUROPEAN UNION

New Joint Debt Proposal, tariffs on Chinese tires, and Innovation Scoreboard. Spain presented a new [proposal](#) to the Eurogroup, aiming to centralize some national debt issuance at the EU level in a European Sovereign Facility in order to reduce collectively interest costs and accelerate the generation of a meaningful stock of safe assets to support the international role of the euro. The proposal includes safeguards to limit moral hazard. It was reportedly met with skepticism by the usual "frugal" countries and even France, and is unlikely to get political traction on this side of the French elections; however, Eurogroup President Kyriakos Pierrakakis said the proposal would be considered, with talks due to continue at a technical level.

Anti-dumping duties on imports of vehicle tires from China (28% market share in 2024) ranging from 4.3% to 45.3% were imposed by the European Commission on 7 July 2026, on grounds that they are causing injury to the EU's tire industry, which employs over 80,000 people across 14 EU countries.

EU innovation performance is improving but remains hampered by low business R&D. Significant intra-EU divergence and a large gap with global leaders persist. The European Commission's 2026 [European Innovation Scoreboard](#) showed the EU's innovation score rising +1.7pp from 2025, extending a steady improvement since 2019. Sweden, Denmark and the Netherlands retain the top spots. Among neighbouring economies, Switzerland extended its nine-year lead, with the UK, Norway and Iceland also outperforming the EU. South Korea remained the top performer globally. The US and China continue to outspend the EU heavily on business R&D.

EUROZONE

Retail sales rebound. Sales bounced back 0.2% m/m in May, led by a solid rebound in Germany (+1.1% m/m). According to the ECB, the households debt-to-disposable income ratio dipped to 81% in Q1 (-0.2pp), the lowest since Q2 2004. The savings ratio edged lower at 14.26% of disposable income (14.30% in Q4 2025).

Energy shock is pushing producer prices up. Headline producer prices rose by 5.9% y/y (+0.9 pp) in May, as energy inflation accelerated to 14.0% (+1.5pp). The core PPI excluding energy rose more moderately (2.8% y/y, +0.5pp).

- France: Recession avoided, creation destruction underway. The Banque de France raised its Q2 GDP estimate to +0.2% q/q, up from a prior forecast of stagnation, following improvement across all sectors in June and a Q1 contraction. Airbus deliveries increased by 40% y/y in Q2 (after a disappointing Q1 at -16% y/y). Overall, goods exports were stable y/y in May despite fewer working days and increased over Jan-May by 4% y/y, driven mainly by aeronautics, metals, electronics and pharmaceuticals, mostly to EU destinations (Germany and Italy). **Business insolvencies and new creations are both rising to record levels.** Business insolvencies increased in H1 2026 by 4.1% y/y according to The National Council of Insolvency Practitioners (CNAIJM), while the Banque de France reports a 7.6% y/y increase (over January – May). In parallel, according to INSEE, business creations increased by 12.1% y/y during the same period. In both cases, three-quarters of the increase is attributable to services. Separately, the government lowered its 2026 growth forecast to 0.7% (-0.2pp) and announced **new spending cuts** (EUR 3bn) adding to the EUR 6bn announced in April.

- Germany: Multi-year highs in industrial orders, borrowing splurge ahead. New factory orders (May) hit their highest level since July 2021 (+6.3% y/y). Sector highlights: "Other transport equipment" soars +35% y/y and +85% m/m — driven by military equipment orders. Textiles reached their highest level since November 2025. Metals and machinery/equipment hit peaks since September 2023. Industrial output (May) rose 0.9% m/m for a 2nd straight month, reaching its highest level since November 2025. Manufacturing hits a 2026 high, with transport equipment (+2.4% m/m) driving gains. All sectors (except textiles/furniture) rebound to year-to-date peak levels. Exports reached EUR 137.9 billion (+6.1% y/y) in May. Over January – May, exports primarily grew to the EU (+7.3% YTD) and the UK (+5.0% YTD) but declined to China (-13.0%) and the US (-7.0%). Imports stood at EUR 118.8 billion (+6.9% y/y) in May and EUR 587.8 billion (+3.7% y/y YTD) between January – May. Over this period, imports notably increased from France (+13.0% YTD), China (+7.6% YTD), and the US (+7.0% YTD).

The draft budget for 2027 and the medium-term financial framework to 2030 foresee higher spending and borrowing: Expenditure is planned at 555.4 bn euros in 2027 (up 30 bn in 2026); Borrowing at EUR 230.6 bn (up 12.5% y/y): of which EUR 54.9 bn via the infrastructure fund and EUR 30 bn via the defence fund. The debt-to-GDP ratio will reach 69.5% in 2027 and the deficit 4.3%. Between 2027 and 2030, Germany plans to borrow EUR 838.2 bn through the special infrastructure fund and the defence fund. The Ministry of Finance forecasts that defence spending will rise from 2.8% of GDP in 2026 to 3.5% in 2029.

UNITED KINGDOM

Lower capital requirements on the way. In its Financial Stability Review, the Bank of England proposed a series of measures to further ease capital requirements, after lowering the T1 capital requirements it judged appropriate for UK lenders from 14% to 13% of RWA (equivalent to a CET1 ratio of 11%) in December 2025. This new package is intended to enhance the usability and releasability of capital buffers, as well as improving the functioning of the leverage ratio and leverage buffers. The leverage requirement for large UK banks could be reduced by around 20 bp in aggregate. Additional work is expected in 2026 H2.



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UNITED STATES

Buoyant activity, Fed reform launched and inflation in focus. The Non-Manufacturing ISM softened slightly to 54.0 in June (-0.5pp). **Fed Reform Task Forces Launched:** Fed Chairman Kevin Warsh [announced](#) the leaders of the five new task forces due to advise on Fed communications, balance sheet strategy, data sourcing, productivity and jobs, and inflation frameworks. They include former central bank governors (Arminio Fraga, Mervyn King, Ragu Rajan), former Fed officials, academic economists (including Nobel laureate T. Sargent) and CEOs—all highly credentialed individuals, mostly elderly men of conservative, Warsh-aligned, leanings.

Inflation in focus. The minutes of the last FOMC meeting confirmed the committee is now squarely focused on inflation risks, with differences of opinion related entirely to what it will take to bring it down. Dovish-leaning NY Fed Chair John Williams said in a speech this week that inflation remains "far too high," with risks skewed to the upside, and that AI-driven demand is now his primary inflation concern — potentially warranting rate hikes if sustained.

Trade Deficit Widens: The US goods and services trade deficit widened by 42.2% month-on-month in May to \$77.6 billion — the largest since March 2025 — as exports fell by 3.2% and imports rose by 3.3%. *Coming up: June CPI and Fed Chair Warsh Testimony to Congress (Tuesday-Wednesday), June PPI (Wednesday), June Retail Sales (Thursday), June Industrial production (Friday).*

JAPAN

Finance Minister Urges Pension Funds to Buy Domestic Assets. Finance Minister Satsuki Katayama called on Japan's pension funds — including the world's largest, the GPIF — to increase investments in domestic financial assets. The announcement triggered a sharp rally in JGBs and the yen on Friday, and if followed through could also put upward pressure on US and European yields over time.

EMERGING ECONOMIES

Portfolio flows remained negative in June at -\$17.8 billion, after -\$25.2 billion in May. Debt inflows accelerated to \$28.3 billion, while equity outflows deepened to -\$46.1 billion. Asia again accounted for more than the full EM outflow, with equity selling offsetting stronger regional debt inflows. China shifted from equity support to equity drag, while China debt remained in outflow (source: IIF).

ASIA

China: Lowflation returns, car exports jump, RMB strengthens. CPI inflation eased more than expected to 1% y/y in June. The energy shock has led to a slight rebound in Chinese inflation (+1.1% y/y in average in Q2, vs. +0.8% in Jan-Feb 2026), driven by fuel prices (+15.3% in Q2), while food prices decreased (-1.6%). Producer prices rose by +3.6% y/y in Q2. The rise in inflation may not last, however, as it is not supported by stronger domestic demand. Core inflation has, in fact, slowed slightly (+1.1% y/y in June vs. 1.2% in Dec 2025). Meanwhile, auto exports are up 75% in the first half of 2026 even as domestic auto sales fell 20%. Total auto exports in June topped 1 million in one month for the first time, according to the China Association of Automobile Manufacturers. EVs drove much of the increase, with shipments surging 160% to 523,000 units. PBOC set the USD/RMB fixing at 6.7989 — below 6.80 for the first time since 2023. *Coming up: Trade balance (Tuesday), GDP and retail sales, industrial production (Wednesday).*

Mixed but moderate June inflation data overall. In **Indonesia**, CPI inflation rose to a still moderate 3.3% y/y from 3.1% in May while producer prices increased more rapidly (6.5% in June vs. 5.8% in May). In **Taiwan**, CPI inflation accelerated to an above-target 2.6% from 2.2% in May. In **Thailand**, CPI inflation declined (2.4% y/y vs. 2.8%); it stayed positive for the 3rd consecutive month after one year of deflation.

EMERGING EUROPE

Poland and Romania: Monetary policy status quo. As expected, both central banks kept their policy rate on hold (Poland: 3.75%; Romania: 6.5%). In Poland, inflation has been receding, reaching 2.5% y/y in June.

LATIN AMERICA

Mixed inflation trends. Inflation eased in Brazil (4.6%) and Mexico (3.4%), was stable in Peru (4%), and accelerated in Chile (4.3%) and Colombia (6.1%).

ENERGY

In the most serious escalation since the MoU, Iran and US have exchanged a round of attacks over the weekend. On Monday, at the opening of markets, the price of Brent oil rose by 3.7% from Friday close to 79\$/b and that of TTF (European LNG reference) rose by 3.8%, breaching 50€/MWh for the first time in two months.

US SPR release continues to be sustained (-6.2 mb w/w in the week ending 03/07).

Renewed tensions on diesel markets after Russia — the world's second largest exporter — introduced a ban on diesel exports until July 31 after drone attacks damaged key refineries. On Friday 10 July, Diesel premium over Brent exceeded 53\$/b, near the 2022 peak. **European gas prices (TTF) surged by 15% over the week** (49 €/MWh on Friday 10). This could constrain European efforts to fill gas inventories before winter (currently 51% full, vs 62% same time last year) given an unfavorable price curve (spot price is significantly higher than winter price). **Germany is set to establish a state-held strategic emergency gas reserve** equivalent to 10% of its total storage capacity. Purchases will be spread over 2-3 years starting in summer 2027, funded via a gas consumer tax.



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Energy shock: Dashboard 2026 vs. 2022

This special issue concerns the update of Eurozone data.

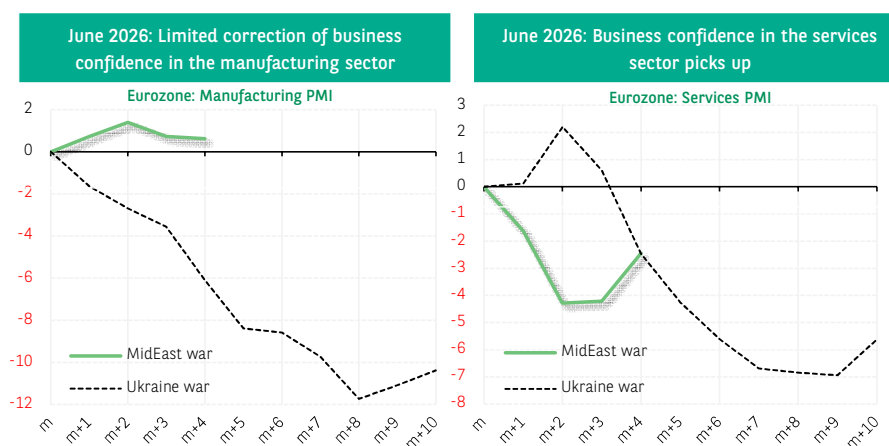
Will the same causes produce the same effects? In other words, will the war in Iran and the resulting surge in oil and gas prices lead to an inflationary shock comparable to that seen in 2022? Will their negative effects on growth be the same as those of the war in Ukraine and the subsequent energy shock?

We have selected a set of indicators to track the impact of this new energy shock — caused by the war in the Middle East — on activity and prices in the Eurozone, the United States, oil and gas markets and emerging countries, and to see how much the current situation resembles that of 2022 at the outbreak of the conflict in Ukraine.

This dashboard features charts and comments that will be updated on a monthly basis for as long as necessary.

The expectation that the surge in inflation, driven by this new energy shock, would be more moderate than in 2022 (with demand being less dynamic and supply less constrained) is confirmed. However, following the Memorandum of Understanding signed in mid-June between the United States and Iran, inflationary risk has eased but has not disappeared. This MoU has reduced the risk of a severe escalation of the conflict, but the resurgence of tensions and military strikes in mid-July shows that the situation is far from resolved.

When we compare the impact on economic activity of the current energy shock with that of 2022 (following the conflict in Ukraine), the favorable point in 2026, for the euro area, is the business climate in the manufacturing sector, which is holding up better than in 2022. Consumer confidence has fallen sharply but to a lesser extent in 2026 than in 2022. As for the deterioration in the business climate in the services sector, it was immediate in 2026, whereas it occurred with a few months' delay in 2022.



Change since m = 0 = February 2026 / February 2022. Unit: inflation change in percentage point, point for confidence surveys.

Source: European Commission, Macrobond, BNP Paribas

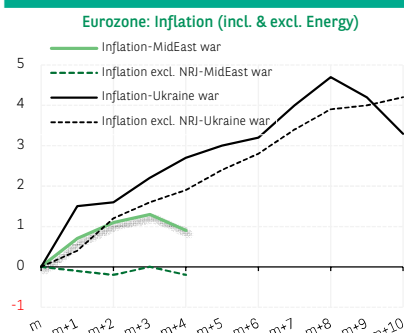


Eurozone: The drop in oil prices drives inflation in its wake, tempers inflationary pressures and supports confidence surveys

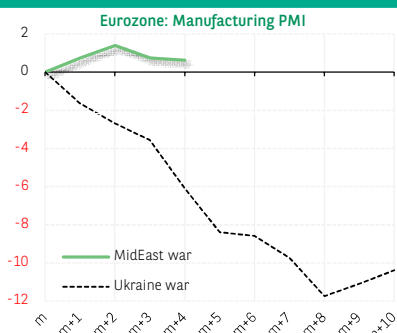
We have selected two inflation measures (with and without energy) and six survey indicators: business confidence, as measured by the PMIs in the manufacturing and services sectors; the “input prices” and “output prices” components of the composite PMI (in order to identify direct inflationary pressures); the “suppliers’ delivery times” component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalance, and therefore, indirectly, of inflationary pressures in the making); household confidence, as reflected in its “assessment of financial situation in the next 12 months” component (in order to capture the impact of inflation on purchasing power). The trends in each of these indicators are observed relative to month m=0, corresponding to the start of the conflict. Each line does not represent the level of the indicator, but its cumulative variation compared to month m=0.

The assessment of the June data is positive and reinforces the encouraging signals from May data. Symmetrically to its rise, which was largely driven by the “energy” component, inflation has significantly receded due to the marked drop in oil prices in June. According to PMI business climate surveys, inflationary pressures have also eased. Delivery times are also benefiting from the supportive impact of the MoU (signed in mid-June between the United States and Iran) and are improving slightly. The business climate in the manufacturing sector has slipped again but marginally. Business confidence in the services sector and consumer confidence continue to recover. The expected improvement due to the reduced risk of a severe escalation of the conflict in Iran is materializing. It remains to be seen whether it will withstand the persistence of uncertainties and the resurgence of tensions in mid-July.

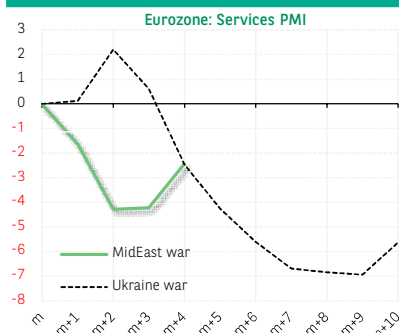
June 2026: End of the energy-led rise in inflation?



June 2026: Limited correction of business confidence in the manufacturing sector

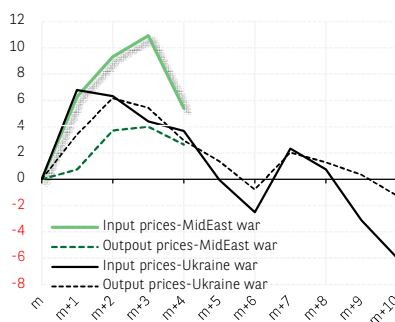


June 2026: Business confidence in the services sector picks up



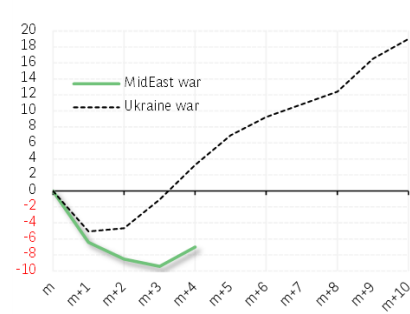
June 2026: Moderation of price pressures

Eurozone: Composite PMI - Input and output prices



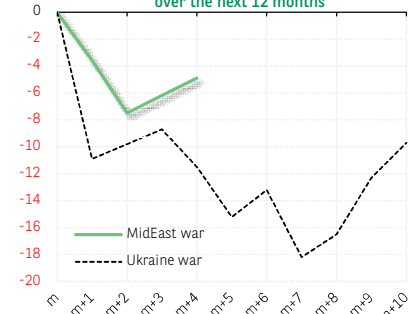
June 2026: Small improvement in supply tensions (slightly shorter delivery times)

Eurozone: Manufacturing PMI - Suppliers' delivery times



June 2026: Further improvement in consumer confidence

Eurozone: Consumer confidence - Financial situation over the next 12 months



Change since m = 0 = February 2026 / February 2022. Unit: inflation change in percentage point, point for confidence surveys.

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas



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ECONOMIC RESEARCH

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ECONOMIC RESEARCH



WHEN INTRA-EU TRADE FINDS A NEW BALANCE

Guillaume Derrien with the help of Maëlys Biot (intern)

The share of intra-EU exports in total European exports currently stands at around 62%, a level comparable to that seen in the early 2000s. Behind this apparent stability, however, lies a deep reshuffling of the major blocs that make up the European Union. The share of trade within the Eurozone in total intra-EU exports has declined almost continuously. It fell from about 77% in the early 2000s to just over 64% today (April 2026). Conversely, the share of flows between the Eurozone and the rest of the European Union (31.5%), along with, to a lesser extent, trade among the six countries¹ outside the Eurozone (4.0%), has risen symmetrically. There is little doubt that the growth gaps expected between the Eurozone and the more dynamic economies of Central Europe and Scandinavia by the end of the decade, according to IMF projections², will fuel this trend.

This rebalancing stems first and foremost from EU enlargement. The Central European countries, whose EU integration began in 2004 (2007 for Romania), have gradually climbed up European industrial value chains. This is particularly true in machine tools, transport equipment, and, more recently, defense (Poland), a sector in which Sweden is also a major player. Foreign direct investment flows from the Eurozone and from outside Europe (China³) have accompanied this upgrading, anchoring these economies as central players in European value chains.⁴

The Eurozone remains by far the EU's main export market, and most of the industrial value added remains concentrated there. This gradual shift in trade patterns is nonetheless not politically neutral, and it is progressively redrawing the balance of power within the EU. The ongoing negotiations over the next Multiannual Financial Framework (2028-2034) are one of the current illustrations of this.

This reorientation is slow and uneven, but it remains an important signal. At a time when global trade tensions and Chinese competition are undermining opportunities outside the EU, this internal redeployment of trade acts as a buffer for European exports, which is positive for the continent's economic growth. It is also, and above all, one more argument—if one were needed—for strengthening the European single market, the only framework capable of turning these new synergies into lasting competitiveness gains for the whole continent. Hence the importance for European leaders of making the 'One Europe, One Market' plan a success.

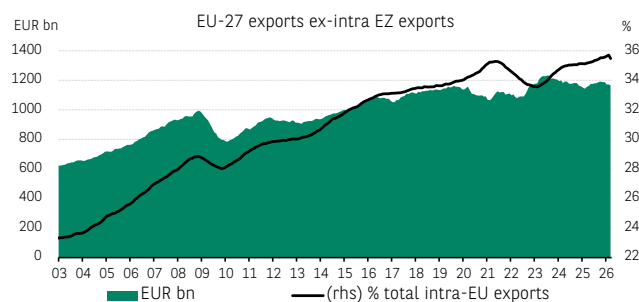
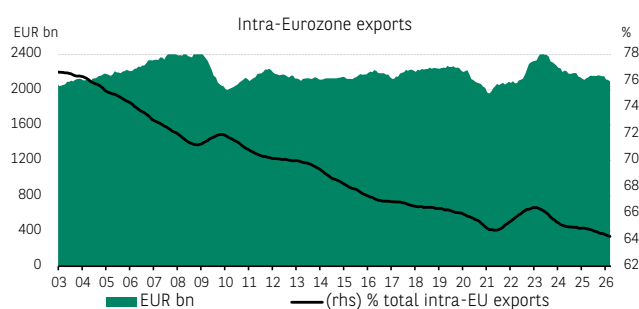
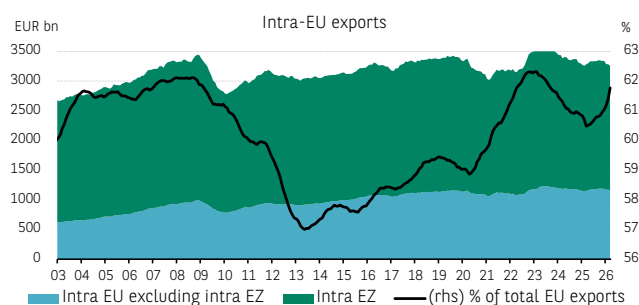
¹ Denmark, Hungary, Poland, Romania, Sweden, Czech Republic.

² According to April 2026 forecasts, average annual growth in the Eurozone is expected to be 1.2% over 2026-2030, versus 2.1% for the six non-Eurozone countries.

³ See Rhodium Group's latest report on this topic: [Chinese Investment in Europe Rises to Seven-Year High: Chinese FDI in Europe 2025 Update](#) – Rhodium Group

⁴ See C. Kalasopatan Antoine, [Central Europe: Moving up the value chain](#), BNP Paribas, February 4, 2025.

In intra-EU trade, the eurozone is losing ground to the other member states



Note: Constant price, 2020. Data are deflated using unit value index of exports

CHARTS

SOURCE: EUROSTAT, BNP PARIBAS

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BI-ANNUAL CONFERENCE | THE GLOBAL ECONOMY IN THE MIDST OF SHOCKS: BETWEEN UPHEAVAL AND RESILIENCE

TRANSCRIPTION

0:00:06 – Emmanuel Laborde

Hello everyone and thank you for joining us for this latest half-yearly BNP Paribas Economic Research conference, as we approach the end of June – or rather, mid-June – on this Tuesday afternoon. We are extremely pleased to see so many of you tuning in, as always. We are here live to discuss two key topics from the economic news, which we will explore in more detail. Before we proceed, I would like to say a few words about our audience, as more and more of you are following us.

As you are aware, this event has been accessible not only to BNP Paribas employees but also to our clients for some time now. This event is therefore now open to the general public. A brief moment for an important reminder: the disclaimer under the Markets in Financial Instruments Directive (MiFID II). We wish to clarify that the various presentations you are about to attend, as well as the comments made during this conference, do not constitute investment advice. Having said that, let us move on to the agenda. Today, we will be discussing two topics in depth, both of which are, once again, highly relevant to current events. For several half-years now, economic developments have significantly influenced our editorial focus. The first topic is the global economy in the context of the energy crisis. Of course, this title refers to the conflict in Iran at a rather unusual juncture, especially given that developments over the past 48 hours have been moving in the right direction – or so we hope, at any rate. Nevertheless, oil prices have been consistently hovering around, or even above, \$100 a barrel for many weeks and months, with a correction since Sunday evening – although this is merely a temporary blip for the time being.

These elevated prices have undeniably affected the world's economies. We shall try to identify the specific consequences and then see what opportunities this might open up for us, particularly in relation to fossil fuels.

The second topic, which is consistently relevant in our lives and both fascinating and frightening, is artificial intelligence – AI, particularly generative AI – which is shaping up to be an extraordinary driver of growth, with colossal investment currently taking place in the United States, China and Europe. We will explore how it is transforming our economies and the opportunities it presents. Additionally, please don't forget that at the end of each session – as this is an interactive event – we'll be very happy to answer your questions. You're welcome to ask them at any time.

The teams of moderators are working behind the scenes, keeping cool – lucky them – and collating your questions. We'll set aside five minutes at the end of each presentation to answer them. It's time to begin. I believe that at 4:04 p.m., you're all here.

First up, we'll start with a brief introduction from BNP Paribas' Chief Economist, who, as is customary, will open this half-yearly conference. That's Isabelle Mateos y Lago. Jingle!

Just enough time for a quick sip of water, and here we are back on set. Hello, Isabelle.

0:03:01 – Isabelle Mateos y Lago

Hello, Emmanuel, hello everyone.

0:03:02 – Emmanuel Laborde

Let's start with a few words to set the scene, if you don't mind, particularly on this first topic. We're going to talk about the conflict in Iran and its economic consequences. Among the indicators we have – indicators reflecting the health of the global economy – are, of course, the stock market indices. Whether in the US on the Nasdaq or the Dow Jones, or in France or across Europe with various indices, we're approaching historic highs. This stands in contrast to the situation in Iran, which remains exceptionally serious and ongoing.



Yet the situation there seems to be improving. Is there a potential disconnect between the perception of the stock markets and the reality we are experiencing?

0:03:40 – Isabelle Mateos y Lago

That's an excellent question that I'm asked very often, and I think that, in truth, there is no disconnect. First of all, while the performance of the US stock market is indeed President Trump's favourite indicator, there are significant differences in the composition of stock market indexes and economies. In fact, the tech sector has been the primary driver of the stock markets' upward trajectory. So, the more tech there is in a market, the higher the returns have been since the start of the year.

For example, the Nasdaq is up by nearly 40 percent, the S&P 500 by nearly 20 percent, whereas European markets – where there is less tech – have risen by only a few basis points since the start of the year. Ultimately, all of this is fairly consistent with the outlook for growth, which, although negatively affected by the conflict in Iran, remains positive.

The second point, which serves as important context for our discussions throughout this conference, is that we are actually facing two simultaneous shocks. We are dealing now with what I would call a cyclical shock. The most recent of these is the war in Iran and its impact on energy prices and inflation. However, underlying this are profound structural shocks – geopolitical, economic and technological paradigm shifts – that create such a pressing need to adapt that they stimulate investment and economic activity. So, what we're going to do over the next hour is to try and unpick these two elements to shed some light on the economic outlook.

0:05:18 – Emmanuel Laborde

Between optimism and a hint of concern, where does the balance lie? That's what we're going to try and unpick. In this first segment, we'll be looking specifically at the conflict in Iran with Guillaume Derrien and Pascal Devaux. Hello to you both. Guillaume, of course, will be covering the economic aspect.

0:05:30 – Guillaume Derrien

Yes, hello Emmanuel, hello everyone.

0:05:32 – Emmanuel Laborde

And with you, Pascal, whenever we see you, it's always to talk about energy and oil.

Pascal Devaux

Hello Emmanuel, hello everyone.

Emmanuel Laborde

We'll start with you, Pascal, if you don't mind, as I was talking about indicators – specifically, stock market indices – but there's another one that serves as an excellent gauge of the global economy's health: the price of energy. In this context, the prices of commodities such as oil and gas have seen huge increases since the blockade of the Strait of Hormuz.

The primary question is this: what happened in the Strait of Hormuz represents an entirely unprecedented situation, both in terms of energy and the economy.

We've never seen anything like it before.

0:06:09 – Pascal Devaux

In terms of energy, it is true that this is an unprecedented shock, as around a quarter of global oil trade passes through the Strait of Hormuz. So, it is really significant. It's also worth noting that the shock was somewhat mitigated by three factors. Firstly, there were alternative pipelines, particularly in Saudi Arabia and the United Arab Emirates. A second mitigating factor was the significant reduction in strategic reserves held by OECD countries, particularly the notable decrease in US strategic reserves.

And finally, the third factor was a significant reduction in Chinese imports, and we know that China is one of the world's leading oil importers. These factors helped mitigate the impact. Nevertheless, prices still reached very high levels.

Between early March and late June, the average price of a barrel of Brent crude exceeded 100 dollars. This is indeed a



considerable figure. It can be said that this situation is unsustainable without the reopening of the Strait of Hormuz, and we are likely to encounter mounting tensions in the coming weeks.

0:07:20 – Emmanuel Laborde

We are therefore anticipating this reopening – we’re keeping it conditional – as it’s scheduled to take place on Friday, although there have already been numerous announcements to that effect. Crude oil prices have therefore risen sharply, as you’ve pointed out, and the prices of refined products – which have a direct effect on consumers and the economy – have also seen very high inflation.

0:07:36 – Pascal Devaux

Yes, in fact they’ve risen even more sharply than crude oil prices. Refined products are, broadly speaking, road fuels and aviation fuels. It’s important to note that the Middle East and Asia account for around half of global refining capacity, and that these two production hubs supply not only Asia but also, to a large extent, Europe. Therefore, in terms of pricing, we’ve seen that the average price of refined products on the Asian market has doubled, with an increase of around 50 percent in both US and Europe.

Furthermore, a few remarks can be made about naphtha. Naphtha is an essential component for much of the petrochemical industry and also for the plastics industry. What we have seen is that, despite a decline in demand and a reduction in stocks in Asia, naphtha prices on the Asian market have also doubled.

0:08:31 – Emmanuel Laborde

Everything you’re describing here relates to oil. My question encompassed energy sources, including gas as well. Are we seeing exactly the same trend in that sector?

0:08:39 – Pascal Devaux

Yes, well, it’s a bit different – naturally, the markets vary – but we’ve also seen a sharp rise in gas prices. Since the start of the year, the price of gas on the European market has risen by around 30 percent. That’s still nowhere near what we saw during the 2022 energy crisis, when prices doubled over a much longer period. We have therefore been relatively less affected than during the 2022 crisis because Europe is less dependent on gas imports from the Middle East.

We import less than 10 percent of our gas needs from the Middle East. Another factor that may have worked in our favour – or rather, did work in our favour – is that this crisis occurred at a time of relatively low demand; it happened just after winter, when gas consumption is slightly lower.

Furthermore, on the Asian market, there has also been a decline in LNG imports. This is partly due to the fact that there were relatively high level of LNG stocks in Asia, even though it is not as easy to store as oil. Secondly, in some countries there has been a shift towards alternative energy sources, particularly in the electricity mix, leading to an increase reliance on coal in certain Asian countries.

0:09:56 – Emmanuel Laborde

Let me remind you once again, we are broadcasting live this Tuesday afternoon, 16 June. If you’re watching us during the repeat broadcast, this will help you date our comments. We are in the run-up to Friday, when the peace treaty is due to be signed. We’re going to engage in a challenging economic exercise: forecasting. Let’s imagine that the situation improves sustainably, and the Strait of Hormuz is reopened. What can we expect in the short term? What will be the impact on energy prices as early as this summer?

0:10:24 – Pascal Devaux

Making forecasts is an exceptionally challenging task, especially in tense situations and in such volatile markets. Nevertheless, we can assert that even if the Strait of Hormuz reopens in the coming weeks, we anticipate that oil prices will remain elevated. This is partly due to the time it will take to bring all the facilities in the Middle East back into production. The timeline for this restoration can vary significantly, taking a few weeks in some countries like Saudi Arabia, while in Iraq, it may extend to several months due to the longer process of restarting oil production facilities.

That is one contributing factor. Another important aspect is that, once the Strait reopens, global demand will remain strong,



particularly as consumer countries will need to replenish their reserves.

Current stock levels are extremely low – at an all-time low – so this restocking demand will push prices up. Furthermore, although we are at the start of a process, having just extended a ceasefire and preparing to address some difficult issues, we can assume that geopolitical tensions in the region will remain fairly high. This geopolitical factor will further contribute to rising prices, leading us to expect prices to remain in the region of \$80 a barrel.

0:11:49 – Emmanuel Laborde

In other words, there's a psychological factor at play that goes beyond mere production capacity. – Yes, exactly. – Quite right. This is a bit of a trick question, but it'll be the last one. How might we return to, and when might we return to, the price levels seen at the start of 2026?

0:12:02 - Pascal Devaux

– Well, I don't have a clear answer to that, but it's linked to... It's linked to so many factors that we can't answer that. Nevertheless, one key factor we've just mentioned is the geopolitical situation. If we assume that geopolitical tensions in the region continue to ease, we can envisage a return to previous price levels – pre-war prices in Iran – starting from the second half of 2027 onwards.

0:12:32 – Emmanuel Laborde

Thank you for your frankness in that answer. So the agreement that's been signed should somewhat alleviate geopolitical concerns in the region – we all hope so, at any rate. Even so, we can expect – and bear with me here, as I'm about to use some rather complex terminology – the potential for stagflation or even a recession. Guillaume, I can see you nodding. In advanced economies where structural growth is, in fact, rather weak, do you foresee this type of scenario in your economic research?

0:12:57 – Guillaume Derrien That wasn't part of our baseline scenario and the likelihood of an agreement being signed and the easing of tensions between Iran and the United States reinforce this view. To give a few figures, in the US, we expect growth to remain robust at over 2 percent in 2026-2027, although inflationary pressures are expected to increase, and not just because of energy. Inflation in the US exceeded the 4 percent mark in May. However, we have made fairly significant downward revisions to our growth forecasts for the Eurozone, with an anticipated growth rate of 0.6 percent in 2026, down from the previous estimate of 1.6 percent.

As for Eurozone inflation, we predict it will reach 3 percent – slightly higher – in 2027, because, as Pascal rightly pointed out, we expect energy prices to remain at a high plateau next year.

Furthermore, the underlying message may be that this conflict in the Middle East is undermining the recovery we had anticipated, but it does not entirely negate it. We believe that there are still significant structural supports in place in 2026 that will extend into 2027. Investment cycles, in particular, remain on a positive trajectory. This obviously includes AI and digital investments in the United States. In Europe, we also have rearmament initiatives and support linked to the electrification programme, which is gaining momentum.

0:14:15 – Emmanuel Laborde

These are colossal projects, particularly the AI initiative, which is set to attract substantial investments and, we hope, stimulate growth. We'll discuss that topic in the second segment. Another point to bear in mind, perhaps, is that, although it may seem a long time ago, the economic situation in early 2026 was actually rather good, and we can envision that this trend will continue.

0:14:35 – Guillaume Derrien

Yes, we mustn't forget the starting point. The global economy was on a solid footing before the outbreak of the conflict in Iran. As we've said, growth in the United States remained robust in 2025, which continued into the first quarter of 2026. In the Eurozone too, growth was on a more gradual recovery path than in the US. Furthermore, if we look specifically at the labour markets, they have remained – and continue to remain – very tight on both sides of the Atlantic. Thus, the current situation is one of resilience.

0:15:02 – Emmanuel Laborde

What's the key takeaway here? Is there ultimately little or no risk of a recession?

0:15:05 - Guillaume Derrien

To fall into recession, the shock would need to intensify and spread, leading to potential shortages in energy and, consequently, in industrial inputs, particularly in the chemicals sector and for semiconductors. While this scenario cannot be entirely ruled out at this stage, the prospect of the Strait of Hormuz reopening does help to mitigate these concerns somewhat.

0:15:29 – Emmanuel Laborde

The Strait was closed on 13 April, which was just over two months ago. Even if it reopens, the repercussions are still being felt; we know that there is a delay in economic models. What economic consequences can we already observe in emerging economies?

0:15:42 - Pascal Devaux

Well, regarding emerging economies, starting with inflation, we've seen a rapid yet relatively contained effect on average inflation across these markets, with a year-on-year rate of 4.5 percent in February, rising to an average of 6 percent in April. This is significant, but not excessively high. In terms of growth, we've seen downward revisions to growth forecasts, but these revisions are moderate for both 2026 and 2027.

Against this backdrop of inflationary pressure and growth holding steady at a satisfactory level, central banks in emerging markets have, on average, put their monetary easing policies on hold for the time being.

If we take a step back, we can also see that the revisions to growth and inflation forecasts have been more significant for advanced economies than for developing ones. Of course, this is excluding the Gulf states, which have been severely affected in terms of growth. Furthermore, another point worth highlighting is that, in terms of macroeconomic fundamentals, the disparity between advanced economies and the most developed emerging economies is narrowing; this is indeed a noteworthy development.

If we look at the situation in a little more detail, specifically within the emerging world, it is clear that Asian countries have been the hardest hit, given that they are the most dependent on hydrocarbon imports from the Middle East.

As a result, many Asian countries have experienced sharp spikes in inflation, fuelled by substantial currency depreciation. A few words on Türkiye, which is always an interesting country to watch, particularly in times of crisis. In Türkiye, we continue to see a persistently high inflationary environment. There has also been a notable depreciation of the currency, which has been more severe than the average currency depreciation seen in other emerging markets.

Another point worth highlighting is the sharp rise in yields on sovereign bonds within the Turkish market.

0:17:56 – Emmanuel Laborde

In times of heightened tension, such as those we have just experienced, we tend to look back, at least over the medium term, for examples that might provide reassurance and additional indicators. If we look back to 2022, the responses from central banks were remarkably aggressive, with rates being increased by 400 basis points. Is this a scenario we might see again?

0:18:19 – Guillaume Derrien

Well, as for rate rises, yes, we do expect them. In fact, some central banks have already started to raise rates gradually. However, we do not foresee anything on the same scale as what we saw in 2022. The main reason for this is that the anticipated level of inflation for this year is expected to remain much lower than in 2022. We must remember that in 2022, the energy shock occurred in an overheated economy characterised by very strong demand due to the recovery and reopening of the global economy following the Covid pandemic.

Inflationary pressures had already started to materialise even before the outbreak of the conflict in Ukraine. In that context, companies were better able to pass on their rising costs to selling prices. We were also seeing wages pressures begin to intensify. Today, however, we find ourselves in a rather different situation.

In 2022, everything was essentially coming together. It is important to note that inflation in the Eurozone, in particular, exceeded the 10 percent threshold in the autumn of 2022.



0:19:13 – Emmanuel Laborde

It was monumental. We'd almost forgotten, but that figure was truly staggering. So, basically, we're not in the same situation at all.

0:19:18 – Guillaume Derrien

Yes, as I said, supply-side pressures are not as intense. Demand is contributing less to inflation, and given that wage growth is subject to a certain degree of inertia, particularly in the Eurozone, we expect them to moderate and remain at a stable growth rate in 2026. Moreover, when one reads or listens to central bankers, particularly those at the ECB, of the concern regarding a wage-price spiral is now mentioned less frequently, in contrast to the extensive focus it received in 2022.

Currently, this risk is not as urgent, and central bankers are placing less emphasis on it.

0:19:58 – Emmanuel Labrode

Having mentioned the ECB, let's continue with that topic for the moment. As we reach mid-June, there have already been some responses. What can we expect? What has been the reaction so far, and what can we expect next from the other central banks?

0:20:08 - Guillaume Derrien

The ECB raised its policy rates by 25 basis points last week. Another 25-basis-point rise is expected, probably in September. As for the Fed, that is where the revisions were most significant. We now expect three consecutive rate hikes starting in December. Growth in the United States and the labour market remains strong. Inflationary pressures remain high, with the inflation rate currently at 4 percent.

Thus, against this backdrop, it can still be asserted that the existing real interest rates remain accommodative – and likely much more so than the US Federal Reserve had anticipated when they cut rates last year.

Emmanuel Laborde

One final point regarding the Bank of Japan?

Guillaume Derrien

Yes, well, the Bank of Japan is following a slightly different path – one of monetary policy normalisation after years of low interest rates.

It raised its rates this morning; we still believe it will adhere to a very gradual approach to monetary tightening, but at a level that remains quite accommodative today compared with other central banks.

0:21:07 - Emmanuel Laborde

However, once again, the Japanese economy operates in a unique context, with a monetary policy that is distinct from the rest of the world. We'll be taking your questions in a few moments; please feel free to send them to the moderator – we'll be happy to receive them in three minutes' time. As you are aware, we do our utmost in this half-yearly session to draw on a wide range of sources for our information, aiming for objectivity while also incorporating a sense of positivity. We strive to achieve this every time, regardless of the topics discussed. In this particular case, what opportunities might be arising? What positive developments can we expect, particularly for Europe, Pascal?

0:21:39 - Pascal Devaux

Yes, so one of the positive developments we can expect is, in particular, what we already saw in 2022: a focus on energy security. As a result, European countries, aiming to reduce their energy vulnerability, will seek to diversify their supply sources, despite the acknowledged limitations in diversification options, particularly in the hydrocarbon markets. Additionally, a significant factor in mitigating this vulnerability is an increase in storage capacity for all oil and gas products.

Another factor, which is perhaps a little more positive – at least from my point of view – is that this energy crisis, being the second of its kind in four years, could serve as a catalyst or wake-up call for European governments, potentially expediting the transition to low-carbon energy. This acceleration of the low-carbon transition could be facilitated, in particular, by production capacities in key segments of the transition in China, along with substantial stockpiles there, which could lead to decreasing prices that would further facilitate this transition. One example of this trend is the sharp fall in battery prices we have been



seeing for some time, affecting both stationary batteries and vehicle batteries.

And we know that batteries are a key element of the low-carbon transition.

0:23:10 – Emmanuel Laborde

Just before we take your questions, the same question for you, Isabelle: is there a glimmer of optimism in anything we've just discussed?

0:23:15 - Isabelle Mateos y Lago

Yes, absolutely, particularly with regard to Europe. I'd like to add to what Guillaume was saying earlier: a major difference compared to 2022 is that, at that time, the ECB was just emerging from several years of negative interest rates and was buying massive quantities of government bonds every month. Why? Because there was such a chronic shortfall in domestic demand that had to be offset. That is no longer the case at all. The initial rate was 2 percent, and we are now at 2.25 percent, which remains within the neutral rate range.

Furthermore, the ECB is in the process of reducing its balance sheet; it is no longer buying any sovereign bonds at all. But beyond that, I see five more fundamental reasons, on which I have, incidentally, recently published a short editorial – which I am now shamelessly promoting – and which will be posted on the conference website.

0:24:09 – Emmanuel Laborde

We'll include a link to it, yes.

0:24:10 - Isabelle Mateos y Lago

The first reason pertains to European industry. Every day we see alarmist headlines proclaiming the demise of European industry. However, such claims are exaggerated. What is undeniable is that European industry is undergoing a transformation. This transformation entails both destruction and creation. Nevertheless, Europe continues to be a net exporter of manufactured goods on a global scale. The second aspect pertains to services. By contrast, nobody ever talks about this. Europe is a superpower when it comes to exporting services, ranking first globally, far ahead of the United States, which holds the second position.

This focus is particularly on services that offer higher added value.

Thirdly, tech. I don't want to say too much about this as we'll be discussing it in the upcoming panel. but we're talking during VivaTech week. Admittedly, the tech sector in Europe, while not yet on par with that in the United States, is making considerable efforts to bridge the gap.

Fourthly, we are witnessing a genuine political shift in the way economic policies are formulated in Europe. It appears while the Draghi report failed to galvanise European policymakers into action, the combined shocks of the invasion of Ukraine, Liberation Day, and threats to Greenland, finally prompted European leaders to recognise the urgent need to boost growth and strengthen our strategic autonomy, backed by robust industrial policies.

We're only at the very beginning; we can't see the effects yet, but I'm convinced that within the next five years, we'll see a tangible impact. Fifth and final point: the geopolitical landscape, which has been unfavourable in recent years, is starting to shift in the right direction. There was a significant political shake-up in Hungary a few months ago and we're starting to see faint indications that the war in Ukraine may be nearing its conclusion. It is now 2026, ten years after Brexit. There has been a complete shift in opinion in the United Kingdom, with a large majority of Britons now considering that leaving the European Union was a mistake and wanting a closer relationship. More generally, Europe – once again under pressure from current events is actively engaged in forging new partnerships with the Gulf states, India and Mercosur. While these initiatives have commercial implications, they are primarily driven by geopolitical considerations. I think all this will give Europe a real boost over the coming years.

0:27:01 – Emmanuel Laborde

We'll now take your questions, if the production team can bring them up for us. We'll address them in the order they are presented. Wasn't it a mistake for the ECB to have raised these rates, especially when the Fed and the Bank of England did nothing of the sort? Now, when it comes to central banks, I know, Isabelle, that this is a subject on which you could talk for hours.



0:27:21 - Isabelle Mateos y Lago

Yes, right, I'll take this one, with guidance from Guillaume. I understand this is a prevalent opinion and a question I'm often asked. Personally, I don't share this view. Firstly, the ECB's interest rate before the increase was 2 percent. In contrast, the Fed's rate stands at 3.5 to 3.75 and the Bank of England's at 3.75. So we can already see that we're starting from distinctly different positions. Furthermore, in the macroeconomic projections presented by the ECB last week at the Monetary Policy Council meeting, which included a whole range of scenarios, in every single scenario, inflation is projected to exceed 3 percent this year and is not expected to return to its target until the second half of next year.

Moreover, between two and three rate increases are implicitly factored in. Therefore, in all scenarios, implementing this rate increase last week seemed perfectly reasonable; moreover, across all scenarios – not only those of the ECB but also aligns closely with our own assessments – the impact on growth is minimal. From my point of view, the mistake would have been to refrain from implementing this rate increase, which could have destabilised the markets and led to an even greater rise in bond yields – yields that have already risen by several tens of basis points since the start of the conflict, posing a significant challenge for heavily indebted sovereigns who must consequently pay more to service their debts.

So, as far as I'm concerned, there's no question about it: it wasn't a mistake.

0:29:03 – Emmanuel Laborde

Guillaume, my second question: is this energy crisis likely to undermine the competitiveness of European businesses, particularly in relation to China?

0:29:11 – Guillaume Derrien

Well, that's a good question, Emmanuel. I'll answer in two parts. Firstly, I must say that the rise in energy costs will indeed continue to weaken certain sectors of industry that were already grappling with structural difficulties due to Chinese overcapacity. These include, in particular, energy-intensive industries such as chemicals, plastics manufacturing and metallurgy. However, it's particularly important to consider the comparison with 2022. Today, we're facing a shock that is fundamentally different in nature.

In 2022, the shock was largely confined to Europe, characterised in particular by a spike in gas prices that we are not seeing today. Today, the shock is global, and from this perspective, China is not immune to rising energy costs. In fact, we are seeing an increase in inflation and producer prices in China.

For Europe, the challenge extends beyond energy prices; it is quite simply a question of structural competitiveness. As Isabelle pointed out, numerous industries in Europe remain competitive. Notably, the pharmaceutical and aerospace sectors, particularly in France, are performing well. Therefore, the primary concern for Europe regarding China transcends mere cost competitiveness; it encompasses structural competitiveness that prioritises innovation above all else.

0:30:34 – Emmanuel Laborde

Right, let's take a minute. I don't know if you can see it on your screen, but I've got it on my iPad – it's for you, Pascal. Let us revisit our earlier discussion on prices. Can oil prices return to their pre-crisis level, i.e. around \$65?

0:30:47 - Pascal Devaux

Yes, well, certainly not in the short term. However, it might be conceivable from the second half of 2027 onwards. If we recall the points we made earlier, several factors will contribute to sustained price increases in the short term: the ongoing geopolitical risks in the region and the necessity for most countries, particularly those in the OECD, to replenish their reserves. This is also a factor in keeping prices high.

Additionally, a short term factor includes the time it will take for all the ships currently blocked to the west of the Strait to pass through it, as well as the time needed to bring all the production platforms in the Gulf back online. This process could take anywhere from several weeks to several months. Thus, the prospect of \$65 a barrel is not imminent, at least not by the end of the year.

To give a full answer, there is indeed a great deal of inertia.

0:31:40 – Emmanuel Laborde

Thank you very much to both of you. We're now going to move on to the second topic: artificial intelligence, which is completely transforming our professional and personal lives. We'll be dedicating a whole segment to exploring its consequences and economic implications. Let's get started – please hold on for a moment while we play a jingle.

0:32:01 -

0:32:07 – Emmanuel Laborde

Make yourselves comfortable. Yes, we're having a glass of water, but it must be about 28 degrees on set, and you'll understand that we need to stay hydrated on this lovely, almost summery day. Artificial intelligence – Isabelle, could you give us a bit of background to start with? It's a subject where, the more you dig into it, the more you realise that the changes are going to be profound and significant. You also realise that they might be difficult to pin down. Is that a fair way to describe it? The only thing that's certain is that the changes are here, and many more are on the horizon.

0:32:41 – Isabelle Mateos y Lago

Well, I believe that, for the most part, the significant changes haven't actually happened yet. What we've seen is really just the very beginning. I think we should expect fundamental changes in how we produce, consume, entertain ourselves and teach. No sector of the economy – or even the way we are governed – will be spared. But I believe that when we consider the economic impact – and, indeed, much as with all previous technological revolutions – it is important to distinguish between three phases.

First, there is a phase of infrastructure development. In this context, this refers to data centres and fibre-optic networks suited to the age of artificial intelligence. Then there is a phase of adoption, meaning roll-out across the entire economy.

And then there is the new steady state, once everything is in place. Achieving this new steady state may take up to two decades. For the moment, we are really only at the very beginning. While I believe we are starting to get a handle on certain aspects, we mustn't overestimate our ability to predict the future.

0:33:50 – Emmanuel Laborde

Once again, the best is yet to come. This second presentation is entitled 'A Transformative Shock: Artificial Intelligence, Mining, Chips and the Entrepreneur'. We're going to cover all areas of activity, from minerals and the construction of those famous data centres to the changes in our lives as entrepreneurs or intrapreneurs – changes that are already quite significant. Stéphane, let's start with you, if you don't mind. We'll take the emergence of generative AI as our starting point. Although artificial intelligence has existed in laboratories for a very long time, its widespread adoption, its arrival, and the initial disruption it caused in our professional lives can be traced back to the launch of ChatGPT in November 2022.

What can we say about it today, three and a half years after it burst onto the scene in our professional lives?

0:34:37 – Stéphane Colliac

First of all, we can say that artificial intelligence represents a wave of innovation. This wave of innovation will have an impact in terms of inflation, productivity and the labour market. Additionally, it fosters an increase in business creations. Entrepreneurs are developing new solutions that will eventually be incorporated into the economy. This rise in business creations is particularly noticeable in the United States and Europe, where we have seen a 10 percent year-on-year increase in business creations since the start of the year in both regions.

Naturally, this raises questions, which we'll address – particularly regarding productivity, what we can expect in this area, and the relationship between artificial intelligence and the labor market.

0:35:13 – Emmanuel Laborde

Productivity is a term that will come up very often in this presentation. To begin with, let's look at the foundations of AI: the hardware. We need to build these data processing facilities known as data centres. There can be no AI without semiconductors, and no semiconductors without the critical metals they contain. This situation already presents significant initial implications. From an economic point of view, is this the starting point, Christine?



0:35:36 – Christine Peltier

Yes, exactly. You've just identified the main channel through which the rise of AI is driving growth in emerging economies: supply chains. Some emerging economies are very well positioned within these AI supply chains; these are the producers of critical metals, semiconductors and other technological goods. These countries have fully capitalised on – and continue to reap the benefits of – the boom in investment in physical AI infrastructure.

0:36:06 – Emmanuel Laborde

Does that mean that AI-related trade has, in fact, bolstered global trade more generally? Let's not forget that in early 2025, President Trump took office, leading to a wave of protectionist tariffs that raised widespread concern and restricted global trade.

0:36:25 – Christine Peltier

Indeed, the demand for AI-enabling goods is a major driver of the recovery in global trade in 2025 and 2026. Growth in total goods exports reached 6.8 percent in 2025. Growth in exports of AI-enabling goods was at least double that rate, and this growth is expected to strengthen further in 2026. It is currently estimated that AI-related goods account for around 15 percent of total global merchandise exports.

0:36:59 – Emmanuel Laborde

That's absolutely huge. Who is currently benefiting from this boom? Which countries are faring best?

0:37:05 – Christine Peltier

When it comes to semiconductors, Asia is the undisputed leader. Asia accounts for around 65 percent of exports of AI-enabling goods and up to 85 percent of semiconductors. As we know, the most sophisticated chips come from Taiwan. Taiwanese exports rose by 24% in 2025 and by as much as 40% over the last three months compared with the same period in 2025. South Korea and China are also benefiting enormously from the rising demand for AI-related goods. Countries such as Vietnam, Malaysia and Singapore are also strategically positioned, albeit slightly further down the value chains.

0:37:45 – Emmanuel Laborde

There is also an effect that should not be underestimated: the wealth effect generated from the fast increase in the share prices of certain tech stocks related to AI.

0:37:55 – Christine Peltier

Yes, indeed. The spike in stock prices in certain countries, along with the resulting wealth effect, has supported domestic demand. For example, the benchmark indices of the Taipei and Seoul stock exchanges have doubled over the past year, which is undoubtedly positive for growth.

0:38:12 – Emmanuel Laborde

I'm going to simplify things a little. Can we assert that everything is going well in these countries thanks to AI? Are they the first to benefit from it?

0:38:19 – Christine Peltier

Well, there's always room for nuance. The exceptional performance of AI-related sectors may mask the more mediocre performance, in some countries, of sectors that depend on domestic demand, those that are more affected by the energy crisis, or sectors directly affected by Chinese competition.

0:38:41 – Emmanuel Laborde

We have expressed interest in all sectors influenced by AI. Could you provide some insights on critical metals. They're relatively hard to come by on the planet. Who stands to benefit?

0:38:53 – Christine Peltier

For producers of critical metals, the first thing to note is that they are rather concentrated, like chip manufacturers. For example, lithium and copper are predominantly sourced from Latin America, cobalt from the Democratic Republic of Congo, and nickel from Indonesia. Furthermore, it can be stated that the production of these critical metals, along with the increasing demand associated with the AI boom, have a rather limited impact – a rather limited direct impact – on the economic growth of the producing countries.

Emmanuel Laborde

Why is that?

Christine Peltier

Because, on the one hand, producing countries export these critical metals in their raw state, and secondly, because the quantities required are very small. Overall, raw materials account for around 3 percent of total exports of AI-related goods, so the volumes are fairly small.

0:39:47 – Emmanuel Laborde

Now, let's shift our focus to the United States, where talk of investments and new solutions are a daily occurrence in the news. We're constantly bombarded with this information, sometimes accompanied by staggering figures. The measurements are in billions or tens of billions. We're not used to sums like that, whatever type of economy we're talking about. Stéphane, is the development of AI really as rapid as it seems in the United States?

0:40:12 – Stéphane Colliac

Well, at the very least, it's fast. Is it as fast as it seems, given the sums being bandied about? It is fast. Several studies have tried to estimate the size of the artificial intelligence sector in the United States, including one by Korinek and McKelvey, which suggests that this sector is roughly the same size as the entire US air transport industry, which we know is highly developed. That amounts to around 250 billion dollars, which is not far off one percentage point of GDP, and all this growth has taken place in just three years.

We need to put this into perspective. This means annual growth of 140% in this sector by 2024-2025. This growth has been a crucial factor that has enabled US growth to remain above 2% over the past three years, despite the slowdown in previous growth drivers.

Emmanuel Laborde

So, very good figures and a very positive trend in the United States.

0:40:58 – Emmanuel Laborde

How are things going in Europe?

0:41:00 – Stéphane Colliac

There is a lag, it's true. We cannot deny that. However, the region has potential and inherent strengths. We have already paid attention to the semiconductor manufacturers. Notably, ASML, the company that builds the machines used to manufacture semiconductors, is a key part of Europe's strength. Several countries are at the forefront in terms of investment, particularly the Scandinavian countries, which invest around 7 percent of their GDP in intellectual property products, matching the investment levels of the United States.

The problem we face is that the larger countries are investing slightly less. Consequently, we are falling behind in the production and in the development of artificial intelligence. Fortunately, we have a growing number of projects to build data centres, which should help to make up some of this ground, notably the 93 billion euros announced at the Choose France event.

However, the lag in terms of computing and programming capacities will need to be addressed in the future.

0:41:57 – Emmanuel Laborde

93 billion – that was at the third Choose France event, wasn't it? – The very latest one. – And that was more than the previous two combined – significantly more, in fact. I'm going to be a bit of a stickler here, though: we do hear a lot of people talking about Europe's gap being unbridgeable – is that an exaggeration, or is it a genuine concern?

0:42:15 – Stéphane Colliac

Well, 'unbridgeable' – not necessarily. You have to understand that there are two issues here. There's AI production, and then there's AI use cases. And it's AI adoption that drives productivity. In this regard – I'll start with that – Europe is every bit as good as other regions. When it comes to use cases – the application of AI across various surveys – we're roughly on a par with, or even ahead of, other major geographical regions. On the other hand, it's true that we're lagging behind in terms of production.

However, it is worth noting that the tech sector is growing, just as in other regions. It has risen from 4% to 15% of GDP over the last ten years. Jobs creation was high in the sector, in the same way as business creations – as I mentioned at the very beginning. 1.6 million jobs have been created in the European Union since 2020.

Electricity is largely decarbonised, with 71 percent sourced from renewables and nuclear power. So there are many strengths. We could take inspiration from Arthur Mensch [CEO of Mistral AI], who tells us that we will need to convert these electrons into intelligence.

Emmanuel Laborde

A truly wonderful phrase that we love to repeat here whenever we talk about artificial intelligence.

0:43:20 – Emmanuel Laborde

We're talking about productivity, which is very important. Those words were part of the introduction to your speech. We have also examined the fact that China is banking on AI to significantly boost its productivity. That's one of the key points.

0:43:35 - Christine Peltier

Yes, indeed. China is investing heavily in AI. This effort is aimed not only at reinforcing its technological dominance and competing with the United States, but also at boosting productivity gains. Beijing aims to double per capita GDP between 2020 and 2035. This is, in fact, an ambitious target given the structural challenges that are slowing economic growth in China. Therefore, this target can only be achieved through significant productivity gains. This is where innovation and AI come into their own. Beijing is really banking on widespread, rapid deployment across all sectors of the economy and nationwide to drive these productivity gains.

0:44:16 – Emmanuel Laborde

Still on the subject of productivity, but let's turn our attention back to the United States. Is AI genuinely the catalyst for this productivity growth, which has notably outpaced other regions of the world since the post-Covid period?

0:44:28 – Stéphane Colliac

To put it simply, one could say no. And we wouldn't be far off the mark, because hourly labour productivity in the US has been rising by 2.4 percent a year since 2023. That's roughly one percentage point higher than the annual productivity gains seen before the Covid-19 pandemic. Furthermore, it's closely linked to the digital investments made prior to the advent of AI. This trend is ongoing. There were technological innovations even before AI. The acceleration in productivity in the United States can largely be attributed to the synergy between these digital innovations and changes in the labor market – such as increased remote work, more self-employment, and therefore, the ability to work more efficiently with digital tools.

Emmanuel Laborde

So, in your opinion, there won't be any impact on output linked to AI in the United States,?

Stéphane Colliac

Yes, there will be an impact, but it is yet to come, as Isabelle said in her introduction.

Currently, we're developing AI, yet its application remains limited. The true impact on productivity will emerge through its utilisation. However, we should not overestimate the expected growth in productivity. The figures involved are significant here too. A study conducted by MIT examined the role of a coder. We've heard that there could be a fairly significant substitution between coding and artificial intelligence.

Emmanuel Laborde

Computer programming.

Stéphane Colliac

Computer programming, exactly.

Thank you, you're right to point that out. In the straightforward task of coding – that is, writing code – we could increase productivity by 300 percent by using artificial intelligence. However, does this encompass the entirety of a coder's job? No, because a coder must also ensure that the code is ready for production – in other words, that it's efficient and can be used.

They also have to, in a way, explain these solutions and liaise with other teams, so that they're used by people who don't write code. So there's a whole range of tasks involved in a coder's job, not just coding. When you factor all that in, the actual productivity gain is just 30 percent. While 30% is still substantial, it's just 30% – it's not 300%.

0:46:31 – Emmanuel Laborde

– Yes, we need to be careful about the marketing that can be done with certain isolated figures and make sure we always consider them in their entirety. We're listening to you very carefully and we can see that, as Isabelle said, this is going to change a lot of things. We'll be taking your questions on this in a few minutes' time, by the way. Isabelle, we're about to enter a phase of substantial growth, and it is fair to say that it's going to be good for our economies, but will it be enough to sort out public finances, which sometimes need improving?

0:47:01 – Isabelle Mateos y Lago

I admire your optimism about the considerable growth that lies ahead, although I'm not sure I'd phrase it in exactly the same way. Clearly, there is a scenario – indeed, there are scenarios produced by virtually all fiscal oversight watchdogs in advanced economies – in which, thanks to artificial intelligence, we could achieve productivity gains of, say, an additional 0.5 percentage points per year. That's a lot, but it's attainable. In such a scenario, instead of aid-to-GDP ratios rising from 100 to 140 percent over the next 20 years, they would only rise from 100 to 110 percent – which, while not ideal, is certainly an improvement.

That said, I believe it would be completely unwise to count on this, as achieving these productivity gains requires more than just the widespread adoption of ChatGPT or any similar technology.

We really need to transform processes across the entire economy in order to optimise the use of AI. I'm confident that this will happen over time. However, while it will no doubt happen over the next 20 years, I think we should remain cautious over the next five years.

0:48:17 – Emmanuel Laborde

We're now going to move on to the pressing issue at hand. AI versus jobs – what should we anticipate in this regard? Would you like to put that into context a little first?

0:48:29 – Isabelle Mateos y Lago

Yes, well, this is a question that arises every time there's a technological revolution – even with the introduction of the spinning jenny. When you look at the figures, the jobs created by these new technologies have consistently outweighed the jobs lost. Why? Because these innovations enable the economy as a whole to grow, to stimulate demand, and so on. So I'd say that, based on historical experience, our initial assumption should be a positive one.

However, history never repeats itself. This particular revolution possesses unique characteristics, notably the speed of its adoption and spread, which could make it more difficult for our economies to manage.

But I'd rather leave it to our experts here to comment on that.

0:49:22 – Emmanuel Laborde

So, to recap, AI versus jobs, Christine, how can we expect that to play out?

0:49:26 – Christine Peltier

A general point to start with: yes, certain sectors will be affected, both in advanced and emerging economies. For the time being, the immediate impact of AI on employment is not clearly visible, but we can anticipate that the development of agent-based AI in the coming years will lead to job losses in certain sectors because it will enable the automation of cognitive and operational tasks. This is a foreseeable outcome.

0:49:53 - Emmanuel Laborde

Are there any examples from emerging economies?

0:49:56 - Christine Peltier

In the emerging world, China is a notable example; the effects of AI and robotisation are starting to raise concerns among the authorities. India is another example, as it has relied on the development of IT services focused on automated tasks and intermediate-level skills. Consequently, India's competitive advantage could erode rapidly. In fact, we are already seeing a slowdown in job creation within the IT services sector.

0:50:26 – Emmanuel Laborde

The first signs are already present. The same question, but this time regarding advanced economies.

Stéphane, how do we see the impact of AI on employment?

Stéphane Colliac

It is a kind of race between the rapid development of artificial intelligence and, consequently, the number of tasks to be carried out; and then there is a substitution effect that may occur between artificial intelligence and some of the tasks that employees have to carry out. Therefore, if the number of tasks to be carried out increases faster than the tasks that can be replaced by AI – what we might call the Jevons effect, which means that 'additional activity' is the main phenomenon – then AI does not have a negative impact on employment levels, because we need more workers to carry out these additional tasks. For example, if we consider the case of a coder, it's noteworthy that, after a few difficult months, we've once again seen more job vacancies for coding positions appear on the well-known website Indeed.

Emmanuel Laborde

So there's cause for optimism in this regard.

0:51:24 - Emmanuel Laborde

You mentioned AI 'predation' on jobs – a term that is occasionally used by certain economists.

0:51:30 - Stéphane Colliac

Indeed, there's another factor to bear in mind too – it's a question of cost at the moment. We're seeing a transition that could once again favour human labour, particularly if the cost of AI rises. We've seen a rise in the cost of tokens in the United States. That's true. So we need to be cautious as this situation can change very, very quickly. There's also competition within the AI sector. There's Chinese competition too, which could have an impact. However, if AI becomes expensive, labour may be preferred because its cost is much more stable.

That's an important point. But above all, the answer is a nuanced one.

What we need to bear in mind is that AI replaces tasks rather than jobs. This is a crucial distinction. While some people have expressed concerns about jobs destruction, it is actually certain tasks within those jobs that are at risk of being replaced. That much is obvious. But the entire job itself is not necessarily at risk.

On the contrary, by using AI for certain tasks to boost productivity, we can have an 'augmented' employee who demonstrates increased productivity compared to a competitor who does not use AI. The economies that stand to benefit from this would primarily include the United States, where approximately one quarter of jobs may be prone to this transition. While some may argue that these jobs are under threat, let's take a more positive view. For example, one-sixth of jobs in France and one-tenth of jobs in Italy may also be affected.

0:52:52 – Emmanuel Laborde

We'll be taking your questions in a few moments. Please feel free to submit them now on this wide-ranging topic. Innovation frequently helps to bring prices down. Is this also true for artificial intelligence today, Christine?

0:53:09 – Christine Peltier

I'll answer by talking about the resources required for AI. At the moment, the boom in AI and the construction of data centres are leading to a sharp rise in demand for the resources they require. This surge in demand is both significant and rapid, leading to a rapid increase in prices. For example, the cost of copper has risen by 40 percent over the past year and has remained at historically high levels since the start of the year. This price rise is linked to a massive demand shock driven by both AI and electrification, coupled with an increase in supply that is simply not keeping up with the rise in demand.

0:53:49 - Emmanuel Laborde

Has there also been a rise in the price of microchips? It is becoming increasingly difficult to upgrade one's computer these days.

0:53:54 - Christine Peltier

Indeed, the cost of chips has skyrocketed over the past year. For instance, the unit price of semiconductors exported from South Korea has increased 2.5-fold in a year. Consequently, this increase in chip and critical metal prices is improving the terms of trade for exporting countries, yet it may also fuel inflationary pressures in sectors that use the same resources as AI.

0:54:21 - Emmanuel Laborde

So, Stéphane, does AI actually drive prices up or down?

0:54:25 - Stéphane Colliac

Well, if we go back to the idea that AI is an innovation, it is generally observed that innovation tends to bring prices down. Therefore, in the long run, AI should bring prices down. In the digital sector in which AI operates, for example, in France, we've seen a 6 percent decrease in prices over 10 years. Conversely, in other sectors, we've seen a 20 percent increase in prices over 10 years. Now, the question is whether we might see a different trend in the short term.

The rapid development of AI is depleting the resources required for its operation, as both Christine and Isabelle mentioned, which could lead to a slightly heightened inflationary impact in the short term. In this regard, I'd like to highlight one point: the vital importance of access to electricity. AI requires a great deal of electricity, and we can see that in the United States, electricity prices have changed quite significantly from pre-Covid levels, now standing nearly 30 percent higher than the previous trend.

0:55:21 - Emmanuel Laborde

This is going to be highly inflationary, and historically, the US has faced numerous energy challenges. Isn't there also the issue of a business model that's evolving at an exceptionally rapid pace?

0:55:29 - Stéphane Colliac

Yes, the business model is a key issue, which leads on to what I know you are about to wrap up, Isabelle. I'll refer back to the study by Korinek and McKelvey to begin with, which, assuming technology remains constant, looks at the extent to which the price of AI has fallen: 94 percent in three years. One might be tempted to assert that the technology from three years ago is already largely obsolete. This is certainly true. The primary concern is to ensure a return on investment for companies investing in this sector.

Investing in this sector is very expensive. Therefore, if you increase the ROI of your AI, you improve your profit and loss figures and attract more capital. This, in turn, secures the necessary funding for your next investment cycle.



Consequently, there may be a correlation between short-term inflationary consequences and the anticipated shift towards attracting capital to the markets.

0:56:26 – Emmanuel Laborde

We'll take your questions in exactly one minute. Just time for a quick summary, Isabelle. We're hearing a lot of optimistic, encouraging things. Could there still be a misstep or a derailment that could prevent the economic promises from being fulfilled, at least from a financial standpoint?

0:56:40 – Isabelle Mateos y Lago

As far as AI is concerned, there are plenty of risks of things going off the rails. However, focusing on the markets, I would like to highlight a few points. Firstly, we've encountered similar situations in the past, and in a way, this is characteristic of how technological revolutions happen. There's a frenzy that draws a lot of capital into the sector, and eventually, the frenzy escalates to the point where we reflect, 'Perhaps this has gone too far'; there's a correction, and then we move on.

To illustrate, looking back at the recent past, five years elapsed between Alan Greenspan, Chairman of the Fed, referring to 'irrational exuberance' regarding the tech and internet sector in the US and the bursting of the dot-com bubble in 2000.

The internet bubble burst, and it caused a bit of a mess at the time. Nevertheless, we are still reaping the benefits today of all the productivity gains associated with this new technology. As for certain companies, Amazon's market capitalisation plummeted by 90 percent that week. If you'd held on to your Amazon shares back then, you'd be very rich today. I'm talking about Amazon, but there are plenty of other examples. I'd say that's more or less how it works. What is certain is that the currently high valuations of all AI-related stocks are based on expectations of meteoric revenue growth.

It is by no means certain that this trend will continue, particularly given growing political resistance.

In the United States, we're witnessing the emergence of powerful citizen movements aimed at restricting the construction of data centres. This situation also exacerbates inequalities within societies. For example, as mentioned earlier regarding South Korea, Samsung recently had to engage in negotiations – so to speak – to resolve a strike, offering bonuses of \$400,000 per employee to achieve a fairer distribution of AI-generated revenues. Additionally, President Trump recently proposed the creation of a sovereign wealth fund that would include stakes in all companies generating this exceptional revenue, so that all Americans can benefit from it – similar to the Alaska oil fund or the arrangements in place in Norway.

There are issues at play; I believe that any potential obstacles will be as much political as they are economic or technological.

0:59:13 – Emmanuel Laborde

In any case, we're hearing that we're entering a new era, and it will be fascinating to experience. We're taking your questions as they come in. Can we interpret the current tensions as a sign of fragmentation within the Western world and a return to power politics, particularly regarding access to strategic resources and innovation? Who'd like to take this one?

0:59:38 – Isabelle Mateos y Lago

Perhaps a word on that: I'm not particularly keen on the term 'fragmentation', but what is certain is that we have spent at least the last 30 years building an extremely integrated and interdependent global economy. However, it is evident that since last year, we have entered a phase where this interdependence is going to be 'weaponised' – I'm not sure how to express this in French, but it is being used as a weapon by certain countries at times... I'll leave it to your imagination to consider which countries might be next. But there you have it: Iran has leveraged this to its advantage in the recent conflict.

Last year, China implemented controls on the export of rare earths and rare-earth magnets. Given the extent of economic interconnection we have achieved, I believe we're going to see repeated shocks of this kind.

Thus, it is not fragmentation, but rather the exploitation of these interdependencies for harmful purposes. This reinforces the need for states and businesses to carefully consider their strategic autonomy and how to minimise their vulnerability to this type of shock.

1:00:46 – Emmanuel Laborde

Another question that also ties in with our first panel discussion. What are the various impacts of the current energy crisis, which

we've mentioned, on semiconductors production in Asia?

1:00:56 – Christine Peltier

I think the question is directed at me. It is true that Asia is the region most directly affected by the energy crisis and is also the major producer of semiconductors. However, since the start of the conflict, the impact of the energy crisis on production activity has been limited. I mentioned the figures for Taiwanese export growth, but the figures are the same in South Korea, for example. On the other hand, rising hydrocarbon prices and concerns about supply chains – including issues related to the availability of helium, for example – have undoubtedly contributed to the rise in chip prices over the past three months.

1:01:44 – Emmanuel Laborde

A question for you, Stéphane. Are there any studies that examine the impact of artificial intelligence on employment, particularly in terms of unemployment rates, access to employment for young graduates, or changes in career opportunities? This question seeks to explore the labour market in greater depth.

1:02:02 – Stéphane Colliac

Yes, there are studies. The problem is that some studies say one thing and others say the opposite. At the moment, it's quite difficult to make sense of it all. However, I'd like to add a point to the discussion to highlight how things are changing in the labour market. As we've said, in the United States, the way people are working is changing. There's an increase in self-employment and working from home. In France, we often refer to this as 'teleworking', especially within a company.

But working from home isn't just about teleworking; self-employment is also on the rise. There are fewer traditional salaried jobs and a growing number of self-employed roles. This trend has been evident in recent years and is even being driven by artificial intelligence. As I mentioned earlier, there's been an increase in business creations.

The increase in business creations indicates that a growing number of self-employed individuals are establishing their operations from home. I think we need to take this into account when we consider the labor market. The balance tips in the right direction when we factor in these elements alongside traditional salaried employment. Among young people, particularly during the Covid pandemic but even before that, there has been a desire to adopt a different behavior – one that does not necessarily follow the traditional path of their fathers, who typically went to work for a company, but rather to work in co-working spaces or alternative environments.

That's where we find ourselves today. These developments are making it easier. It's much easier to set up a business today, particularly with the advent of artificial intelligence.

There are studies that show this. There are many regulatory barriers to setting up a business or engaging in transactions in general. However, the presence of artificial intelligence – or at least models that assist in these endeavours – fosters an appetite for entrepreneurship. Therefore, when it comes to young people, we can also look at it from that angle.

1:03:54 – Emmanuel Laborde

By building their confidence, digital natives will be well-equipped to embrace this new tool. The Gulf states have set ambitious goals in the field of AI. If my memory serves me correctly, these countries have set up a number of data centres within their borders. Will the war alter their plans? Once again, this ties in with the subject we were discussing earlier.

1:04:21 - Christine Peltier

Indeed, the Gulf states have very ambitious plans for AI development. In the short term, one can imagine that these countries will reassess their priorities. It's also likely that private investors will be much more cautious. However, in the medium term, these countries are expected to maintain their plans to boost growth potential and diversify sources of growth. Furthermore, it is likely that they will continue to invest in future-oriented sectors, including AI.

1:04:56 – Emmanuel Laborde

We're running a little over time, but we'll of course answer this final question. No major digital companies emerged in Europe during the internet and mobile revolution, which was, after all, the previous technological revolution. Do you see any signs that artificial intelligence will provide an opportunity for Europe to establish major technology companies?



1:05:14 – Stéphane Colliac

Yes, one could argue that this assertion is not entirely accurate. There are existing companies that have made their mark. I mentioned ASML earlier. This is a company that didn't exist a few decades ago, yet it has expanded, developed solutions that weren't obvious at first, and has become a world leader in the manufacture of machines used to produce semiconductors. We mustn't overlook the fact that there is also an established economy capable of adapting to the new economic landscape. We've seen examples of this, particularly with Valeo, which produces cooling systems.

1:05:46 – Emmanuel Laborde

Which will cool data centres, yes, exactly.

1:05:48 – Stéphane Colliac

Caterpillar is also poised to supply capital goods for use in AI. We're only at the beginning. We don't know which solutions will ultimately prevail. Mistral AI is developing. There are offerings; we've talked a lot about the United States. We've given plenty of examples from the United States. There are also offerings in China in particular that are growing. There are European offerings too. There's an old economy. Including electrical equipment. I would like to mention Schneider, and although I momentarily forget the name of its German competitor, it is worth noting that these companies originated in the 19th century during the advent of electricity. Today, they have new markets, with valuations that are 'inflated', a bit like those of a start-up, as they provide some solutions to innovative activities within their operations.

So yes, there will be new names, and yes, there will be old names that will be back in vogue.

1:06:42 – Emmanuel Laborde

So let's be confident.

1:06:43 - Emmanuel Laborde

It was Siemens you were looking for, wasn't it?

Stéphane Colliac

That's right.

1:06:48 - Emmanuel Laborde

All right. We're coming to the end of this session – it's 5:08 p.m. We've gone a little over time, but that's because your questions were excellent and we wanted to address them all. Thank you for joining us in this rather warm studio for today's discussion. A closing remark is always a tricky business; we're trying to draw some conclusions in light of the current geopolitical situation. With all the challenges that lie ahead, it's not exactly straightforward. But anyway, how do you envisage – economically speaking, of course – the end of the year and the next six months, in positive and negative terms? What factors might influence the global economy, Isabelle?

1:07:23 – Isabelle Mateos y Lago

Yes, I think we can remain positive, especially if the agreement – which we're told was signed electronically yesterday – holds up in the Gulf. However, it's clear that to be truly optimistic, we'd require the potential for accelerated initiatives aimed at structural transformation of economies in Europe, though not exclusively there. From that perspective, I believe that if we are to consider both negative and positive influences, we must avoid shocks, although they are inevitable. The most important thing, in my opinion, would be – at least in terms of economic policy messages, though I'm not sure if this is the most relevant point for this audience – to prevent shocks that lead to interest rate rises.

In particular, fiscal irresponsibility – a very bad idea – and monetary irresponsibility that would allow inflation to spiral out of control – also a very bad idea.

Because we are in an environment where there is a huge need for investment – and, therefore, a huge need for financing – and anything that further contributes to pushing up interest rates in this context is counterproductive. Conversely, there is a genuine



need for economic policies – especially in Europe – that enable businesses to innovate, invest and grow. We really need more economies of scale in Europe. So everything to do with mergers, the completion of the single market – all these policies – have been clearly identified. We absolutely must step up the pace.

1:08:49 – Emmanuel Laborde

These will be tremendous opportunities. I extend my thanks to the economists and to all of you for tuning in – we appreciate the many viewers, both live and those watching the replay. You should normally see a QR code on the screen; please feel free to scan it with your phone, which will take you to a dedicated page we've created for this purpose, featuring content that will complement everything we've discussed today. As Economic Research produces a great deal of content in shorter formats or in print, this will enable you to delve deeper into the information we've shared with you today on these two topics.

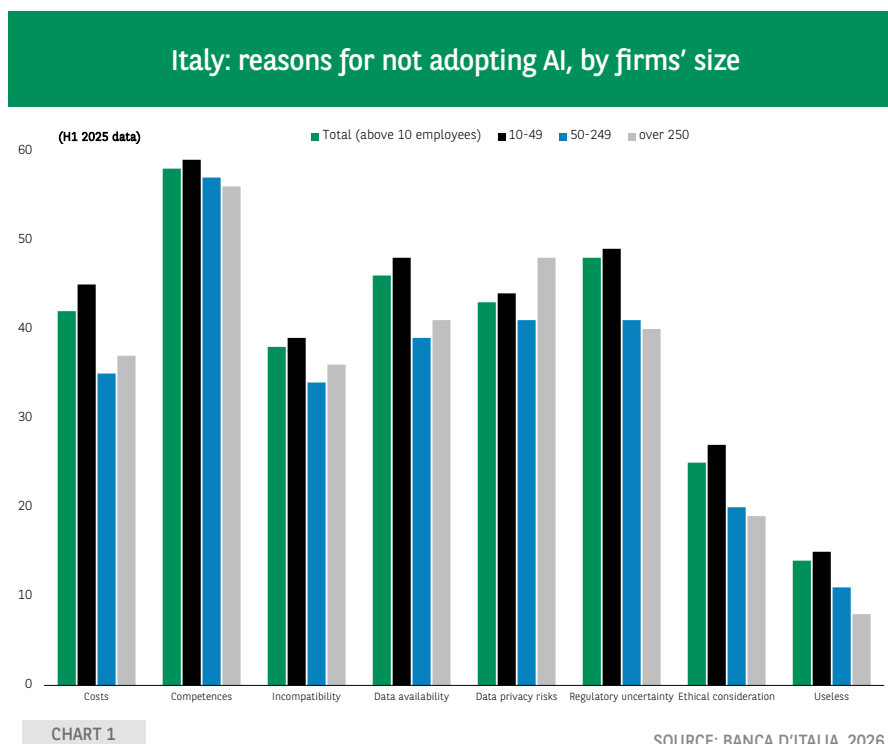
1:09:21 - Emmanuel Laborde

Thank you for your continued participation; have a wonderful summer and see you soon.



ITALY'S PRODUCTIVITY CHALLENGES: CAN AI PROVIDE A SOLUTION?

Paola Verduci



In the years following the pandemic, labour productivity in Italy has stalled. Artificial intelligence is identified as a potential catalyst for reversing this trend, with projections indicating possible annual productivity growth increases of up to 1.1 p.p. in a scenario of rapid adoption. However, the actual adoption of AI in Italy is still low, despite a faster growth rate compared with its main Euro area counterparts. As of 2025, only 16.4% of Italian companies with more than 10 employees were using AI. In the financial and insurance sectors, adoption rates are above average (39%, peaking at 70% in insurance). However, the application remains largely superficial, primarily focused on support activities such as fraud detection, process automation and customer relations, while its use in trading and post-trading activities remains largely experimental.

Adopting AI could improve labour productivity. In the years after the pandemic, the dynamics of labour productivity in Italy have been disappointing. When measured as output per hour worked, there was a decline of 4.7% between 2020 and 2025, compared to a -1% decrease in France, a +0.9% increase in Germany and a +2.5% increase in Spain. Although there has been some improvement in recent years – with a more limited contraction of -1.9% during the 2023-2025 period – Italy's productivity dynamics remain weaker compared to the stagnation or gains observed in other major European economies (Germany +0.1%; Spain +1.9%; France +1.5%).

The spread of artificial intelligence is highlighted as a factor that could reverse this trend. Estimates by Filippucci et al. (2025)¹ suggest that over the next decade, AI adoption could deliver annual labour productivity growth gains ranging from 0.2 to 0.8 p.p., particularly benefiting countries experiencing significant demographic declines, such as Japan and Italy. In the United States, where the bulk of global investment in AI is currently concentrated², the annual increase in labour productivity growth could reach 1.3 p.p.

If the adoption of AI were to proceed rapidly, the potential benefits for Italy could be significantly greater, adding as much as 1.1 p.p. to productivity growth. A recent analysis³ identifies the sectoral contributions to GDP growth under a scenario of rapid adoption, differentiating between direct effects (the productivity gains generated within each sector), and indirect effects (which arise through input-output linkages along the production chain). Manufacturing stands out as the single largest contributor, adding approximately 2 p.p. to GDP growth over the decade, followed by Wholesale and Retail trade (around 1 p.p.) and Professional services (around 0.8 p.p.), while the Financial and Insurance sector would account for a further 0.6 p.p.

1 Filippucci, F. et al. (2025), "Macroeconomic productivity gains from Artificial Intelligence in G7 economies", OECD Artificial Intelligence Papers, No. 41, OECD Publishing, Paris.

2 The disparity in investment amounts is remarkable; between 2013 and 2025, the United States invested around USD 753 bn in AI, compared to USD 17.2 bn in Germany and USD 15.6 bn in France, the only two Euro-area countries among the top ten global investors; see [AI Index Report](#), 2026.

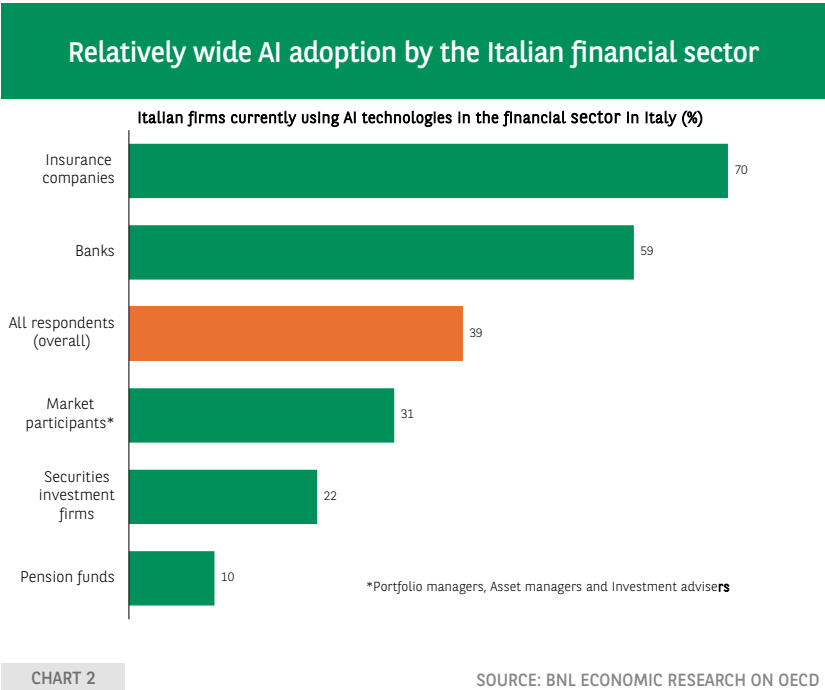
3 3 Fabio Bertolotti, Andrea Linarello, Patrick Zoi; [Shock propagation and economic policies in the Italian production network](#); Banca d'Italia; June 2026.

ECONOMIC RESEARCH



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The magnitude of each sector’s contribution ultimately depends on three factors: its share of total value added, its direct exposure to AI, and its importance within the production network.

AI adoption varies greatly from one sector to another. The intensity of AI adoption is influenced by various factors, including sectoral composition, the size of companies and the availability of the skills needed to use it. Eurostat data shows the considerable heterogeneity in AI adoption among countries: despite an increase of over 100% from 2024, by 2025 only 16.4% of Italian companies with over 10 employees were using AI, a figure comparable to France’s (18.2%) but significantly lower than Germany’s (around 26%) and Spain’s (20.2%). Adoption rates increase steadily with company size: in the first half of 2026, 32% of Italian companies with over 20 employees were using AI, a percentage that climbed to 63% among those with over 500 employees but fell to 28% among smaller companies with 20-49 employees. A similar disparity is observed across sectors, with take-up comparatively limited in Manufacturing (27%) and considerably more widespread in Services (36%). The “Other services” segment, which includes professional, scientific and technical activities, records the highest average adoption rate, facilitated by a more uniform distribution of the technology across different company-size categories.

Italian companies cite a lack of skills as one of the main reasons for not adopting AI, particularly among small companies (10-49 employees). Additionally, high costs, data availability and regulatory uncertainty also hinder adoption (see *Chart 1*).

Access aside, the ability to use the technology is equally important: the IMF’s Skill Readiness Index, which measures how prepared human capital is to work with AI, places Italy towards the lower end of a ranking led by Ireland, Finland, Denmark and Switzerland. France and Spain rank slightly better than Italy, while Germany occupies a marginally higher position.

In Italy, a recent survey⁴ indicates that companies in the Financial and Insurance sector adopt AI more widely than the average productive system (39%), peaking at 70% in the insurance segment (see *Chart 2*). However, similar to their OECD counterparts, Italian financial institutions primarily use the technology for activities that lie outside the core functions of financial markets, such as fraud detection and prevention. This somewhat superficial application reflects a cautious approach, mirroring trends observed in other OECD countries, where companies typically focus AI efforts on customer relations, process automation, cybersecurity and fraud prevention, while applications in trading and post-trading remain largely experimental.⁵

Despite this, the benefits reported thus far are significant: among Italian financial companies using AI, three-quarters report improvements in operational efficiency, almost two-thirds cite productivity gains, and roughly half report greater effectiveness in decision-making. However, gains in genuinely market-relevant areas are still under-represented, illustrating a pattern of broad adoption that lacks depth in core market functions.

4 OECD/Banca d’Italia; *Artificial Intelligence in Italian Financial Markets*; June 2026. The 450 responses represent 49% of the entities supervised in Italy (including foreign companies operating in Italy under the supervision of Banca d’Italia). The question on AI adoption was mandatory. All figures are unweighted counts of responding entities by segment, although coverage varies (e.g. 60% for banks; 48% for pension funds and 22% for securities investment firms).

5 In the United States, almost all financial functions (U.S. Department of the Treasury, 2024); in the United Kingdom, companies focus on optimising internal processes, enhancing cybersecurity and detecting fraud (BoE/FCA, 2024); Swedish and Finnish companies prioritise summarisation, translation and automation (Finansinspektionen, 2024 and FIN-FSA, 2025); Japanese companies give priority to customer relations and targeting (Bank of Japan, 2024); Dutch banks concentrate on creditworthiness and fraud prevention (De Nederlandsche Bank/AFM, 2024); French respondents report internal applications with no specific uses in financial activities (AMF, 2026).

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